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Ethics for Accounting Professionals

A Case Study Approach

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Preface

'While governance structures are important for accountability, integrity is being honest even if no one is watching' (Ilse Lubbe, CA(SA)).

The accounting profession is under pressure over ethics, being judged on the unethical conduct and actions of a few 'bad apples'. The professional accountant is required to fulfil many roles in businesses, while accepting the responsibility to act in the public interest. Accountants perform valuable and useful work in producing and verifying information about complex transactions and events of corporations for the benefit of stakeholders and society. The focus of companies is no longer only on being profitable: companies are an integral part of the society and environment in which they operate and thus are responsible for ensuring the well-being of the people and natural environment.

The recent spate of corporate scandals globally (for example, Tesco) and in South Africa (for example, Steinhoff International, Eskom, VBS Mutual Bank, Tongaat Hulett, and the infamous Gupta-related companies) have resulted in financial losses for many stakeholders. There are accusations of the power giant Eskom's involvement in 'state capture', manipulation of financial data at Steinhoff and the collapse of VBS Mutual Bank following a major liquidity crisis. The top management of Tesco manipulated the corporate's accounting estimates and improperly booked more than £250 million of profits to maintain the market value of the corporate. Investigations into these corporate activities found that the fraudulent actions involved top management in collusion with participants at all levels. In addition to demands that the management of these companies be held accountable, these corporate failures have resulted in stakeholders' losing trust and confidence in the auditing and accounting profession in general.

As accountants we have to regain stakeholder trust. This can be achieved through demonstrating that our role, as accountants inside and outside public practice, remains to act in the public interest while serving the best interests of the corporate's stakeholders. In a recent article,¹ Professor Wiseman Nkuhlu commented on reforming the profession and equipping members. He stated that we need 'to infuse the principles and values of responsible and ethical leadership in earlier

¹ Wiseman L Nkuhlu 'The social role of the auditing profession', *Business Day*, 15 March 2021.

stages of education and training'. The editors and authors support this statement and have taken deep pride in putting together this workbook.

Despite the wide-spread acceptance of ethics education in accounting degree programmes and the training period, the incorporation and delivery of ethics education is inconsistent and perhaps inadequate, often not receiving the required attention. The purpose of this workbook is to contribute to the ethical education of accountants in a practical and insightful manner.

The case studies included in this workbook are fictional and have been reviewed internally and externally. The purpose of the case studies is to provide practical examples of ethical situations and dilemmas that may be encountered in practice, and to provide guidelines for discussion within an educational environment. There are no 'exact' answers, as each ethical situation depends on the time, circumstances and environment. Our aim is to provide the tools for creating an ethical environment and for ethical decision-making.

The editors
September 2021

Acknowledgements

This work originates from the hard work and commitment of a dedicated group of accountants and academics. Most of the authors are involved in the teaching of Business Ethics and Auditing at their respective universities and in the accounting profession.

We thank the external reviewers for their time and acknowledge the support of the South African Institute of Chartered Accountants (SAICA) and The Ethics Institute in South Africa.

We are all passionate about ethics education, and trust that this work will support the teaching of ethics to future professional accountants.

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Chapter 1

The accounting ethics landscape

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1 Introduction

Within the accounting profession, ethics and ethical conduct are core attributes associated with professionalism, stewardship, and accountability. Given the challenges and issues relating to ethics and ethical conduct as experienced in the accounting profession in South Africa, the purpose of this chapter is two-fold: first, to provide some background relating to spheres of ethics and, second, to explain ethical reasoning as a tool for professional accountants faced with an ethical dilemma. Professional accountants have been criticised for unethical behaviour and actions. Even though only a few cases are identified and draw attention, these incidents affect the profession in general.

This workbook contains a broad spectrum of case studies that demonstrate a variety of professional, business and personal scenarios that may pose ethical dilemmas. Making the right ethical decision is not always easy, as demonstrated in these case studies. Guidelines for ethical decision-making and actions are provided in each case.

This chapter provides a definition of ethics, which is followed by a discussion of the spheres of ethics (personal ethics, business ethics and professional ethics) and related ethical principles and values with specific reference to the accountancy landscape.¹ The ethical reasoning process is then explained, with specific reference to ethical decision-making and the tools used to make ethical decisions. The role of ethics theories in explaining ethical decisions is also discussed. Finally, the chapter highlights the relationship between ethics and governance, the difference between ethics and the law and the concept of the 'apples and barrels' when professional accountants² in organisations are facing ethics challenges and ethical dilemmas.

1 Accountancy includes all related disciplines such as financial accounting, management accounting, auditing (internal and external), taxation, and financial management.

2 The term 'professional accountant' in this publication includes every related accounting professional in South Africa such as a chartered accountant (CA(SA)), registered auditor (RA), certified internal auditor (CIA), chartered management accountant
(continued on next page)

2 Ethics defined

Ethics is a branch of philosophy that deals with moral principles. It is based on well-founded standards of right and wrong that prescribe what humans ought to do, usually in terms of rights, obligations, benefits to society, fairness, and specific virtues. The field of ethics is concerned with matters of value such as personal values. The term is derived from the Greek word 'ethos', which can mean norm, habit, nature or character.

Ethics is concerned with what is good for individuals and society. When we talk about being ethical, we refer to the kind of person that someone is. The original and fundamental meaning of ethics therefore refers, in the first instance, to the individual and his or her character. But a person exists with others in the world; we are not alone. The second element of ethics refers to how that person relates to others. If you think about it, ethics is necessary precisely because what we are and do has an impact on others and on the world around us. Imagine being alone on an island. Your character and your actions would affect only yourself and to a negligible extent the natural environment of the island. Your actions would probably affect only your chances of survival. However, in the context of the society in which we find ourselves, and in the context of a planet with a population of over 7 billion people, what we do and how we act have an impact on others (society) and our natural environment.

<i>Ethics is about the self and our interactions with others.</i>

Another important piece of the ethics puzzle relates to ethical judgements. Ethical judgement is our reasoning about the possible actions to take in a situation and judging which action is most ethical. A person making an ethical judgement uses reason to decide what the best solution or decision is to a problem. Ethical judgement is a critical part of the decision-making process, how we judge the quality of the interactions between the self and others.

This brings us to ethical behaviour, the third important element of ethics. Behaviour may be classified as good or right when it is not only good for the self but also good for others (broadly understood). Self-concern, in contrast, is not necessarily bad. In fact, it is vital, as long as being concerned about the self also takes the interests of others into account. The concepts of self and others, and doing and being good, right and just, are illustrated in Figure 1.1.

(CMA), chartered certified accountant (ACCA), tax practitioner (TP(SA)), certified fraud examiner (CFE) and so forth.



Figure 1.1. Core concepts in the definition of ethics. (Source: Rossouw and Van Vuuren 2017.)

What is the GOLDEN RULE of ethics?

We should NOT do to others what we DON'T want them to do to us.

When applying the golden rule, it is important that you distinguish between self-interest and selfishness. We may subscribe to different understandings of what is fair, good, right or just, which is often problematic. These different understandings of what is fair, right or just are based on, amongst other things, our upbringing, education, religion and community (this belief is at the heart of ethical relativism). Ethical relativism holds that morality is relative to what one's culture and practices are. In other words, what is right or wrong depends on the moral norms of the society concerned. Figure 1.2 illustrates the principle of ethical relativism.

Ethical relativism is useful because it considers a wide variety of cultures and norms. However, its disadvantage is that right, wrong and justice are all relative – the fact that something is right in one culture does not make that thing right generally. What is considered good or bad should be determined beyond culture, religion or groups. For example, what is considered right and just for someone in Africa should be right and just for the next person anywhere else in the world. Ethical values should be based on reason and the ability to establish right from wrong. Stealing cannot be wrong because someone said so; it is wrong through our own reason and conscience. The application of the same ethics by all individuals universally is known as universal morality.

Universal morality for individual relations and interactions (personal ethics) should apply equally to businesses and professions. Common ethical principles must be applied globally. For example, disclosing confidential information cannot be acceptable (good) in one country and a criminal act in another. Similarly, it is not acceptable that an accountant in one country must be honest, while an accountant in another country can 'fix the books' for the contentment of his or her

client. Universally accepted principles, norms and standards that govern business transactions and professional behaviour are respectively called business ethics and professional ethics.

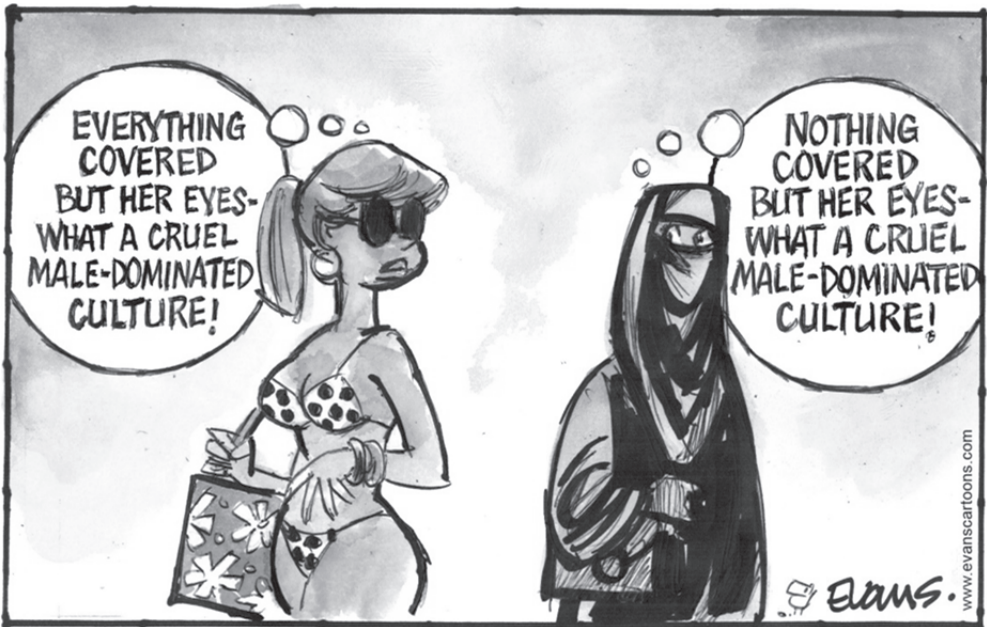


Figure 1.2. Example of ethical relativism concerning how women ought to dress. ('Burkas and bikinis' by Malcolm Evans, 6 Jan. 2011, reproduced with the kind permission of the artist. See www.evanscartoons.com.)

The next section describes the spheres of ethics in more detail.

3 Spheres of ethics

There are basically three spheres or dimensions of ethics: personal ethics, business ethics and professional ethics.

3.1 Personal ethics

Personal ethics, as mentioned earlier, are one's own values or normative standards that determine what one considers to be good, right and just behaviour towards others.

One's personal ethics are determined by

- the notion of what one subscribes to as 'good', as reflected in one's behaviour and attitude – that is, in one's habits and virtues
- one's personal ethical commitments, which may be influenced by cultural context, religious convictions, and, of course, upbringing
- the influence of 'others' – for example, family, friends, colleagues, and society.

3.2 Business ethics

'There are 7 things that will destroy us' of which one is 'business without ethics' (Mahatma Gandhi, cited in Covey 1990).

The second relevant sphere of ethics is business or organisational ethics. Ethical conduct in business is important because it saves millions of rands in lawsuits, settlements, and theft (Weiss 2006: 11). In addition, an entity's reputation and brand may also be damaged because unethical conduct may result in a loss of trust in the entity.

Business ethics relate to business activities such as engaging in economic activities – for example, exchanging a product or service for money. Economic transactions have an obvious ethical dimension. When services are rendered, or products are delivered in good order to the satisfaction of the client, and the money owed is paid, the interests of both parties are served. Put differently, an interaction between the self and the other that is good for both is an ethical interaction.

Like personal ethics, business ethics are composed of three pillars:

1. the ethical values and principles that preside over economic transactions in a particular organisation (the 'good') (these principles or values determine how decisions ought to be made)
2. the relationship between the organisation and the individual (the 'self')
3. the relationship between the organisation and its stakeholders ('the others').

Business ethics operate at various levels, namely the systemic, corporate and individual levels (Velasquez 2014: 15; Weiss 2006: 14).

- *Systemic level*³

Ethics at the systemic level refer to the national and international economic, political, and legal frameworks within which a business operates (Velasquez 2014: 15; Weiss 2006: 14). At the international level, business ethics refer to multilateral and/or international trade agreements (Archie 1978: 7). Multinational entities operate in countries and jurisdictions that have different laws, governments, and cultures (Donaldson 1996: 48). The managers of these entities are often faced with ethical dilemmas that require them to make difficult choices between two or more courses of action which entail transgressing a moral principle. For example, bribery is considered illegal

3 Also referred to as macro-ethics, defined as the exploration and evaluation of the social, economic, political, environmental, and cultural contexts and how they shape societal practices. Macro-ethics also explore how these contexts relate to one another. The significance of these contexts lies in the fact that they constrain or enable behaviour, whether on an individual or group basis (Kretzschmar et al. 2019).

in South Africa and, if caught, an entity will be fined. However, in another country such as Indonesia bribery may be an acceptable practice to get the work done (Donaldson 1996: 48).

In an effort to help multinational entities manage their ethical conduct, corporate governance guidelines and policies on issues such as consumer protection, anti-pollution and labour rights have been developed by international organisations. Such organisations include the Organisation for Economic Co-operation and Development (OECD), the United Nations and the World Economic Forum (WEF) (Windsor 2009: 309), to name a few.

- *Corporate level*

Ethics at the corporate level are concerned with the ethical culture of an organisation and with its policies and practices (Velasquez 2014: 15; Weiss 2006: 14). Culture may be seen as 'the way of life' within an entity (Ojo 2010: 2; Somers 2001: 194) and represents an entity's beliefs and values (Schwartz 2013: 40). The key elements required to build an ethical culture within an entity include a set of core ethical values, a formal ethics programme and ongoing ethical leadership (Schwartz 2013: 41). Although each element is distinct, each one is required to support the other elements.

Corporate ethics include the ethical impact, which may be positive or negative, that an entity has on its stakeholders. An entity has a responsibility towards its stakeholders, including its clients, customers and suppliers, employees, the natural environment, and society (Weiss 2006: 14).

- *Individual level*

Ethics at the individual level relate to the intentions, decisions, and actions of a particular individual within an organisation – for example, a director (Velasquez 2014: 15; Weiss 2006: 14). It is important to note that the ethical intentions of all employees are significant.

3.3 Professional ethics

The third relevant sphere of ethics is professional ethics. Professional ethics refer to the personal and corporate standards of ethics expected of professionals. A professional accountant⁴ is a qualified accountant who has the required specialised knowledge of accountancy including technical and practical knowledge, competencies, and skills.

4 A professional accountant is usually a member of a professional body such as the South African Institute of Chartered Accountants (SAICA), South African Institute of Professional Accountants (SAIPA), South African Institute of Government Auditors (SAIGA), Institute of Directors (IoD), Institute of Internal Auditors (IIA), South African Institute of Tax Practitioners (SAIT), and so forth.

Professionals acquire specific knowledge and skills to make decisions and perform certain actions that the general public cannot. How these skills are governed when a service is rendered to the public can result in a moral issue. Professional ethics are therefore considered essential for public trust.

Like personal and business ethics, professional ethics consist of three pillars similar to those of personal ethics described earlier:

1. the values, principles and standards (the 'good') of the person
2. how those values and principles are adopted by professionals ('self')
3. that these values and principles benefit society ('others') and give credibility to the services rendered.

When using the services of a professional – for example, a lawyer, an accountant, a doctor, or a therapist – you want to be sure that the individual abides by a code of professional conduct that engenders trust, ensures confidentiality, integrity, professionalism, and so forth. The code of professional conduct of a profession is designed to ensure that members of that profession act in accordance with the character, spirit and purpose of the profession and to the benefit of the clients and the community they serve.

For the purposes of this workbook, the ethical principles prescribed by the International Federation of Accountants (IFAC) code are used as a point of departure. The majority of accounting professional bodies have their own codes of professional conduct, but these codes are all based on the IFAC code.

The fundamental ethical principles included in the IFAC code are integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour. The specific meanings of each of these principles are explained in Chapter 2. Threats to the fundamental ethical principles exist and safeguards should be in place to reduce the risks associated with these threats. Most codes provide professionals with guidance on common threats encountered.

What if a professional accountant violates the principles or rules of the code of professional conduct? What are the consequences of unethical behaviour? An important section of any code of conduct or code of ethics is that dealing with consequence management. The message must be very clear to all professional accountants: if you do not adhere to the principles and or rules, there will be consequences.

Consequence management

Consequence management is an important control measure in any organisation or profession. Unless the necessary steps are taken to reprimand those professionals who act unethically, the good reputation

and trustworthiness of the profession concerned will be at risk. Consequence management requires acting in a consistent and deliberate manner against persons and entities who intentionally fail to comply with procedures, policies, regulations, and legislation or who are guilty of fraud or misconduct.⁵

4 Ethical decision-making

Ethical decision-making comes from a person's moral sense and desire to preserve self-respect. In making ethical decisions, it is necessary to recognise and eliminate unethical options and select the best ethical alternative course of action. Thus, ethical decision-making necessitates a process of evaluating and choosing from alternative courses of action in a manner that is consistent with ethical principles.

Management and employees of organisations are faced with ethical dilemmas on a regular basis. An ethical dilemma arises when an ethical evaluation of a situation produces two or more conflicting judgments. For example, the cultural upbringing of Mr X embraces a moral standard in terms of which he has an obligation to tell the truth. However, Mr X's employer requires him to falsify a report. As an employee he has an obligation to obey his employer. Mr X must evaluate which obligation outweighs the other: the obligation to tell the truth or the obligation to obey his employer. The questions Mr X would ask himself to justify his choice and the application of that choice are regarded as ethical decision-making (Jaffer 2019).

Management and employees must exercise professional discretion. Put differently, ethics codes (as discussed in section 2) do not always provide all the answers. For example, Enron had a good code of ethics, but it also had a culture where rules were broken and unethical behaviour was rewarded, while WorldCom's code of ethics was adopted only after the demise of Enron (Barry 2002: 38).⁶

Collaboration in the workplace helps to identify 'grey areas' of ethical dilemmas. This collaboration includes working together to eliminate any uncertainty associated with vague ethics standards. A powerful tool to enable an organisation to 'shrink' and 'eliminate' these grey

5 See the general report on the national and provincial audit outcomes for 2016–17, relating to fraud and consequence management, issued by the Auditor General South Africa: <https://www.agsa.co.za/Portals/0/Reports/PFMA/201617/GR/09.3%20fraud%20and%20consequence%20management.pdf>.

6 Enron and Worldcom were multinational entities that collapsed as a result of fraudulent management conduct. Enron's top management misrepresented the entity's financial condition and designed and implemented controls inadequately, while WorldCom's top management manipulated results to meet market and security expectations (Schwartz, Dunfee and Kline 2005: 80)

areas is a transparent organisational culture that fosters and rewards ethical and moral courage. Universally accepted ethical norms and standards should be adopted to promote ethical behaviour in organisations and in professions.

Employees of organisations facing an ethical challenge need to follow the process of evaluating and choosing from alternative courses of action in accordance with ethical principles. As part of their ethical decision-making, they aim to avoid or restrict the negative impact of their decisions on other people. In more positive terms, applying ethical principles means that employees need to make decisions in a manner that will best ensure that the interests of all affected parties are served.

Similarly, professionals need to serve society and protect the public interest. As a professional accountant, you must ensure that you understand who the affected parties or stakeholders are, what their interests are, and how your decisions can protect or harm those interests. Knowing the answers to these questions, and how you can protect stakeholders, creates stakeholder trust. Trust between an organisation and all of its stakeholders is one of the important keys to the sustainable success of the organisation.

Trust derives from the reputation of the organisation (whether it is a business, a public-sector organisation or an accounting, auditing, taxation or consulting practice). Reputation is like an endorsement, the opinion that people in general have about the organisation and its products and services, based on past behaviour or character. A good reputation is built up over time and based on good, ethical decision-making. A reputation can be ruined or severely tarnished in an instant. Trust and reputation affect consumer decisions; they may be the reason why you decide to buy a specific brand of car, choose one service provider over another, or choose to enrol your children at a specific educational institution, and so forth.

Furthermore, professional accountants (specifically auditors or assurance providers) need to have an attitude of professional scepticism. According to the International Standards for Auditing (specifically, ISA 200), professional scepticism is 'an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence'. Critical assessment of audit evidence highlights the point that fraudulent or unethical behaviour or activities could be detected by the application of professional scepticism and by asking the right questions of the right people. Similarly, professional accountants who prepare financial statements use the financial reporting standards such as the International Financial Reporting Standards (IFRS) or Generally Recognised Accounting Principles (GRAP) as guiding principles and standards to measure and disclose the different elements in these statements.

Often, a professional accountant needs to use professional judgement in preparing these statements. This also requires an ethical decision and not a decision based on “creative accounting”.

Ethics theories guide ethical decision-making. The following three prominent ethics theories are explained further in Chapter 2:

- virtue ethics, focusing on the character of ‘self’
- deontological ethics, referred to as duty-based ethics
- utilitarian ethics, focusing on the consequences of an action.

The case studies included in Chapters 3 to 18 demonstrate several ethical dilemmas and provide guidance on ethical decision-making in each case. Professional accountants should be able to

- identify and analyse the relevant personal, business and/or professional ethical dilemmas apparent in each scenario
- identify the ethical values challenged or threatened by the ethical dilemmas and evaluate the impact of the ethical dilemmas on those ethical values
- identify the stakeholders affected by the ethical dilemmas
- apply an ethics-based reasoning process to solve ethical dilemmas
- analyse all courses of action and the consequences of each (such as disciplinary action) for unethical behaviour
- report ethics-related issues to higher levels of management, legal or regulatory authorities or others, when appropriate.

When you are confronted with an ethics issue, what should you do?

To assist you in recognising ethics issues, you should ask yourself these simple questions.

- 1 Was some policy, law, regulation or rule violated?
- 2 Does the balance between the self and others sway towards the self?
- 3 Could the action or decision harm others (internal and external stakeholders)?

If your answer is ‘yes’ to one or more of these questions, you are almost certainly dealing with an ethics issue.

Source: The Ethics Institute, South Africa

5 Ethics and governance

Ethics is considered the foundation for good governance (IoDSA 2016: 4). Ethics is related to governance in two ways, namely the ethics of governance and the governance of ethics. Within an entity, both need to be in place (Rossouw and Sison 2006: 2). Corporate governance

structures aim to create value and trust in businesses. These values and trust support the ethics of governance. The governance of ethics refers to the way in which the governing body directs the entity such that the entity performs in an ethical manner (IoDSA 2016: principle 2, practice 4; Rossouw and Sison 2006: 2).

The ethics of governance and the governance of ethics are both relevant to the case studies included in this workbook. The aim is to determine (1) what the governing body does to ensure that the organisation is ethical and (2) how the governing body monitors the ethical standards set for the organisation (Rossouw and Sison 2006: 2). Specifically, the governance of ethics deals with codes of conduct, staff training on ethics, whistle-blowing and reporting on ethical performance (Rossouw 2009: 5).

Ethics is intertwined with corporate governance in that ethics and ethical theories provide the concepts for thinking about and guidance on how to respond to an ethical dilemma (Jones, Felps and Bigley 2007: 153). While an organisation can have all the necessary governance structures (such as governance boards and committees) in place and adhere to all applicable laws and regulations, without a culture of ethics greed can nevertheless take over, resulting in grim outcomes such as the collapse of the organisation or significant reputational damage.

A culture of ethics begins with leadership by both the governing body and management (which often include professional accountants). The governing body and management promote the ethical culture of the entity when they practise what they preach. 'Living by example' is achieved when the messages, statements, actions, and explanations provided by management are consistent with the organisation's ethical culture (Staicu et al. 2013: 76; IFAC 2007: 8).

The ethical leadership responsibility of the governing body is further emphasised by King IV,⁷ which states that the governing body of an organisation is responsible for building an ethical organisational culture and ensuring that the organisation is a good corporate citizen. Some requirements included in King IV are that the governing body establish

⁷ The fourth King Report on Corporate Governance (hereafter referred to as King IV) supports the notion that good governance is driven by ethical leadership, when it describes governance as 'the exercise of ethical and effective leadership by the governing body towards the achievement of the following governance outcomes: ethical culture, good performance, effective control and legitimacy'. King IV further states that ethical leadership is exemplified by responsibility, accountability, transparency, fairness, integrity and competence (these are described in detail in Chap. 2).

a social and ethics committee, appoint an ethics officer, and implement a formal ethics management process. A formal ethics management process includes

- identifying the ethics risks faced by the organisation
- the development of a code of conduct and related policies (to mitigate the ethics risks)
- ensuring that the developed code and related policies are communicated to employees
- the training of employees on the code of ethics
- recruiting and promoting ethical employees
- providing anonymous telephone lines to facilitate the reporting of non-adherence to the code of ethics
- the reporting of the organisation's ethics performance to internal and external stakeholders.

Adherence to this process should be monitored regularly and action taken when the process is not followed.

6 Ethics and the law

What is the difference between ethics and the law? It is easy to get confused between what is legal and what is ethical, as these two aspects are not always aligned. Is something that is ethical also necessarily legal? Or is anything that is legal also at the same time ethical? Is it possible that something is ethical but illegal, or unethical but legal?

Ethics and laws are found in virtually all spheres of society, as both ethics and laws intend to determine what is right. They govern actions of individuals around the world. Both ethics and the law intend to determine what is right. Ethics refers to a person's moral sense and desire to preserve self-respect, while the law may contain ethical values meant to help regulate society. Even though laws may be based on ethical principles, law and ethics are not co-extensive. Essentially, laws enforce the behaviour we are expected to follow, while ethics suggests what we ought to follow and helps us explore options to improve our decision-making.

What is legal is determined by the law, which follows a public and political process and employs the power of the state to ensure that all people abide by the law. Laws are created and externally enforced (executed) by governments. Laws are created on the basis of society's ethics, to mediate relationships and protect citizens. While laws carry with them a punishment for violations, ethics does not.

What is ethical, on the other hand, is determined by personal ethics and the organisational code of conduct. Personal values are internal

or self-imposed, whereas your employer's code of conduct is something you are contractually bound to by virtue of being an employee. Similarly, a professional is bound to a professional code of conduct as a member of the professional body concerned. For example, you may decide to drive carefully because you don't want someone to get hurt (this is a decision that is based on ethics), while driving carefully within the speed limit because you see a police car behind you suggests that you are concerned with not being punished for breaking the law.

In business operations, there are many examples of what is ethical and what is legal. Management makes decisions based on information presented to it, and the information may be legally correct but not ethical. For example, a legal requirement may state the specifications of protective clothing for employees working with dangerous machines. However, when maintenance of the machines is poor, there is a huge risk of injury and the protective clothing may be insufficient.

In accountancy, you must consider making ethical decisions (deciding what is right and just) and adhering to applicable legal requirements. When thinking about business or organisational ethics, we are not only considering personal ethical decisions and actions in business: business ethics is about the ethics of economic systems and organisations. The relationship between personal ethics and the ethics of economic systems and organisations is captured in the metaphor of apples and barrels.

7 The apples and the barrels⁸

Individuals can influence organisations and organisations can influence individuals. The nature of the setting affects how individuals function and act in a specific environment. We can compare the ethics framework of an organisation to a barrel, and the individuals within the organisation are the apples. In every barrel of apples there are a few bad ones. A sturdy barrel (a strong ethical organisational culture) is made to last and will keep the apples inside fresh. In a poorly constructed barrel (a weak ethical culture or an unethical organisational culture), the apples will quickly rot.

Unethical behaviour in organisations is often attributed to the behaviour of unethical individuals, referred to as 'bad apples'. Some argue that the solution to unethical behaviour in a business lies in removing those ethically corrupt persons – that is, in tossing out the bad apples.

⁸ This metaphor is based on the metaphor 'one bad apple can spoil the barrel'. The 'barrel' represents the organisation and has been referred to in various studies. See Rossouw and Van Vuuren (2017) and <https://www.washington.edu/news/2007/02/12/rotten-to-the-core-how-workplace-bad-apples-spoil-barrels-of-good-employees>.

The question is whether the barrel is sturdy enough to prevent the few bad ones from corrupting all the others. People with a dubious or even good moral character can turn to unethical behaviour if they find themselves in an organisation where unethical behaviour is the norm. For example, a person working in an organisation in which bribes are accepted may become willing to start accepting bribes. When individuals who accept bribes are not punished, they may get ahead faster and appear to be more successful at their jobs than those who choose not to participate.

The same rule applies to ethical organisations that reward ethical behaviour. In this case the bad apples are not only prevented from corrupting the other apples in the barrel but also restrained from behaving unethically. Any indication of an apple's being bad or getting rotten results in a quick toss to the outside of the barrel!

Ethical behaviour therefore starts with the individual, with his or her moral fibre or compass, but is closely connected to his or her context. Ethics thus operates at the individual, systemic and organisational levels.

Chapter 2

The vocabulary of ethics*

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1 Introduction

When embarking on the journey towards qualifying as an accountant, you are required to have a comprehensive understanding of ethics. Professional accountants are required to behave ethically and demonstrate ethical behaviour, professional competence, and responsible leadership. For this reason, it is important that you be familiar with the language of ethics.

The basic ethics concepts include honesty, integrity, justice, equality, and respect. When treating others with disrespect or disregarding them because they are different to you is a violation of the principles inherent in the concepts of integrity, justice, and equality. These are just some of the key concepts and terms that have specific meaning when one thinks about ethics and ethical decisions. It is important that you be familiar with the ethics vocabulary and apply these principles in an ethical dilemma. Thus, both cognitive (knowing what the right thing is to do) ethics competence and behavioural (doing the right thing) ethics competence are important for all professionals.

This chapter outlines the meaning of a professional, the differences between professionalism and commercialism, and the role of the professional accountant. This discussion is followed by a summary of the concepts and terms – in other words, the ‘ethics vocabulary’ used in the case studies included in Chapters 3 to 18. Most key concepts and terms used in this publication are included in that summary, but it is not a complete list.

2 The professional accountant

2.1 What is a professional?

For someone to be considered a professional, he or she must

- obtain a relevant academic qualification prescribed by the profession concerned

* Some of the content in this chapter has been contributed by the co-authors of this publication.

- go through a structured on-the-job training programme (in other words, serve a training contract or apprenticeship)
- complete a test of competence
- be accountable in terms of a code of ethics and ensure quality of service by adhering to continuing professional development requirements.

A critical trait of a profession is its service to the public.

2.2 Professionalism vs commercialism

Professionalism

The term 'professionalism' invariably includes all the elements mentioned in section 2.1. Professionalism informs the goals that define and guide professionals in the way that they act and how they make decisions when serving the public. Careful consideration should be given to the responsibilities one takes on by identifying oneself as a professional. The 'spirit' of professionalism is grounded in the ethical principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour. The responsibility to act in the public interest is acknowledged in the IFAC code of ethics,¹ affirming the responsibility of the accountancy profession to protect the public interest.

Commercialism²

Services provided by professional accountants over the centuries have significantly evolved from ordinary verification of numbers to intricate involvement in complex business decisions and advisory services that are much broader than mere accounting services. Professional accountants have become leaders and business partners who enable their clients' success and prosperity.

This expansion of services performed by audit or advisory firms has resulted in the diversification of staff in that such firms now also employing other, non-accounting professionals. Consequently, not all professionally qualified staff necessarily subscribe to the same code of professional conduct. In addition, the financial rewards systems have advanced to mirror those of a commercial industry, to ensure the recruitment of quality specialists in various fields of expertise.

1 The IFAC code of ethics has been adopted by several professional accounting bodies in South Africa and abroad.

2 Discussed in detail in section 7 below.

All these changes have affected the professionalism mindset of professional accountants. Care should be taken to ensure that a professional mindset is maintained and that professionals continue to identify with the notion of professionalism instead of that of commercialism.

2.3 The conflicting roles of the professional accountant

The professional accountant participates in three distinct roles, which are inherent to the profession. These are

- protecting the public's interests
- serving the employer's interests (as an employee)
- serving the client's interests (specific to audit/advisory firms).

The first and primary role of professional accountants, as identified in the IFAC code, is to protect the public interest, although professional accountants are not appointed by the public. The fact that accounting professionals are members of a professional body and claim to act ethically and professionally gives credibility to the services they render.

The profession has a mandate to act as gatekeeper. Therefore this role should be the most salient for a professional accountant. This claim of protecting the public interest is emphasised several times in various documents published by IFAC. For example, IES7 states that continuous professional development (CPD) is required in order to protect the public interest. Whether a professional accountant regards this role as the most salient is an important consideration that requires careful personal reflection and assessment.

The second role of the professional accountant is that of an employee who is loyal to the mission and vision of his or her employing organisation, and who participates in contributing to the performance, sustainability, and growth of the organisation. This loyalty and focus on commercialism can create an unconscious business mindset which in turn guides actions and decision-making – for example, when performance is measured on the basis of profitability only. When employed, professional accountants must take care not to focus on the commercial dimensions of decisions only, as their ethical sensitivity may be impaired. As employees in an organisation, professional accountants should therefore carefully reflect on the ethics and values of their employer in comparison with their professional values because their employment position may compromise their personal and professional values.

The third role taken up by several professional accountants is that of registered auditor. The Code of Professional Conduct for Auditors (IRBA 2018) states that acceptance of the responsibility to act in the public interest is a distinguishing mark of the accounting profession. It states

that 'a *registered auditor*'s responsibility is not exclusively to satisfy the needs of an individual client' (par. 100.1 A1). For this reason, the code contains requirements and application material for registered auditors to meet their responsibility to act in the public interest.

These three distinct and often conflicting roles can present ethical challenges to professional accountants and are therefore fundamental considerations when one is determining appropriate behaviour in an ethical dilemma. The third role, to meet the needs of the individual client, stems from the fact that auditors/advisors are paid by the client for the services rendered. Auditors/advisors are also privy to confidential information of the client, and there is a strong emphasis on services to the management of the client. The intimate nature of the relationship between the auditor/advisor and the client creates an independence challenge, which inevitably influences the public's perception.

The close relationship between auditors and their clients creates an unintentional, unconscious bias (such as a self-interest bias or familiarity bias) and challenges the profession's claim to independence, objectivity and neutrality. Regulations, such as those introducing measures for mandatory firm and partner rotations for auditors, are intended to counteract the biases that are perceived to increase over time, but the familiarity bias cannot be eliminated completely.

The effective navigation of these three conflicting roles is a critical part of demonstrating integrity as a professional accountant. According to role identity theory, the role which a professional accountant regards as the most salient unconsciously determines his or her approach to ethical challenges because the role provides justification for his or her actions. Unethical behaviour could be justified in terms of the role that a professional accountant plays, which is often seen as separate from his or her own personal moral standards.

3 Codes of ethics

A code of ethics is also referred to as a code of conduct, value statement or code of practice (Kaptein and Schwartz 2008: 111). Many entities are either obliged by legislation to have in place an organisational or business code of ethics or are pressured by stakeholders to do this (Kaptein 2011a: 233). A code of ethics implies that an entity takes the issue of ethics seriously and considers ethical behaviour a precondition for doing business (Webley and Werner 2008: 404).

A code of ethics encompasses those values which have been identified by an organisation as universal and significant to the organisation (Schwartz 2013: 41) and includes guidance on matters such as the treatment of stakeholders, the goals of the entity, and the expectations of internal and external stakeholders (IoDSA 2016: 44). These values must

be entrenched through the organisation's policies, practices and processes and must be clearly articulated in the code of ethics (IoDSA 2016: principle 2, practice 5).

According to Schwartz (2004: 324), a code of ethics is an official written document that articulates the moral standards (right and wrong behaviour) that are used to guide employee behaviour at all levels. In other words, the code of ethics outlines the values that the entity has adopted in respect of what is considered acceptable behaviour. In addition, the ethical values, as set out in the code of ethics, are developed with both the present and future in mind and pertain to the multiple issues facing managers and employees in their interactions with each other, the entity's stakeholders and/or society in general (Kaptein 2011a: 234). In addition, the code of ethics should address the entity's ethics risk profile (IoDSA 2016: principle 2, practice 6(b)).

Professional bodies also require their members to adhere to a professional code of ethics. As mentioned above, the codes of ethics of most professional accountancy bodies are based on the IFAC code of ethics. The fundamental principles in the IFAC's code of ethics are integrity, objectivity, professional competence and due care, confidentiality and professional behaviour. See Table 2.1 for an explanation of each principle.

Table 2.1. Fundamental principles of the IFAC code of ethics. (Source: IESBA (2019).)

Integrity	A professional accountant must be honest and straightforward in all professional and business relationships.
Objectivity	A professional accountant must not compromise professional and business judgements because of bias, a conflict of interest or the undue influence of others.
Professional competence and due care	A professional accountant must attain and maintain the knowledge and skills required to provide the entity with a professional service based on current technical and professional standards and legislation. The professional accountant must also act diligently in line with technical and professional standards.
Confidentiality	A professional accountant has a duty to respect the confidentiality of information acquired as a result of professional and business relationships.
Professional behaviour	A professional accountant must comply with relevant laws and regulations and avoid any conduct that will bring the profession into disrepute.

3.1 Ethical values

The values, virtues or attributes (refer to virtue ethics theory) required of a professional accountant are usually included in a professional code of ethics as ethical principles. Furthermore, a code includes specific rules of conduct that will facilitate the achievement of these principles or values.

Values for professional accountants are not limited to those mentioned in Table 2.1. Table 2.2 lists other relevant personal and ethical values (see Bello 2012; Brown et al. 2005; Sheehan and Schmidt 2015; West 2006).

Table 2.2. Other personal and ethical values relevant to professional accountants.

Authenticity	To act in a manner that is genuine and true to who you are.
Authority	To be in charge of and responsible for others.
Empathy	To understand emotionally and be aware of the feelings, thoughts and experiences of others.
Equality	Ensuring that every individual has an equal opportunity to make the most of their lives and talents.
Excellence	Being outstanding or extremely good.
Freedom	The power or right to act, speak, or think as one wants.
Generosity	To be kind and generous. Traditional African ethics are founded on kindness to others and sharing. They are community-centred, and the focus is on the group rather than the individual – hence the principal value of <i>ubuntu</i> (see below)
Honesty	To tell the truth always.
Justice	To promote fair and equitable treatment for all. Leaders are able to deliver justice and fair treatment because of their unique position in an entity. Justice involves making decisions by evaluating the evidence provided and the actions of followers.
Love	Tender, passionate affection for another person. You would have heard of the expression ‘love your neighbour as you love yourself’. In living up to this ideal, you would have to treat those around you with love. Ethics theory also teaches doing to others as you would have them do to you.

continued

Respect	To have regard for the feelings, wishes, and rights of others.
Responsibility	To be liable and called to account for your decisions and actions.
Self-acceptance	To accept yourself as you are.
Self-control	To be responsible and disciplined in your own actions.
Trust	The expectation that the other individual(s) in a relationship will not act opportunistically but will instead be honest, committed and show care.
Truthfulness	Telling the truth, stating something that is correct, a fact, or a reality. Truthfulness allows you to be honest about yourself, and to others, and to live a life which reflects truth.
<i>Ubuntu</i>	<i>Ubuntu</i> ('humanity') is regarded as the soul that drives all facets of life in African societies. It acknowledges that you do not live as an individual in this world but are defined in the context of the community. Living up to <i>ubuntu</i> requires that you not consider what is best for yourself but what is best for the community.

As with adhering to the value of *ubuntu*, acting with love towards others requires you to demonstrate empathy towards them. Therefore, to act with love towards those within your community, you would have to speak up regarding the wrongdoings that come to your attention. For example, it cannot be considered an act of love to keep quiet about these matters and effectively 'sweep them under the carpet'. The business world and the greater community stand to lose in the long run if questionable conduct is not dealt with ethically.

3.2 Threats to fundamental principles

Professional accountants should at all times aspire to adhere to the fundamental ethical principles highlighted in Table 2.1. However, adherence to these principles is often challenged or threatened when ethical dilemmas arise. Consider, for example, an audit client who asks the professional auditor to compile the financial statements. This request creates a self-review threat in that the auditor cannot review or audit his or her own work. The auditor's judgement and objectivity could be impaired in this instance. Similarly, when a professional accountant or auditor has a financial interest in a client (for example, by owning shares in the entity), a self-interest threat is created, which could impair the judgement or objectivity of the professional accountant or auditor.

Other threats highlighted by the IFAC code of ethics include attempts (by, for example, aggressive senior management) to exercise undue

influence over the professional accountant (intimidation threat); a long, close or personal relationship between the professional accountant and the client or employer (familiarity threat), which could impair the professional accountant's objectivity; and an advocacy threat, where the professional accountant promotes the client's or employer's position (for example, when a professional accountant acts on the client's behalf in a court or other legal issues).

Professional accountants must identify and evaluate all threats to compliance with the ethical principles in the code of ethics and determine whether these threats can be eliminated or reduced to an acceptable level.

In conclusion, both organisational codes of ethics and professional codes of ethics include principles or rules to promote ethical behaviour or prevent unethical behaviour. Professional accountancy bodies have developed professional codes (with extensive rules) that must be adhered to. But what if a professional accountant's proposed action or decision is not covered by the professional body's code of ethics? Similarly, what if a manager or employee's actions are not explicitly addressed in the organisation's code of ethics or code of conduct? How will we then decide what the right, fair, just and ethical action or decision is? In such instances, ethics theories can provide guidance.

4 Ethics theories

Decision-making is driven by, amongst other things, our own value systems and those of the environment we may find ourselves in. It follows (from the discussion in Chapter 1) that ethical decision-making is driven by ethics theories.

The three most prominent ethics theories are the following.

- *Virtue ethics*

A good person acts ethically. I become ethical by doing the right thing.

The Greek philosopher Aristotle proposed the theory of virtue. This theory argues that an action of an individual is considered morally correct if the person carries out the action in a morally correct or virtuous manner, but the action is immoral if the person carries out such action in an immoral or bad manner. For example, if an action causes the actor (or individual) to act honestly and in a principled and/or cooperative way then the action is morally good. On the other hand, if the action makes the person dishonest, careless or selfish then the action is morally wrong.

- *Deontological ethics*

Do not do to others what you don't want them to do to you.

The deontological theory of ethics, also known as duty-based theory, was developed by Kant. Deontology focuses on the principles of an action rather than its consequences. According to deontological theory, people have certain rights and duties regardless of the cost or benefits of such rights and duties. Moreover, people should not be used as a means of advancement and should be treated fairly – humanity should be considered above all else.

- *Utilitarian ethics*

The right action serves the best interest of the greatest number.

In terms of the utilitarian theory of ethics, a decision or action (including distribution of resources) will be just/fair if it is based on the 'greatest happiness' principle. A decision or action will be just if it promotes or advocates happiness (or pleasure) for the greatest number of individuals in society (or in a group, entity, or country and so on), if it promotes overall societal welfare. The theory is associated with Jeremy Bentham and John Stuart Mill who believed that distributive justice should be based on the 'social utility' principle, meaning that it has to promote happiness (or pleasure) and not unhappiness (or pain). If the action or decision promotes happiness for a minority of individuals affected or does not promote happiness at all, it goes without saying that such a decision or action will be deemed unjust from a utilitarianism perspective.

Other ethics theories also exist and may prevail.

- *Rights approach*

The rights approach focuses on fundamental human rights that should belong to every person. This approach compels us to identify our own legitimate rights and the legitimate rights of others in an ethical decision and to consider how well the moral, legal and contractual rights of everyone are respected and/or protected by the action. Therefore, if an action does not respect everyone's moral rights, it is a wrong action.

- *Fairness/justice approach*

The fairness approach assesses whether an action results in equal treatment of all parties and does not show favouritism or discrimination. It relies on the idea that equal people are to be treated equally. If, for example, two people are performing the same job, they should be paid equally.

Distributive justice is concerned with the fair acquisition of and the socially just or fair allocation, distribution, division or use of limited resources. It refers to the fair distribution of the benefits and burdens of society. The concept has gained prominence owing to the increase in socio-economic inequality over time. As a result of this growing inequality certain individuals have greater opportunities to improve and advance their present situation and more resources to realise their dreams than do others. Distributive justice is founded on the principle that equal work ought to provide individuals with an equal outcome with reference to the acquisition of or ability to acquire resources. Since there are limited resources in society, a key question that arises is how resources should be distributed. This has given rise to distributive justice theories.

- *Common-good approach*

The common-good approach suggests that ethical actions are those that benefit all members of the community. It takes into consideration the well-being of society as a whole.

- *Egalitarian theory of justice (egalitarianism)*

Egalitarianism emphasises that all individuals deserve to be treated equally (the same) and that all humans are equal in 'moral status' or 'worth'. The theory particularly focuses on inequality in wealth or income distribution. Multiple principles exist as to what can be considered to be equality. John Rawls's idea of equality is adopted here. Rawls believed that an action or decision will be just only if it is fair. What this means is that an action or decision will be just only if it is attached to or creates equal opportunities for all individuals or benefits those who are worst-off in society. Rawls imagined that resources can be distributed by being divided equally amongst all individuals, regardless of societal class, or by being divided unequally amongst different societal classes. The latter division of resources will be deemed just only if it is based on the principle of equity, meaning that the worst-off in society benefit more. Equity takes into account each individual's personal circumstances and aims to distribute resources in such a manner that an equal outcome for all is reached, taking into account the circumstances prior to distribution of the resources.

- *Libertarian theory of justice (libertarianism)*

The libertarian theory values individual freedom or autonomy above everything else. The theory is associated with Robert Nozick, who believes that a decision or action can be deemed just only if it does not interfere with or violate the freedom of another individual. Nozick

believes that resource allocation should be the outcome of voluntary exchanges, and that no one should ever be forced to distribute the resources he or she has. Nozick also believes that an individual who has legally obtained resources or belongings should never be forced to share them with or help those who are less fortunate. From a libertarian perspective, since individuals enjoy freedom in their personal and social affairs, they should be afforded the same freedom in their economic affairs.

5 Ethical leadership

As stated in Chapter 1, ethics begins with leadership. Neither a formal code of ethics nor ethics training will have an effect unless the actions and behaviour of an entity's leaders are in line with the organisation's code of ethics and the training provided (Bello 2012: 229). The leaders of an organisation are expected to create the ethical or organisational culture in the entity by leading in such a manner that all members of the entity 'know what's right, value what's right and do what's right' (Sauser Jr 2013: 16) – thus, the tone-at-the-top should be ethical.

Brown, Trevino and Harrison (2005: 120) introduced the concept of ethical leadership, which is widely accepted: 'The demonstration of normatively appropriate conduct through personal actions and interpersonal relationships and the promotion of such conduct to followers through two-way communication reinforcement and decision making'.

The authors describe an ethical leader as a person who demonstrates attributes such as honesty, trustworthiness, fairness and care (i.e. the ethical leader is a moral person). An ethical leader provides the employees with a voice, is just and promotes ethical behaviour through communicating ethical behaviour, rewarding ethical conduct, disciplining unethical behaviour and holding people accountable (i.e. an ethical leader is also a moral manager) (Brown 2007: 141). In addition, an ethical leader considers the consequences of his or her actions and makes choices that may be emulated by others.

King IV principles of ethical leadership

The King Committee was established by the Institute of Directors in Southern Africa (IoDSA) in 1993 and commissioned with investigating the way in which organisations were being administered. The committee has published four reports on corporate governance. The fourth and most recent report was published in 2016. The King IV code's principles state that the governing body must lead ethically and effectively.

Ethical leadership is exemplified by integrity, competence, responsibility, accountability, fairness, and transparency (see Table 2.3). It involves the anticipation and prevention, or otherwise amelioration, of the

negative consequences of the organisation's activities and outputs on the economy, society and the environment and the capitals that it uses and affects.

Effective leadership, on the other hand, is results-driven. It is about achieving strategic objectives and positive outcomes. Effective leadership includes but goes beyond an internal focus on practical and efficient execution. Within a work environment, leaders set the tone for organisational goals and behaviour. They can often control many outcomes that affect employees (e.g. strategies, goal setting, promotions, appraisals and resources). Employees are motivated to achieve whatever leaders communicate as being important and are incentivised to do that which will be rewarded. It is not surprising, then, that employees rely on their leaders for guidance when faced with ethical questions or problems. Research shows that employees conform to the ethical values of their leaders. Furthermore, leaders perceived as ethically positive influence productive employee work behaviour.

Table 2.3. King IV: Principle 1 – Characteristics of effective and ethical leadership. (Source: IoDSA (2016).)

Integrity	Members of the governing body • must act in good faith and in the best interests of the organisation • should avoid conflicts of interest • should act ethically beyond mere legal compliance • should set the tone for an ethical organisational culture.
Accountability	Members of the governing body should be willing to answer for the execution of their responsibilities, even when these were delegated.
Fairness	Members of the governing body • should adopt a stakeholder-inclusive approach in the execution of their governance role and responsibilities • direct the organisation in such a way that it does not adversely affect the natural environment, society or future generations.
Transparency	Members of the governing body should be transparent in the manner in which they exercise their governance role and responsibilities.

continued

Responsibility	Members of the governing body • should assume collective responsibility for steering and setting the direction of the organisation, approving policy and planning, overseeing and monitoring of implementation and execution by management and ensuring accountability for organisational performance • should exercise courage in taking risks and capturing opportunities but do so in a responsible manner and in the best interests of the organisation • should take responsibility for anticipating, preventing or otherwise ameliorating the negative outcomes of the organisation's activities and outputs on the triple context in which it operates and the capitals that it uses and affects. • should attend meetings of the governing body and its committees and devote sufficient time and effort to preparing for those meetings.
Competence	Members of the governing body • should take steps to ensure that they have sufficient working knowledge of the organisation, its industry, the triple context in which it operates, the capitals it uses and affects as well as of the key laws, rules, codes and standards applicable to the organisation • must act with due care, skill and diligence and take reasonably diligent steps to become informed about matters for decisions • should continuously develop their competence to lead effectively.

6 Implementing and promoting an ethical organisational culture

The key elements required to build an ethical culture within an organisation are a set of core ethical values (see Table 2.2) in a formal ethics management system and ongoing ethical leadership (discussed in section 7 below) (Schwartz 2013: 41). A formal ethics management system alone is not sufficient for an ethical organisational culture to be established; an 'informal' ethics management system is required too.

The formal ethics management system is made up of the controls an organisation implements, which staff can see and experience directly, such as a code of ethics communicated to everyone in the organisation, regular ethics training for staff, an ethics office(r), ethics objectives incorporated into performance evaluations, and disciplinary measures for unethical behaviour. These formal controls of ethics management are 'explicit' in that they are easily identifiable. They can be seen (as in the case of a code of ethics) or be interacted with (as in the case of a whistle-blower hotline).

An informal ethics management system, on the other hand, is not easily visible. Rather, it is embedded in the culture of the organisation and is characterised by the values, beliefs and norms that are implicit in day-to-day organisational life. The informal ethics management system consists of those controls that ensure the organisation is seen to do what it says it does and values. In other words, the informal ethics management system aims to ensure the organisation 'walks the talk'. Controls in an informal system include management's 'leading by example' and a willingness amongst staff to discuss ethics issues openly. Although formal controls related to ethics support an ethical organisational culture, informal controls have a much greater impact in shaping the culture of ethics itself (see section 7 below).

For example, the code of ethics of an organisation may state that the organisation's staff are always to be honest with customers as to the true price of a product quoted. However, in reality, management turns a blind eye to sales staff's loading prices with hidden costs by means of ambiguity in sales agreements. There is thus a failure of the informal ethics management system in that management allows unethical behaviour to occur contrary to or despite the requirements of the code of ethics (a formal control). Where there is incongruence between formal and informal controls, the potential for unethical behaviour increases.

For the governing body to establish an ethical organisational culture as a governance outcome, it must understand and honour the importance of the informal ethics management system's ability to reduce the risk of unethical behaviour. It is important to note that the formal and informal ethics management systems are interdependent and support each other. Formal ethics management enables awareness about the importance of ethics, whereas informal ethics management ensures that the formal controls are taken seriously by employees and achieve their objectives.

7 Business ethics at a macro-level

Business ethics is the study of business policies and practices including corporate governance, corporate social responsibility, and fiduciary responsibilities. Businesses are required to act ethically and responsibly and in the interest of society and to have policies and procedures in place that prevent incidents such as conflicts of interest, bribery, discrimination, fraud, and insider trading.

As discussed in section 5, business or organisational ethics includes building an ethical organisational culture, which is one of the governance outcomes recommended by the King IV Report. The implementation of a formal ethics management system within an organisation is

an example of business ethics at a systems level. However, it is important also to study business ethics from a macro-level perspective. This entails the influence of, amongst other things, political and economic systems on ethics in society (including organisations). A detailed discussion of the various political and economic systems falls outside the scope of this textbook. A brief description of statism versus capitalism provides an example of macro-ethics.

7.1 Statism versus capitalism

Statism refers to an economic and political system whereby the state (government of a country) has significant centralised control over a country's trade and industry and social and economic affairs. Statism is also sometimes referred to as communism and is based on the doctrine of Karl Marx. The notion is that a country's resources are collectively owned by the public and not by a private institution or a single individual. The ideology (absolutised idea) seeks to make the quality of life equal for all individuals in a country. A profit motive is absent from market socialism.

Key strengths of statism include

- that all individuals have equal access to all resources
- a low level of socio-economic inequality (at least in theory).

Weaknesses or criticism of statism are that

- the prime focus is on the community at the expense of individual rights
- innovation is suppressed by a lack of incentives
- the ideology can evolve into totalitarianism (an economic and political system where the state has unlimited/absolute control).

Capitalism refers to an economic and political system whereby trade and industry, as well as social and economic affairs, are controlled (and owned) by private owners for profit, and not by the state (the government of a country). The notion is based on the belief of Adam Smith that the market will function more efficiently if it is allowed to function with minimal interference from the state. There is also division of labour in capitalist economic systems that leads to (skills) specialisation that allows for the multiplication of production of all activities.

Key strengths of capitalism are that it

- leads demonstrably to the development of societies around the world
- leads to innovation in science, technology, transportation and medicine

- facilitates global trade and a global finance community
- increases the general wealth of society.

Weaknesses or criticism of capitalism are that

- it has contributed to a steady increase in socio-economic inequality around the world
- it is believed to institute hierarchies (classes) and centres on the alienation and exploitation of the workforce by those who are at the top of the hierarchies
- the working class (made up of employees who sell their labour) has limited to no bargaining power and as a result is forced to work for the capitalist class (landlords and business owners) for a scanty wage
- well-educated individuals are believed to be the owners of capital and to benefit from globalisation, whereas unskilled labourers, local producers and those without property or savings carry the cost of capitalism.

Key features of capitalism

To conclude whether an entity contributes towards a capitalistic economic system, one would need to explore the key features of capitalism first. These are core observations that have emerged over time in a capitalistic economic system. If an entity's economic affairs are founded on the four pillars described below (Kretzschmar et al. 2019), then arguably that entity contributes towards a capitalistic economic system. Of course, one key aspect that needs to be in place regardless of these four features is minimal state intervention/interference.

- *Corporations*

The corporation feature refers to the incorporation (and registration) of entities (corporations) through a pool of capital (either by an individual or by a group of investors). For this feature to be in place, entities should have a perpetual lifetime (should hypothetically have the potential to exist forever, even though they can be dissolved or liquidated). In addition, the identity of the entity should not be contingent on the identity of the founders: the entity should have its own legal identity. This signifies that the entity will by law have particular rights, privileges, duties and responsibilities. Since entities can increase significantly in size, and it may never be possible for an individual investor to bear the losses suffered by the entity, the concept of limited liability was born. This means that the biggest loss individual investors can suffer is the total amount of their investment and no more; hence investors cannot be held responsible by third parties for the debt owed by the legal entity.

- *Private property*

Individuals or corporations should have the right to own private property, as it is believed that wealth or capital cannot be accumulated if individuals or corporations are not allowed to own anything; nor can wealth or capital be accumulated if individuals or corporations are not afforded the freedom to acquire or sell their private property. Private property should also be transferrable from one generation to another – for example, through inheritance. Private property includes both tangible and intangible assets. Property is perceived to be an indication of current wealth and of the potential wealth of future generations.

- *Competition*

Businesses should be allowed to freely compete with each other (the free market system). It is believed that the economy is regulated by competition and that competition forces entities to increase their efficiency and to offer their products and services at lower prices. The latter comes into play when the competition in the market increases. An increase in the supply of goods and services leads to a decrease in the asking price thereof; hence, entities are forced to make their production more efficient in order for a decrease in prices to become feasible. If, however, the supply of goods and services supersedes the demand therefor, making a profit becomes a difficult task.

- *Profit motive*

As mentioned earlier, in a capitalistic economic system, private property is held with the intention of realising a profit from it; hence, the motive for undertaking any economic activity is to make a profit. This profit motive is regarded as the incentivising force for investors and entrepreneurs to take risks through investing their time, money and other resources to pursue a business venture.

8 Corporate social responsibility

Corporate social responsibility (CSR) is a self-regulating business model that helps an organisation to be socially accountable to itself, its stakeholders and the public. In order to understand what the concept means we need to consider a historical overview of how and why the concept gained prevalence.

8.1 CSR as a concept

Corporations exert significant influence in the societies in which they conduct their businesses. It is due to this fact that corporations had to become more conscious of the type of influence and power they

exercise within these societies and of the impact they have. This eventually led to the notion that corporations have responsibilities that stretch beyond those of the corporation and its owners. CSR refers to a business approach whereby corporations consider the interests of society through taking responsibility for the impact that their activities have on the wider group of stakeholders.

The concept also implies that corporations should conduct business in such a manner that they are able to contribute to sustainable development and value creation for all stakeholders within three spheres, namely the social, economic and environmental spheres.

8.2 Other theories/stances

Since the time that the concept of CSR gained attention around the world, various theories/stances on the matter have emerged.

Howard Bowen published a book called *Social Responsibilities of the Businessman* in 1953 in which he explains his belief that the actions of large corporations in the United States of America had a significant impact on the lives of people, and asks whether corporations have any sort of responsibility to society.

Milton Friedman, an economist and Nobel Prize winner, was in 1970 one of the first individuals to address openly his belief of what the concept of CSR entails. According to Friedman, corporations do not have any social responsibility to the community since corporations cannot be regarded as moral agents. He argued that only biological persons can be regarded as such. Friedman further argued that corporations have a responsibility to realise a profit for their shareholders (this is referred to as the agency argument) and to comply with the laws of society.

Christopher Stone, an environmental law expert, was one of the first philosophers to challenge the views of Friedman. In 1975, Stone refuted all of Friedman's arguments on the basis that managers of a corporation have never made the implicit promise to shareholders that they would maximise profits for them. (The view that managers are bound to maximise profits for shareholders is referred to as the binding argument.) Furthermore, Stone refuted the agency argument that managers of corporations always act as agents of shareholders and argued that management has an obligation to all stakeholders. Stone also argued that laws are reactive and are developed only after the damage has been done and proved to be harmful. He therefore concluded that a corporation's responsibility stretches beyond compliance with laws of society and should be supplemented by self-initiated CSR initiatives.

Archie Carroll created a new perspective on CSR when he developed Carroll's Pyramid of CSR in 1991 (see Figure 2.1). The pyramid provides a four-part framework of approaches to CSR.



Figure 2.1. The four-part framework of approaches to CSR. (Source: Carroll (1991), cited in Carroll (2016).)

Carroll implies that, at the very least, corporations should aim to generate a profit for their shareholders (Economic). In doing so they should comply with laws and regulations since they have a moral obligation to generate these profits in a legal manner (Legal). The Economic and Legal parts of the framework are thus obligations from which a corporation cannot escape. Subsequently, the execution of decisions and activities by a corporation in an 'ethical' manner is a choice (Ethical) by management to go further than its obligations. Lastly, a corporation can also choose to become involved in philanthropic initiatives (Philanthropic) whereby it can contribute by way of charitable donations to the local community, and so on.

In 1993 Peter French, a philosopher and writer, challenged the notion of Friedman that corporations cannot be regarded as moral agents by proving that corporations have a moral obligation because they have agents (management) who act on their behalf. Provided that its agents act ethically and morally a corporation can be regarded as a moral agent.

The stakeholder theory was subsequently born in 1993, when Edward Freeman, a professor in business, argued that a corporation and its agents should at no point contravene the rights of others in order to achieve the corporation's objectives. In addition, corporations should never internalise their benefits and externalise the cost or side effects of their actions. Freeman also argued that no corporation can continue to exist without the investment made by various stakeholders (such as employees who invest their labour, the local community that provides

the infrastructure that the corporation uses to conduct business, customers who buy the products, the natural environment and so on), and it is for that reason that all stakeholders should receive equal treatment. He also implied that corporations should create value for all stakeholders and not only for their shareholders.

Kenneth Goodpaster, a business ethics professor, expressed his agreement with Freeman's stakeholder theory in 1993 but cautioned that some stakeholders may always have claims that are in conflict with another stakeholder's claims – they may even be irreconcilable. Goodpaster also argued that, if all the interests of stakeholders are considered in an equal manner, the corporation loses its private-corporation status and moves into the domain of a public corporation. He argued therefore that corporations still have a special duty to shareholders and that the management of a corporation should seek ways in which the corporation can fulfil its moral duty to all stakeholders without sacrificing its 'private economic mission'.

More recent stances on CSR have also emerged, such as that of Johnson et al. (2018), who argue that a corporation can adopt one of four ethical stances in terms of CSR (see Table 2.4).

8.3 CSR reporting requirements

The notion of sustainable development is underpinned in King IV, which states that an organisation is seen as an integral part of society. King IV confers rights and imposes obligations and responsibilities on an organisation in respect of society and the natural environment. The interdependence between an organisation and broader society and the organisation's responsibility for the environment are emphasised in the reporting of information in the integrated report.

The integrated report is defined as 'A concise communication about how an organization's strategy, governance, performance and prospects, in the context of its external environment, lead to the creation of value in the short, medium and long term' (IoDSA 2016: 8). Integrated reporting refers to the process on which integrated thinking is founded. Integrated thinking extends beyond only financial capital to all forms of capital in an organisation that are integral to its future success, namely human, intellectual, manufactured, social and relationship, and environmental capital.

Table 2.4. Four ethical stances on CSR. (Source: Johnson et al. (2018).)

Short-term shareholder interest The aim of this stance is generating a profit for shareholders in a legal manner by complying with all relevant laws and regulations.	This stance is parallel to the views of Friedman and the Economic and Legal parts of Carroll's CSR pyramid.
Long-term shareholder interest The aim of this stance is to generate a profit for shareholders and comply with laws and regulations. However, in order to prevent a build-up of social and political pressure that might ultimately end up in something that will become a law or regulation, a corporation will take on additional responsibilities by engaging in philanthropic initiatives.	This stance can be compared to all four parts of Carroll's CSR pyramid, provided that the organisation conducts business in an ethical manner.
Multiple stakeholder obligation A corporation adopting this ethical stance on CSR considers its role as being more than just to earn profits. By accepting its social responsibility to all stakeholders, it pursues strategies to create value for all stakeholders and not only for shareholders.	This stance is parallel to the stakeholder theory of Freeman.
Shaper of society A corporation adopting this ethical stance on CSR aims to equal or surpass the role of government by creating value not only for the entity's stakeholders but also for the benefit of society as a whole.	This stance adopts an approach to CSR that exceeds all the other aforementioned stances in terms of social responsibility. The question that is also presented is whether such a corporation exists in real life.

The integrated report identifies 'six capitals' as a guide for reporting on value creation. The capitals are described as areas of value on which an organisation depends for its success as inputs to its business model, and which are increased, decreased, or transformed through the organisation's business activities and outputs. These capitals are financial, manufacturing, human, social and relationship, and natural capital. Each of these capitals is described in the International Integrated Reporting <IR> Framework (see IoDSA 2016: 8).

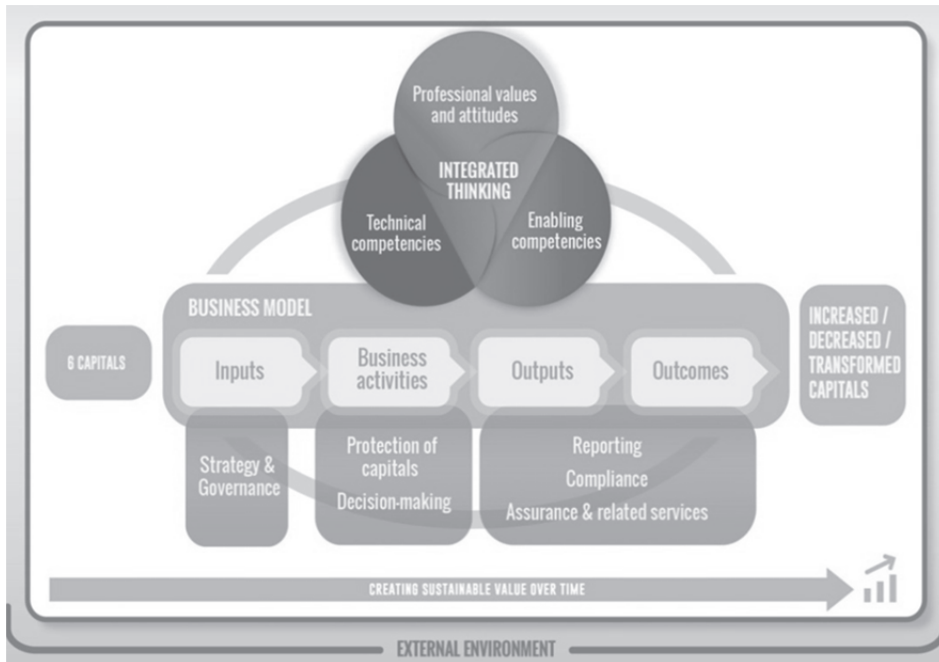


Figure 2.2. The value creation process as illustrated by the International Integrated Reporting Council (IIRC). (Source: SAICA, Entry Level Competency Framework, CA2025 (August 2020).)

The aim of integrated reporting and reporting on six capitals is to provide stakeholders with a better understanding of how the reporting organisation allocated its scarce resources and how it is truly performing, to enable them to make better informed decisions. The International Integrated Reporting Council also stipulates that the aim of <IR> is on how the six capitals were employed to create value and not the product. See Table 2.5 for a description of each capital.

Table 2.5. The six capitals of integrated reported. (Source: International Integrated Reporting Framework (2021)).

Capital	Description or characteristics
Financial	The pool of funding obtained (e.g. external financing or internally generated funds retained through operations) and its utilisation in the business to produce a product or deliver a service.
Manufactured	The resources (e.g. property, plant and equipment) that are used in the production of goods, or provision of services, and how they are employed in the organisation.
Human	The employees, their competencies, skills, experience and motivation, and how employees are utilised to innovate, improve or create new products or services in the organisation.
Intellectual	The knowledge-based intangibles, such as intellectual property, that are utilised in the production of products or services and to gain a competitive advantage in the market.
Natural	The natural and renewable environmental resources utilised in the production of products or services and the impact that the organisation's operations have on them.
Social	The social relationships within and between the organisation and the community, all stakeholder groups and the organisation's network, and enhancing the well-being of the individual and the collective.

9 Common terms used in the case studies

The following terms are specific to business and business ethics. A professional accountant will often encounter these terms in the everyday environment in which he or she works. These terms are repetitively used in the case studies for this very reason, and it is key that they be understood.

Annual financial statements

The financial reports of an entity based on a period of 12-months. Financial statements are prepared and presented annually. They consist of a statement of financial position, a statement of comprehensive income, a statement of changes in equity, a statement of cash flows, and notes to the financial statements.

Auditor	A person (usually a professional accountant) authorised to review and verify whether the controls and systems of an organisation are reliable and that the financial records fairly represent the operations of that organisation.
Board	The governing body of an entity, consisting of executive and non-executive directors. Members of the governing body are therefore referred to as directors. The governing body delegates certain responsibilities to management. Management therefore reports to the governing body/board through the appropriate channels.
Business	An organisation, corporation or entity that is engaged in commercial, industrial or professional activities for a reasonable profit. The words 'organisation', 'corporation' and 'entity' are used interchangeably.
Cigarette smuggling	The illicit distribution of cigarettes. Illegal cigarettes are sold in informal markets and are considered illegal as the required excise taxes have not been paid.
Corporate governance	The system or structure of rules, practices and processes in an organisation that direct, manage and govern its operations and activities.
Debt collection	A process of pursuing payment of debts owed by individuals or businesses, to recover money owed on delinquent accounts.
Director	A person who is a member of the board (see above) and has certain powers and duties associated with supervising, regulating, controlling and managing the organisation.
Ethical culture	Ethical behaviour, governance of ethics and corporate citizenship (IoDSA 2016), also referred to as 'ethical organisational culture' or 'a culture of ethics'. These terms are used interchangeably.
Illicit trade	The production or distribution of a good or service that is considered illegal by a legislature. It includes trade that is strictly illegal in different jurisdictions and trade that is illegal in some jurisdictions but legal in others.

Insolvency	A situation where the value of a business's liabilities exceeds the value of its assets. An individual is considered insolvent when he or she cannot repay debt or loans when they fall due.
Integrated report	A report about how an organisation's strategy, governance, performance, and prospects lead to the creation of value over the short, medium and long term. An integrated report includes extracts of the financial statements of the organisation and also other reports relating to the social and environmental activities of the organisation.
Money laundering	A process by which criminals hide or disguise the proceeds of their crime so that those proceeds appear to have originated from a legitimate source, enabling the criminals to use the proceeds without suspicion or detection.
NOCLAR ³	NOCLAR is an international ethics standard that provides guidance to professional accountants and auditors on what actions to take in the public interest when they become aware of a potential illegal act committed by a client or employer. Professional accountants have a responsibility to report non-compliance with laws and regulations (NOCLAR).
Organisational culture	A socially created shared mindset that sets norms for behaviour. Ethical culture can be compared to an iceberg. The part of the iceberg that protrudes above the ocean is the dimension of ethical culture that is formal, often structured and visible. The submerged, much larger, component of the iceberg represents a more informal, tacit and not readily observable dimension. Leaders can shape the culture of an organisation, but they can also be shaped or sanctioned by the existing culture.
Rehabilitated insolvent	An insolvent individual who is relieved of the legal implications of being an insolvent and restored to the legal status of a creditworthy person.

3 The NOCLAR framework was developed by the International Ethics Standards Board for Accountants (IESBA) and has been effective since July 2017. See <https://www.ifac.org/system/files/publications/files/IESBA-NOCLAR-Fact-Sheet.pdf>.

Reporting date	The last day of the reporting period to which the financial statements relate. A reporting period is usually 12 months (or annually), and the reporting date is the last date of that reporting period.
Sequestration	Process of law by which the possessions in an insolvent debtor's estate are removed to settle claims made against the estate.
Shareholder	The holder of a share issued by an entity and who is entered as such in the certificated or uncertificated securities register.
Stakeholder	'[A]ny identifiable individual or group on which the organisation is dependent for its continued survival'. In a broader sense the definition includes protestors, public interest groups and trade unions to the extent that they affect the realisation of the entity's objectives, whereas a narrow sense of the definition includes owners, employees, suppliers, customers, local communities, and management (Freeman and Reed 1983: 91). Stakeholders are individuals or groups who have a legitimate claim in the actions and activities of the entity (L'Huillier 2014: 310).
Stokvel	An invitation-only club of twelve or more people serving as rotating credit unions or saving schemes in South Africa, where members contribute fixed sums of money to a central fund on a weekly, fortnightly, or monthly basis.
Unrehabilitated insolvent	An insolvent person (see above) who has not been classified as rehabilitated and is therefore unable to incur credit.

Chapter 3

It's in the property

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Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Identify the ethical values challenged by the ethical dilemmas and evaluate the impact of the ethical dilemmas on the ethical values.
- Identify the stakeholders affected by the ethical dilemma.
- Apply an ethics-based reasoning process to solve the ethical dilemmas that have been identified.
- Analyse all courses of action and the consequences of each (such as disciplinary action) for unethical behaviour.
- Report ethics-related issues to higher levels of management, legal or regulatory authorities or others, when appropriate.

Level of knowledge

Basic to intermediate



Case study

This case study focuses on the conduct of a financial director, both as a professional accountant and a member of the governing body. The ethical dilemma arises in the property industry/sector.

You are a professional accountant in business and have recently been appointed financial director of PropertyInvest Ltd, a company listed on the Johannesburg Stock Exchange (JSE).

PropertyInvest Ltd was founded by the current CEO, Mr Nooks. The company began its business buying and selling real estate in Gauteng, South Africa. Over time, the company increased its service offerings and now provides a comprehensive range of property services. PropertyInvest Ltd has formed alliances with property companies worldwide, enabling the company to assist interested parties with property sales and residency in several countries locally and internationally. The company is a trusted brand in the property industry and often provides services to high-profile individuals such as celebrities and politically exposed persons (PEPs).

At the time of your appointment, you declared to the board of directors and the recruitment agency that assisted you with the appointment process that you have not had much experience in the property industry. However, both the directors and the recruitment agency believe you to be a fast learner and able to learn the ins and outs of the business without trouble. They were confident in appointing you because of your knowledge of the JSE listing requirements regarding corporate reporting and other necessary disclosures. The board also assured you that the company would be willing to send you on any necessary training that you may require. There seemed to be no other reason not to take up the position and you were excited about the opportunity presented.

During your review of the next month's revenue budget (revenue transactions are categorised according to value) you came across a transaction that PropertyInvest Ltd is conducting on behalf of Mr Robert Caesar, the son of a well-known politician in South Africa. Mr Caesar approached PropertyInvest Ltd to assist him in purchasing a home in one of Cape Town's premier suburbs. PropertyInvest Ltd negotiated the deal on behalf of Mr Caesar. The owner of the home, worth R14 500 000, duly accepted the offer of purchase from Mr Caesar.

Negotiating deals on behalf of high-profile people is not something new to PropertyInvest Ltd's business, hence the deal did not surprise you. However, this transaction caught your attention because you had read a recent newspaper article in which it was reported that Mr Robert Caesar was under investigation for allegedly embezzling funds belonging to the South African government through a tender process. Consequently, you decided to ensure that the transaction was done properly and in line with policy and practice so that the company is not associated with any wrongdoing.

You obtained the transaction file for the property sale and discovered that the due diligence test that was supposed to have been done on the client was incomplete. The due diligence test had not determined the source of Mr Caesar's funding for the property purchase, in line with the FIC Act.¹ You thought back to the first training you attended, after your appointment to PropertyInvest Ltd, on the regulations affecting the property industry and recalled that the importance of performing due diligence tests on company clients was emphasised. The training referred you to the FIC Act, which stated that PropertyInvest Ltd is obliged to determine the source of a property buyer's funding to ensure that the company is not caught up in any illegal schemes of the buyer such as money laundering amongst other fraudulent schemes.

PropertyInvest Ltd's company policy is in line with the FIC Act and emphasises the importance of due diligence testing. Upon further investigation, it was revealed to you that the CEO, Mr Nooks, had authorised the transfer of the property to the buyer despite the incomplete due diligence. However, the file also showed that the property transfer has not yet been concluded and that the due diligence test could therefore still be completed.

On the basis of the information gathered you decide to approach the CEO to inform him of the investigation against Mr Caesar. You explain to Mr Nooks that upon the review of the following month's revenue budget you came across the impending transfer of the property to Mr Caesar. The transaction revealed that he, Mr Nooks, had authorised the sales transaction on Mr Caesar's behalf, perhaps unaware of the investigation – given that the due diligence tests were still incomplete.

Mr Nooks replies, 'Oh yes, I read about the Caesar investigation. I thought it is not our problem, so I decided to override the system and bypass the due diligence test prior to the property transfer.'

You go on to tell Mr Nooks that PropertyInvest Ltd has a duty under the FIC Act to find out where the buyer's money is sourced from. Furthermore, the company could be subjected to scrutiny if the investigation confirms money laundering on Mr Caesar's part. This information could affect PropertyInvest Ltd's reputation, by association, and consequently its share price.

1 The FIC Act introduces a regulatory framework of measures requiring certain categories of business to take steps regarding client identification, record-keeping, reporting of information and internal compliance structures. The Act obliges all businesses to report to the FIC various suspicious and certain other transactions. The FIC uses this financial data and available data to develop financial intelligence, which it is able to make available to the competent authorities and supervisory bodies for follow-up investigations or administrative action.

Mr Nooks just smiles and goes on: 'I appreciate your enthusiasm. We are not fraud investigators but real estate agents. It's not your job to investigate this matter, and my advice is that you leave it alone. The transaction is near conclusion, and the money will be good. Don't worry, you are new and will learn that these things are part of the nature of the business.'

You leave the CEO's office confused. Is this really the way things are done around here and in the industry? He is right: you are new, and he has more experience. Yet, the whole episode has left you unsettled.



Ethical dilemma

What personal, business and professional ethical dilemmas are evident from the scenario presented?

Personal ethical dilemma?

Personal ethics, as previously defined, are ones' own values or normative standards that determine what one considers to be good, right and just behaviour towards others.

The CEO's advice has left you unsettled. Thus, it has led you to question the appropriateness of his advice. This judgement speaks to your own ethical principles, values and commitment and leaves you with a conflict:

- Do you take the CEO's advice and leave the matter as 'the way things are done'? OR
- Do you take the necessary steps to determine whether the transaction is sound and clear of any wrongdoing?

Leaving the transaction as it will avoid conflict between you and Mr Nooks. No employee wants to be at odds with a colleague, let alone with their superior. However, non-compliance will have a negative effect on the reputation of the business and its stakeholders, should the source of the funding be illegal. You will have to live with the consequences of non-compliance on your conscience.

Business ethical dilemma?

Business ethics are concerned with moral standards (what is morally right or wrong) in so far as ethical principles apply to the business activities of an organisation.

As a director of the company, it is your duty to ensure that the company adheres to national laws and regulations as well as its policies and internal controls. At the same time, you must safeguard the company from potential lawsuits, fines and other losses due to the company's involvement in or association with wrongdoing.

Firstly, failure to carry out due diligence sets the wrong example for employees (that is, allowing the bypassing of controls). The company's policy on performing due diligence tests will not be complied with and the culture will be negatively affected. What is expected in terms of company policy will be opposed by what is done. Is this the message that the directors wish to convey?

Secondly, if the investigation by the South African government into Mr Caesar traces the money to the property, PropertyInvest Ltd will be indirectly associated with Mr Caesar's wrongdoing. The negative publicity could affect the reputation of the company and consequently shareholder value. Is the revenue from one transaction worth the risk of the company's getting a 'bad' reputation or being subjected to litigation for losses?

Professional ethical dilemma?

You are a professional accountant in business and must therefore adhere to ethical norms applicable to the profession that you are a member of. Consequently, in reaching your decision you must consider whether the action you take

- contravenes the code of ethics of the professional accounting body of which you are a member
- could bring the profession into disrepute.



Fundamental principles (code of ethics)

The code of conduct of the professional body to which you as a professional accountant belong (for example, SAICA, SAIPA, ACCA) applies. However, the codes of ethics of most professional accountancy bodies are based on the IFAC code of ethics. The fundamental principles in the IFAC's code of ethics are integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

Integrity

As a professional accountant, you must act with honesty, sincerity, and due care in all professional and business relationships. Consequently, as a professional accountant you should ensure that the transaction is legitimate and fair. Stakeholders rely on your integrity to ensure that the company's transactions are authenticated.

Objectivity

A professional accountant should not compromise business decisions and judgements because of the biased actions, conflicts of interest or undue influence of others. Therefore, as a professional accountant, you should not submit to the influence of Mr Nooks or ignore your obligation to ensure that the laws and regulations applicable to the company are complied with.

Professional competence and due care

As a professional accountant, you are to attain and maintain the knowledge and skills required to provide the company (PropertyInvest Ltd) with a professional service based on technical and current standards and legislation. Professional accountants must also act diligently in line with technical and professional standards.

Confidentiality

Professional accountants (in business) have a duty to maintain the confidentiality of information relating to their employer. However, as a director or member of the governing body, you may be required to disclose information to the relevant authorities when such disclosure is a legal requirement. Since the due diligence test can still be completed there is currently no need to disclose non-compliance to the relevant authorities.

Professional behaviour

Professional accountants are required to conduct themselves in a manner that will not bring the profession into disrepute and to comply with relevant laws and regulations.

Should the due diligence test not be completed, and the sale go ahead, the company would not be adhering to laws and regulation. You, as the financial director, can be held accountable for the company's failure to comply with the FIC Act. This may result in the questioning of your professional behaviour. In addition, since the behaviour of members of the profession reflects on the profession itself, negative publicity elicited by the unprofessional behaviour of one member can raise questions about the ethical principles and conduct of all members of the accounting profession.

**Ethical principles**

Which of the ethical characteristics required of members of the governing body of PropertyInvest Ltd are affected and how? (According to the ethical leaderships characteristics cited in the King IV Report, Part 5.1, Principle 1.)

Integrity

It is important that you, as the financial director of the company, act in good faith and in the best interests of the company. Your integrity is in question if you agree to follow the advice given by Mr Nooks, as this action may not necessarily be in the best interests of the company. The company's reputation could be negatively affected should the money received for the property be traced to an illegal source. You are aware of the risk to reputation and of the fact that due process (policies and internal controls) has not been followed.

Competence

As a member of the governing body, you are responsible for ensuring that you have the required knowledge of the business, of its industry, and of the laws that govern the industry. You need to take the necessary steps to acquire this knowledge – for example, attending a course on property legislation. You are also required to be familiar with the codes, rules and standards applicable to the company and its operations. Therefore, you have a duty to ensure you have the knowledge and skills (competencies) to hold your position as financial director.

However, your duty extends beyond the training that you attend. The characteristic of competence also requires that you perform your duty with reasonable care and skill and make informed decisions. Consequently, you have an obligation to ensure that the due diligence test is completed and that the source of the funds used to pay for the property is determined. Once the test has been completed and the source determined, an informed conclusion can be made as to whether the transaction in question is above board or whether the company has become an indirect party to money laundering.

Responsibility

As a member of the governing body, you are required to take responsibility for the company's actions and for preventing negative outcomes. As the financial director, you are duty-bound to ensure that company policies are appropriately approved, implemented and monitored. Furthermore, being responsible means acting in the best

interests of the company. Linked to integrity, protecting the company is the governing body's priority.

The incomplete due diligence test is in contravention of the FIC Act as well as company policies and internal controls. As financial director, you are responsible for ensuring that there is no non-compliance and that the due diligence test is duly completed. As mentioned previously, failure to do so may have negative outcomes for PropertyInvest Ltd if, for example, the source of funds for the purchase of the property is seen to be related to Mr Caesar and the money laundering charges are proved.

Accountability

Being accountable means that, as a member of the governing body, you are responsible for the execution of the governing body's duties. Accordingly, even if the CEO has authorised the transaction, your accountability as a director in terms of the Companies Act is not abrogated.

Fairness

In assessing fairness, you should determine the impact of the transaction on the company and all the stakeholders including investors, the government, regulatory authorities, employees, customers, and wider society. Compliance with the FIC Act is accordingly in line with the fairness principle. If income is generated from illegal sources, the company would be party to an illegal business practice (fraud), which is to the detriment of, for example, the people of South Africa.

Transparency

Transparency relates to the way governance roles and responsibilities are exercised. As the financial director, you have a duty to be appropriately transparent about all transactions of the company. Completion of the due diligence test will ensure that the transparency principle is adhered to as the company will then have nothing to hide.



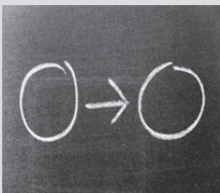
Stakeholders involved

Who are the stakeholders affected by or able to influence your decision?

- Customer selling his/her property: The customer who is the seller of the property trusts PropertyInvest Ltd to sell the property, on the basis

of the company's reputation and execution of other property transactions. The customer may not be able to recover the selling price of his/her property, should the source of funds be illegal.

- **Employees:** The property sales transaction, if found to be based on a fraudulent business practice such as money laundering, can result in negative publicity and loss of trust in the company. This may result in loss of business for PropertyInvest Ltd, which may result in retrenchments.
- **Financiers:** A reduction in operations and profitability will decrease investor value. Some investors expect a return from profits, often calculated as a percentage of revenue. For financiers that expect a return on profit, a decrease in revenue would thus result in a decrease in profit return.
- **Shareholders:** A property sales transaction that is based on a fraudulent business practice can result in negative publicity for the company. The share price could then be negatively affected, thus decreasing shareholder value.
- **The South African government:** If the property is transferred and the source of funds is traced to illegal activity, the government would expect recovery of the money through sale of that property. This could be a long and expensive legal process, and the government may be unable to recover the money fully.
- **South African public/wider society:** The South African public stands to lose if state money that was destined for service delivery was illegally obtained and then laundered through a property to which the business is a party: the money could become untraceable and irrecoverable.
- **Fellow directors:** Your fellow directors may also be held personally and professionally accountable for any wrongdoing or non-compliance, in terms of the Companies Act, King IV and the JSE listing requirements.



Consequence management

- (a) What are the possible consequences if
1. you decide to take further action and complete the due diligence test, OR
 2. you decide to leave the matter as instructed?
- (b) What possible actions can you take to resolve the situation appropriately?

1. Decision to take further action and complete the due diligence test

The consequences of this decision are two-fold.

- *Consequences for you, as the financial director and a professional accountant*

Your decision may cause conflict between yourself and the CEO, since he asked you to leave the matter alone. The IFAC code² refers to such a situation as undue pressure by a superior. In line with the code, you should consider approaching the CEO and explaining your discomfort with the decision. If the CEO does not change his/her decision, you may consider

- discussing the matter with a higher level of authority within the company
- your options in accordance with the company's code of ethics, including policies and procedures
- obtaining legal advice to determine what options are available to you
- evaluating the option of pursuing a whistle-blowing line.

- *Consequences for the company*

The decision to complete the due diligence test will ensure that the company complies with applicable laws and regulations. It will also ensure that the approved policies and internal controls are maintained and adhered to and prevent a future adverse internal audit finding.

Furthermore, the completed due diligence test will provide proof of the source of the funding. If the funds were obtained legally, there should be no reason for concern and the completion of the due diligence test will give you 'peace of mind'. If the due diligence test shows that the funds were obtained illegally, you will have to determine the correct reporting lines to follow to ensure that the company is protected. Actions that can be taken if you discover that the source of funding is an act of money laundering include

- informing the next level of authority of the company – for example, reporting the event to the audit committee – in a responsible manner and with due care
- obtaining legal advice and determining the options available

2 Refer to the section 'Fundamental principles (code of ethics)', above, for more on the IFAC code.

- consulting confidentially with the regulatory authority and/or your professional accounting body regarding the matter concerned.

2. Decision to leave the matter as instructed

Deciding to leave the matter as the CEO instructed will not ensure your integrity. Furthermore, it may create a perception amongst other staff members that controls can be overridden, thereby encouraging the wrong behaviour from other staff members. The decision would be in direct contravention of the principal values of King IV and amount to non-compliance with laws and regulations, for which there may be repercussions for the company and for you as an individual.

An investigation by the authorities may trace the embezzled money to the property transaction. The consequences of such a finding would be as follows.

- *Consequences for you, as the financial director and a professional accountant*
 - You may be found liable for breach of your fiduciary duties as a director, in terms of the Companies Act. Furthermore, you may face possible investigations by the professional accounting body that you are a member of.
 - You may be unable to defend the company's position in the matter, as the processes followed are not transparent. The CEO's 'claim' that due processes were followed will be insufficient for you, as financial director, to avoid liability and the accusation that PropertyInvest Ltd is a party to possible illegal dealings.
- *Consequences for the company*
 - The possibility of fines, litigation, misleading financial statements.
 - Potential loss of reputation, which could negatively affect trust, resulting in lower profits and share price, which may cause losses for financiers, shareholders and creditors alike.



'Food for thought'

Have you considered or given thought to ...?

For discussion/debate

1. What sort of leadership style does the CEO display in terms of the requirements of King IV?
2. What relationship could Mr Nooks have with Mr Caesar, and do you think Mr Nooks is disclosing all the information he has about the transaction? Is there a possible conflict of interest on the part of Mr Nooks?
3. If you were in MR Nooks position, how would you have handled the matter, the same way or differently and why?
4. After completing this case study, considering the various consequences for the different decisions taken, which decision would you implement? Consider to whom and what would you give your loyalty to as a person and a member of the company?
5. Mr Nooks indicated that it was not your responsibility to investigate this matter. Do you think that you should have investigated this matter further when you became aware of it? When do you decide to leave a matter or rather to investigate it further?



Ancillary material

The following articles relate to real-life examples of money laundering and related-party transactions that have taken place in the property industry and from which the concepts for the above scenarios were obtained.

Copy the links below into your browser to access the articles:

- <https://www.corruptionwatch.org.za/possible-aiding-of-money-laundering-by-properties-company>
- <https://www.corporatecomplianceinsights.com/best-2016-money-laundering-schemes-real-estate>

Chapter 4

Funding for EduLearn

Rudolf Mbanjwa (UKZN)
Thandekile Koza (UL)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical challenges and dilemmas apparent in the scenario.
- Identify the ethical values challenged by the ethical dilemmas and evaluate the impact of the dilemmas on the ethical values.
- Demonstrate an awareness of the relevance, within the business context, of traditional African ethics as a personal value system.
- Recognise the need to consider the organisation's values during the process of resolving ethical dilemmas.
- Identify the stakeholders affected by the ethical dilemmas.
- Apply an ethics-based reasoning process to solve the ethical dilemmas that have been identified.
- Analyse all courses of action and the consequences of each (such as disciplinary action) for unethical behaviour.
- Report ethics-related issues to higher levels of management, legal or regulatory authorities or others, when appropriate.

Level of knowledge

Basic to intermediate



Case study

This case study focuses on ethics in the sourcing of funding for a small business (SMME) in the private education sector.

The scenario deals with favouritism.

As a professional accountant, you have recently been appointed financial director of EduLearn Proprietary Limited ('EduLearn'), a relatively new private education institution offering various qualifications and certifications in music, dance and drama. EduLearn is the brainchild of three education specialists with extensive experience in the humanities faculty, namely Professor Mabaso, Professor Naidu and Professor Ngema. These academics resigned from their respective universities three years ago and used their life savings to establish EduLearn. They adopted traditional African ethics as the core values of the institution.

As part of your orientation as a new employee at the company, you were provided with the strategy document of the organisation. You immediately noticed the vision and values of the company, which are included in the strategy document:

Vision:

To cultivate a culture of life-long learning, by encouraging people to strive for creativity.

Values:

Respect

Generosity

Ubuntu

Excellence



Creativity

You found the vision and the values resonated with you, because you also subscribe to traditional African ethics, having been 'born and bred' in rural KwaZulu-Natal. Your family, being a predominantly traditional family, has always respected the beliefs of building the nation through close-knit communities. Occasionally, the family would also attend the local Christian church, and the elders always encouraged everyone to 'love their neighbour as they love themselves'.

EduLearn primarily offers national certificates, national diplomas, and degrees in the following performing-arts categories:

- music
- dance
- drama and acting.

The institution was duly registered by the Department of Higher Education and Training (DHET) and its qualifications are approved by the South African Qualifications Authority (SAQF).

EduLearn experienced steady growth in the first two years of operation. Further to that, during the past financial year, there was a boom in the number of prospective students applying for enrolment. Following the COVID-19 outbreak, and the resultant national lockdowns, a new specialisation field emerged, namely content creation. The directors of EduLearn have decided to offer certifications in this study area that primarily focuses on the creation of content on social media, which requires significant capital outlay.

During your orientation (and handover) session with the previous financial director, you learned that the institution experienced a large increase in the outstanding-debtors amount in the past financial year. This increase was due to the fact that many students were unable to honour their tuition fee commitment. It was clear that this was a direct effect of the pandemic and resultant national lockdowns, which had a devastating effect on the finances of many South Africans. The cash flow of EduLearn was negatively affected by this increase in the amount owed by debtors, with the result that the directors thought it necessary to apply for the COVID relief funds which were made available by the government towards the end of the previous financial year.

The previous financial director indicated that she had already submitted the application to the Department of Arts and Culture, and provided you with a copy of it. Upon your brief perusal, you noticed that the staff complement of EduLearn was listed as 37, whereas you know for a fact that there are only 17 employees in the institution. When you questioned the outgoing financial director about this difference, her response was, 'Don't worry yourself too much about that. You know those government officials ... they won't notice. They have the money; we need the money. It's a win-win situation. I trust you will not be raising this matter any further – see it as your way of showing your commitment to the company.'

This overstatement of the number of employees in the institution would result in EduLearn's receiving an extra R1,8 million. You walked away from this discussion with a heavy heart and were confused about what

to do next. You remember the talk that you had the previous day with the CEO, Professor Ngema, about the values of the organisation.

Later in the day, you had a meeting with the Head of Marketing. He explained to you the process being followed by the institution to apply for funding for the capital investment required to finance the development of the content creation field of study. Two proposals were being considered as sources of funds for the expansion. The first option was in the form of a conditional grant from the Culture, Art, Tourism, Hospitality, and Sport Sector Education and Training Authority (CATHSSETA). The second option was a loan, from a BBEE venture capital initiative named Zalon Ventures, which would be repayable over a period of 5 years, at an interest rate of 7% per annum. The CATHSSETA grant would not be repayable as long as the funds are utilised in line with the conditions of the grant.

Below is a summary of the funding proposals and their respective financial implications for EduLearn.

Funding Proposals - Capital Projects

	ZALON	CATHSSETA
<i>Total funds offered</i>	R2 200 000	R1 800 000
<i>Interest rate</i>	7%	-
<i>Period</i>	5 years	-
<i>Total maximum repayments</i>	R3 085 614	R1 800 000

The CATHSSETA amount is only repayable if the funds are not used for capital expansion projects of the institution.

The Head of Marketing then informed you that he would prefer the loan option, because the institution 'would be free to use the funds in line with the vision of the institution, without any red tape'. This seemed strange to you, and upon further enquiry you learned that one of the shareholders of Zalon Ventures is a life partner of the Head of Marketing. The two of them have been in a romantic relationship for close to 20 years.

It has now been a week since you started at the company, and you are required to consider several options and make some important decisions. You are aware that you have personal, business and professional obligations in this decision-making.

**For consideration**

- Identify the personal, business, and professional ethical dilemmas/challenges that are evident from the scenario presented.
- What personal values are challenged in this scenario?
- What is your responsibility as financial director and professional accountant in this case?
- Who are the stakeholders and how are they affected by or able to influence your decision?

These are some of the aspects that you should consider.

**Ethical dilemma**

What personal, business and professional ethical dilemmas are evident from the scenario presented?

Personal ethical dilemma?

Does the issue of the two funding proposals present you with any ethical challenge/dilemma? If so, which of your personal values are threatened? Similarly, does the COVID relief fund application present any ethical challenge/dilemma? If so, which personal values are at risk?

Do you compromise your personal values, founded on traditional African ethics, and ignore the seemingly unethical conduct being perpetuated at EduLearn? What about some of the values which stem from religious ethics, which you learned from your elders? Are any of them at risk? If you decide to compromise those values, can you live with your decision?

Is the fact that government officials may not be thorough in their review of the relief fund application an appropriate justification for submitting an application that contains misleading information?

What are the benefits of not compromising your personal values and taking a decision that conforms to those values? Would you be able to live with such a decision? Would that make you a better person? Would you feel good about yourself?

Business ethical dilemma?

EduLearn has a specific set of values, and even perhaps a culture, which it subscribes to. Will you make a decision that assists the company in living up to those values? Or does the decision you take place the company in such a position that it contravenes its own set of values?

With respect to the COVID relief funds, do you ignore the ethics issue at hand and 'go with the flow'? The company desperately needs these funds and the funds would be extremely useful in securing the jobs of all existing employees. As suggested by the previous financial director, ignoring the ethics issue would be seen (by some) as a demonstration of your commitment to the company.

What would the consequences be for the company should the inaccurate application be investigated in the future? Would the company be subjected to a fine or sanctions? Would the company survive such a falling out with the law? Consideration of short-term and long-term gains and losses seems appropriate in the circumstances.

Is it ethically acceptable or correct to accept the loan from Zalon Ventures instead of the grant from CATHSSETA? Is there any contradiction between the best financial decision and the most ethical decision? Has the Head of Marketing declared his interest in the matter, that interest taking the form of his relationship with a shareholder of Zalon Ventures? Was there an evaluation of the potential conflict of interest and, if there was, what was its outcome?

Professional ethical dilemma?

What obligations do you have as a professional of the accounting body to which you belong? Would you be in contravention of the code of ethics of the professional body regardless of the decision you take?



Ethical principles

Which of your ethical values are challenged and how (based on your personal value system and the values of EduLearn)?

Respect

Respect involves due regard for the feelings, wishes, or rights of others.

As an individual who subscribes to the value of respect, you should aspire to act with respect towards others in all your dealings. You have

to decide whether you will respect the wishes of the outgoing financial director by ignoring the incorrect (fraudulent) application for the COVID relief funds and by not raising the potential conflict of interest (bias) in the capital funding proposals. The alternative would be to act with respect towards the company and greater society by flagging this instance of fraud and conflict of interest and thereby serve the greater community.

In terms of section 34 of the Prevention and Combating of Corrupt Activities Act, as a person who holds a position of authority you are required to report to the police any instance of fraud or corruption with a value above R100 000,00. The fraudulent application for the relief funds results in EduLearn's unfairly receiving an amount of R1,8 million. Acting out of respect for the laws that govern the country, you would have to report this matter to the police as required by legislation.

The capital funding proposal has a second element to it, whereby the company would be worse off than it would have been had it accepted the grant. Although the loan comes with no restrictions on how it is utilised by the company, it imposes repayment obligations which result in an outflow of funds. In upholding the company's value of respect, you would have to have due regard to the company's right not to be exploited and consequently raise this issue with the board of directors of the company.

Not taking any of these issues any further, and effectively ignoring them, would amount to failure to uphold your personal and the company's value of respect.

Ubuntu

Ubuntu is regarded as the soul that drives all facets of life in African societies. It is seen as an act of being human and living up to values of humanness towards others (Lefa 2015). (Humanness can be seen broadly as a synonym for *ubuntu*.) It requires an acknowledgement that you do not live as an individual entity in this world but rather defining yourself in the context of the community.

Ubuntu requires you not to consider what is best for yourself but rather what is best for the community. It may be in your personal best interests to listen to the outgoing financial director and ignore the questionable practices that have come to light. As the outgoing financial director has suggested, some may view this turning of a blind eye as your demonstration of commitment to the company. However, considering that the company's reputation could be severely damaged were these matters to become public, such a course may be seen as being uncaring towards the greater community (i.e. the shareholders, employees, students, parents, and other community members). Your decision

to ignore the wrongdoings may benefit you individually, but in the long run the decision would harm the community and not be sustainable.

Truthfulness

Truthfulness in African culture speaks, as it does in other cultures, of the requirement to remain true and speak the truth. The word 'true' is used to indicate that something is really what it is said to be, correct, a fact, a reality (Badey 2015).

There was certainly a lack of truth in the COVID relief fund application. The application was intentionally completed with incorrect or misleading information. If you do not raise this issue with the board of directors and/or other relevant authorities, you would be in breach of your personal value of truthfulness.

Similarly, having identified the conflict of interest in the capital funding proposal matter, the decision that upholds the value of truthfulness would be to disclose this conflict to the board of directors. Highlighting the fact that the option of the loan creates a larger financial burden on the company would also amount to being truthful.

Love

From the Christian teachings of the elders, you would have learned the value of loving your neighbour as you love yourself. In living up to this value, you would have to treat those around you with love. Ethics theory also teaches one to do to others as you would have them do to you.

As with adhering to the value of *ubuntu*, acting with love towards others requires you to demonstrate empathy towards them. Acting with love towards those within your community, you would have to speak up regarding the wrongdoings that have come to your attention. It cannot be considered an act of love to keep quiet about these matters and effectively sweep them under the carpet. The company and the greater community stand to lose in the long run if questionable conduct is not dealt with ethically.

Excellence

The business values of EduLearn include excellence among their number. Excellence is the quality of being outstanding or extremely good.

Fraudulent gain can never be considered to be excellence. The application for the relief funds contained incorrect information, and this act of fraud did not live up to the company's value of excellence. Likewise, selecting the funding proposal that puts the company in a worse position does not keep up to the value of excellence.

Generosity

Generosity is the quality of being kind and generous. Traditional African ethics are founded on kindness to and sharing with others. They are community-centred and the focus is on the group rather than the individual, hence the principal value of *ubuntu*.

Your decision concerning the questionable actions that have come to your attention needs to be generous to the greater community. It can be considered generous to yourself and the outgoing financial director to keep quiet about the issues. However, this silence would not be generous to the greater community in that it could cause harm to the company were the wrongdoings to come to light. In the case of the funding proposal, the company stands to lose as a result of the obligation to make loan repayments. Therefore, selecting that funding option would not be generous or kind to the company or the community.



Fundamental principles (code of ethics)

- What is your responsibility as financial director?
- How will your decisions and actions be informed by your position as a professional accountant in this case?
- What additional information, from the scenario, may be relevant to your decision?

As financial director you have a fiduciary duty to act in the best interests of the company in terms of the Companies Act.

In addition to your own personal values and the values of the company, you should consider your actions as a professional accountant, with reference to the code of conduct of the professional institution of which you are a member (for example, SAICA, ACCA, etc).¹

Identify and describe the aspects that you would consider and decisions that you would take relating to the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

- *Integrity*

Integrity in terms of the IFAC code means that, as a professional accountant, you must be honest and straightforward in all professional and business relationships. Consequently, the application for

¹ The codes of ethics of various professional bodies are based on the IFAC code of ethics.

relief funds and the funding proposal should be prepared and presented truthfully and honestly. There should be no inaccuracies or hidden bias in these business dealings or in your actions as the new financial director.

- *Objectivity*

As a professional accountant, you should not compromise your professional or business judgement because of bias, conflict of interest or the undue influence of others. You should not act in your own self-interest or keep quiet about the offences identified. Instead, you are obliged to act objectively and do the right thing by flagging these matters and bringing them to the attention of the board of directors and, where applicable, to the relevant authorities.

- *Professional competence and due care*

Professional accountants are required to attain and maintain the knowledge and skills required to provide a professional service based on technical and current standards and legislation. They must also act diligently in line with technical and professional standards and take due care that all information presented is accurate, complete, and valid.

- *Confidentiality*

As a professional accountant and employee of the company, you have a duty to ensure the confidentiality of information. However, as a director you may be required to disclose that information to relevant authorities when it represents an unlawful action or a breach of ethics. The fraudulent COVID relief funds application is certainly a breach of laws and regulations.

- *Professional behaviour*

You are, as a professional accountant, required to conduct yourself in a manner that will not bring the profession into disrepute and to comply with relevant laws and regulations. By ignoring the conflict of interest that exists in the capital funding proposal, your actions would amount to behaviour that is not in line with the values of the accounting profession. Such an action has the potential to damage the reputation of the profession.

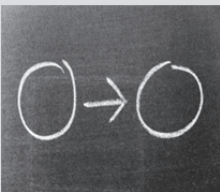


Stakeholders involved

Who are the stakeholders and how are they affected by or able to influence your decision?

Describe how each of the following categories of stakeholder is affected by or able to influence your decision:

- students (existing and alumni)
- employees
- other applicants for COVID relief
- the directors and/or owners of Zalon Ventures
- CATHSSETA
- the owners of EduLearn
- fellow directors
- the South African government
- the South African public in general.



Consequence management

What are the possible consequences if

1. you decide to take further action and report the instances of unethical conduct, OR
2. you decide to leave matters as you found them?

1. Decision to take further action and report the instances of unethical conduct

The consequences of this decision are two-fold.

- Regarding the COVID relief fund application, you may feel conflicted since the financial director has asked you to 'show your commitment to the company' and leave the matter. In terms of the IFAC code, this amounts to undue pressure and influence by a colleague (notwithstanding the fact that the financial director is outgoing). In line with the code, there are several courses you should consider.
 - You could approach Professor Ngema and the board of directors and explain your discomfort with the situation. You could

refer to the values of EduLearn that were presented to you during your orientation as a new employee. If the board of directors also pressurises you to keep quiet about the issue, you should consider

- discussing the matter with a higher level of authority of the company – for example, the audit committee
 - obtaining legal advice to identify and determine your available options
 - the company's code of ethics, policies and procedures, and any actions required
 - reporting the matter via the company's whistle-blower line, if there is one.
- You could approach the relevant government department officials to report the matter.
 - You could approach law enforcement authorities to report the fraud in excess of R100 000,00.

Regarding capital funding, you would need to approach the board of directors and clearly bring to their attention the financial and commercial implications of the proposals being considered. Your personal and professional values obligate you to disclose the conflict of interest that has come to your attention regarding these proposals.

- The decision to report the fraudulent application for COVID relief funds will ensure that the company complies with applicable laws and regulations. It will also ensure that the company's operations and way of doing business can successfully pass any scrutiny. Business continuity will be protected as will the best interests of the immediate community of EduLearn.

A suggested approach would be to report the matter to the board of directors and propose that communication be made with the relevant government department to highlight the fact that there was an error in the application submitted for the relief funds. If the funds have already been received, the correct remedy would be to return the excess funds. If those excess funds have been spent, the company would have to make a plea to the government department to allow the company to repay the debt in instalments.

2. Decision to leave the matters as you found them

You may leave the matter, as the outgoing financial director suggested, but that decision will not clear your conscience. Furthermore, it may encourage the wrong behaviour from other staff

members if they perceive that the company has an appetite for fraudulent activity.

Such a decision would be in direct contravention of your personal values and the values of EduLearn. It would also amount to non-compliance with laws and regulations, for which there could be repercussions for the company and for you as an individual.

Should the authorities investigate the claimed COVID relief funds, the consequences could be as follows.

- *Consequences for you, as the financial director and a professional accountant*
 - You may be found liable for breach of your fiduciary duties in terms of the Companies Act and face possible repercussions from the professional body that you are a member of, if you are reported.
 - You may be unable to defend the company's stance on the matter. The fact that you did not personally make the fraudulent application would be insufficient for you to avoid liability and the accusation that EduLearn is a party to fraudulent activity.
- *Consequences for the company*
 - The possibility of fines, litigation, and a culture of fraudulent activity.
 - Potential loss of reputation, which could negatively affect the share price, which may cause losses for investors, shareholders, employees, students, and the greater community of EduLearn.



Reflection and 'food for thought'

Have you considered or given thought to ...?

1. What other ethics theories, which are not in conflict with traditional African ethics, can you use to resolve these ethical issues and challenges?
2. Does the board of directors have a proper appreciation of the financial and business implications of the funding proposal? Or do the directors need to receive training regarding this and similar ethical dilemmas and unlawful actions?

3. What bearing will the fraudulent application for COVID relief funds and the conflict of interest in the capital funding application have on the external audit, presentation and disclosure in the financial statements and the external auditors' report?
4. Can personal ethics be in conflict with business ethics, and how do you respond to such instances? What are the implications of the actual/lived ethics not being in line with the documented ethics of an organisation?
5. Which other laws and regulations are affected by the fraudulent application for the COVID relief funds? In the greater scheme of things, what is the societal impact of the fraudulent application for the COVID relief funds?

Chapter 5

Give us your data, our daily profit

Mojalefa 'Jeff' Mosala (UFS)
Kato Plant (University of Pretoria)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Identify the ethical values threatened by the ethical dilemmas and evaluate the impact of the ethical dilemmas on the ethical values.
- Identify the stakeholders and describe how they are affected by the ethical dilemmas.
- Apply an ethics-based reasoning process to solve the ethical dilemmas that have been identified.
- Analyse all courses of action and the consequences of each (such as disciplinary action) for unethical behaviour.
- Report ethics-related issues to higher levels of management, legal or regulatory authorities or others, when appropriate.

Level of knowledge:

Basic to intermediate



Case study

This case study focuses on ethics in the fourth industrial era of technology. The ethical dilemma arises in the context of data collection and data usage in the marketing industry.

KasiNote Ltd is a newly registered South African company that offers online social media networking services. KasiNote was founded in 2017 by two accountants from Clocolan in the Free State. The company's headquarters is in Bloemfontein, the capital city of the Free State province.

Access to KasiNote's online social media network is free of charge. New users can create profiles, upload profile pictures and update their status. The site has several components including

- Timeline, a space on each user's profile page where a user can post their content and friends can post messages
- Status, which allows users to alert friends of their current location, situation or thoughts
- News Feed, which informs users of changes to their friends' profile and status.

Users can chat privately with each other. They can signal their approval of content on KasiNote with the 'KasiSign' button, a feature that many users enjoy as it has a unique African touch.

The founders of KasiNote wanted to create a networking platform that is fun for students in the Free State, and KasiNote has received massive support since its launch in 2017. Interest in the KasiNote social media platform stems in part from the fun that many users have while they are on the platform, sharing comments, memories and pictures.

KasiNote became the largest social network in Africa, with more than 367 million users as of 2018, about 70% of whom were using KasiNote every day. This led the founders in 2019 to revise their intentions about the social network platform. On the basis of the massive increase in users, they decided to change the focus of the company to turn it into a company with a relevant and modern approach to business that includes selling, buying and marketing on social media platforms.

You are a professional accountant and were appointed the new Chief Operations Officer (COO) of KasiNote. You are very excited about this new venture in your life and about the opportunity to be part of the team growing the company to reach greater heights.

One of the founders forwarded to you for your review and comment the following strategies he drafted that describe the new direction of KasiNote:

From: Founder 1

To: COO

Date: 01 June 2021

Business strategy for next 5 years

Strategy 1: Advertising/Marketing

Use information of consumer behaviour, such as location data harvested from a phone and internet browsing, and use it for narrowly and accurately targeted advertising.

Strategy 2: Data availability for investigations

Collect details of the virtual footprints of customers, including real-time location and communication metadata, that can assist with tracking missing friends and family. This data can also be shared with or sold to law enforcement, home affairs and the intelligence unit, for the safety of our country.

Strategy 3: Live streamers and influencers

Allowing live streamers and influencers to interact and share their experiences online. Viewers can comment and interact live by posting messages that appear beside the live stream. These posted messages can then be paired up with targeted advertisements. Live streamers can also receive financial rewards, which is an exciting goal for some young people.

Strategy 4: Online gaming

Using the online social platform to encourage users to participate in online games, which will encourage them to visit our site more frequently. Using addictive design patterns means giving our clients the product they like and enjoy!

Strategy 5: Job advertising & recruitment

Based on their online profiles and footprints, target our customers via our online social platform to advertise jobs that they may be interested in.



Ethical dilemma

What possible personal and business ethical dilemmas are identifiable from the scenario presented?

Personal ethics vs organisational/industry culture

Personal ethics refer to a personal value system applied by an individual to his or her decision-making, conduct and interactions with and others.

As the newly appointed COO, you have to familiarise yourself with the business strategy and consider issues relating to the use of the personal data of current users who signed up on the social media platform. For example, using the personal data of people without their knowledge may be considered theft of personal information or breach privacy policies.

Furthermore, allowing current users to be targeted by advertisements is problematic. For example, a recently recovered gambler could be expose to a gambling advert. He or she could relapse and set his or her life back while the company gains fees. Furthermore, intentionally 'tricking' customers to sites which then take/harvest those customers' data and target their spending habits without their agreement is not trading honestly or with integrity and could be a contravention of the Protection of Personal Information Act (POPIA).

The personal values of the COO might be in conflict with the values of the organisation or organisational culture. This creates a personal ethical dilemma if the COO aspires to the values of integrity, honesty and respect for others but the organisation is focused on the bottom line only (profit objectives vs social objectives).



For consideration

Discuss whether KasiNote's goals are ethical. Use the following ethics theories to explain your answer:

- Utilitarian theory approach
- Deontological theory approach.

Utilitarian approach

The utilitarian approach determines right from wrong by focusing on outcomes. It is a form of consequentialism. Ethical decisions made in terms of this approach produce the greatest good for the greatest number of people.

The surveillance entailed in Strategy 2: Data availability for investigations could possibly make many people's lives easier, as far as connecting with old friends and family and finding lost children and other

loved ones are concerned. Also, it might make policing by protection services better and easier. In addition, the company would generate profits and make its clients happy.

Deontological ethics

The deontology approach uses rules to distinguish right from wrong. Ethical actions follow moral laws – for example, don't lie, steal, or cheat. This approach usually fits well with human nature, as we just want what is right and wrong. The worker is required to follow rules and do the job; there is no subjectivity.

The act of harvesting and tracking users' information will not be illegal if the user gives permission for accessing, using or sharing his or her information. However, if the requirements of POPIA are not met, harvesting and tracking the user's information would be unethical and illegal according to POPIA.

This theory is not concerned with the act of using people's data to make money or with harvesting spending or movement behaviour to sell information to clients; the only concern is meeting legal requirements.



Consideration

Ethics risks are those outcomes that may undermine the 'good' in the ethics definition triangle or disturb the balance between the interests of the self and those of others.

Identify at least one ethics risk for KasiNote and explain why you regard it as a risk.

Ethics risk is a dimension of risk in the same way that reputational, legal, operational, IT, financial, and HR risks are.

The non-management of ethics risks could give rise to reputational loss and financial costs for an organisation. Like any other type of risk, ethics risks need to be managed effectively. If they are not, there may be short-term profits, but over the long-term the organisation might suffer reputational damage and the business might not be sustainable.

Strategies 3 and 4 could result in ethics risks. The online live strategy will resonate with many young users and increase the organisation's access to more data and user behaviour for future marketing and selling to clients. Also, the online gaming strategy could attract young children and result in addictive behaviour. Both these strategies could expose children to age-inappropriate content including sexual or violent

content or threats to get them to do things against their will. A live streamer can make a mistake, share personal details, or broadcast offensive or inappropriate material in public. It's possible for viewers to record a live stream, and it could be posted online or shared more widely.

If real cases similar to the above come out in the public domain, even though the uploaded videos or live streams were not intended to cause harm and the users are not forced to do anything, the company could face ethics risks (such as reputational damage and financial loss) and be held accountable for creating a platform which is considered to destroying young people's lives.



Stakeholders

Various stakeholders are affected by the business practices of organisations. The pursuit of shareholder value can overshadow the interests of other stakeholders or cause them to be neglected.

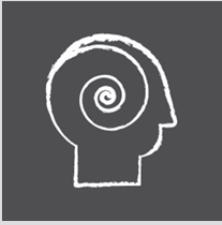
Consider the possible impact of the new strategies proposed by the founder on the following stakeholders:

- the government (social department) and child protection services
- parents
- clients of KasiNote
- employees of KasiNote.

The societal expectations of organisations may include

- creating jobs and wealth
- improving the economic circumstances of the society
- caring for the environment
- upholding community standards and moral views
- supporting community projects
- participating in solving societal problems.

These expectations can also conflict with one other. For example, creating wealth and jobs may clash with caring for the environment or upholding the community's moral views. This may undermine the 'good' in the ethics definition triangle or disturb the balance between the interests of the self and those of others.

**Consideration**

Apply the expressions 'when in Rome do as the Romans do' and 'nice guys come last' to the on-line gaming product approach.

While the sayings are encountered often, they are not expressions of fact. Organisations that act ethically will be more sustainable over the long term. Ethical behaviour is therefore good business.

When in Rome do as the Romans do

The maxim 'when in Rome do as the Romans do' justifies unethical behaviour by arguing that it does not help to go against the tide of unethical behaviour. If unethical behaviour in business is the norm in a specific context or country, it simply has to be accepted as the way that business is done there. It also implies that one person's ethical efforts cannot make a difference in a predominantly unethical environment. So, as another expression has it, if you can't beat them join them.

The gaming industry (including online gaming) has been designed for maximum addiction. KasiNote wants to use this maximum-addiction approach, as used by everyone else in the industry, to generate profits. It appears that KasiNote is not considering the ethical implications of its strategy to use online gaming, which creates an addiction that can affect the lives of users negatively and without their even being aware of it. This is like introducing someone to drugs without warning of the side effects.

Nice guys come last

The saying that 'nice guys' finish last proclaims that it is impossible to be both ethical and successful in business. Ethics and business are seen as opposites. Either one is unethical and successful, or ethical and unsuccessful. In short, ethics is detrimental to success in business.

The company seems to consider that the gaming approach strategy is the only way in which it can be successful. In taking this view the company is not engaging with ethical considerations; its main focus is profitability and the success of the new gaming idea. This strong focus on profitability exposes the company to ethical risks such as reputation or brand damage. Should the company be exposed it could lose current and potential customers and possibly lose market share.



Consideration

- Identify and explain the ethical dilemma(s) the COO (and company at large) faces.
- Provide solution(s) to the dilemmas using the RIMS strategy principles as described in Kretzschmar et al. (2019).

Ethical dilemmas

Dilemmas can be either interpersonal or intrapersonal. They occur in groups of people, but a person may also experience a dilemma within herself or himself. Both social (interpersonal) and personal (intrapersonal) dilemmas are characterised by the fact that there is no longer a choice between right and wrong but between competing ethical or unethical options.

RIMS strategy for resolving moral dilemmas

Personal dilemmas arise when a person has conflicting moral views about what the most appropriate moral decision should be in a specific situation. The purpose of the RIMS (Rational Interaction for Moral Sensitivity) strategy is to structure a process of rational interaction between the rival points of view in a moral dispute that will result in morally sensitive decisions.

The RIMS strategy begins with 'rational interaction'. This is a rational debate between two or more rival views on the moral issue under discussion. With reference to KasiNote's Strategy 4, the one view could be that supporting online gaming is a viable business opportunity, whereas another view could argue against the ethics of online gaming and view the strategy as an unethical business practice.

In such a debate the rival points of views should be presented, analysed and discussed in a rational and tolerant way. KasiNote's governing body should engage in ethics dialogue and discuss each of the above views in a rational and tolerant way and consider the consequences of each view.

'Rational' means that points of view are based on reasons that will make them understandable to others. KasiNote's governing body should therefore not get emotional and base its views on feelings only. Rational arguments are the only valid means of persuasion permitted.

continued

Reasons are not restricted to empirical evidence, however, but also include values, culture, religion, and emotions, which can provide support for a point of view. Here, emotions play a role, but KasiNote also needs to consider its values (in terms of its vision and mission statement), the organisational culture (the way things are done within the organisation) and the organisation's ethics strategy (does the organisation merely want to comply with laws and regulations or does it want to move beyond compliance and act with integrity when taking business decisions?) Again, dialogue between various stakeholders such as the governing body, community representatives and employees could assist in finding the best ethical solution.

Considerations relating to ethical leadership

- *Ethical leadership*

When leaders are authentic and values-based, they become guides helping employees find meaning. They set formal rules but also lead by example.



Implications and actions

- What are the governance implications of the scenario presented in the present case study (strategic level, impact of King IV, board) and what actions do you consider necessary?
- Do you think KasiNote's founders' strategy shows ethical leadership? Why?

- *King IV*

The King IV Code recommends that leaders and governing bodies demonstrate the following characteristics:

- integrity
- competence
- responsibility
- accountability
- fairness
- transparency.



Ethical principles

Which of these ethical values are challenged and how? (Your answer should be based on the ethical values cited in the King IV Report.)

- *Integrity*

The leadership of KasiNote is demonstrating limited application of this principle, particularly in respect of the data collection processes and how the company commercialises its users' data.

- *Responsibility*

The leadership of KasiNote should consider both the positive and negative affects to their stakeholders of the decisions taken by the company. The service that KasiNote sells and how it makes profits should be morally sound and sustainable.



Reflection and 'food for thought'

Have you considered or given thought to ...?

- The potential ethical issues that come with the Fourth Industrial Revolution for businesses and those who interact with those businesses.
- Whether rapidly changing technology that improves businesses and people's lives may have potentially harmful side effects.
- The fact that unique and profitable ideas may not always be morally inclined, and the fact that the victims of unethical behaviour may not be aware of the harm done to them does not make a service ethical.

Chapter 6

Unabashed Debt Solutions

Lorraine Erica Derbyshire (NWU)
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Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify ethical issues or concerns in the scenario provided.
- Understand what the concept macro-ethics entails.
- Understand the affiliation between macro-ethics and professional and business conduct.
- Differentiate between capitalism and statism (economic systems).
- Critically evaluate whether an organisation contributes to a capitalistic economic system in South Africa.
- Understand what the concept distributive justice entails.
- Motivate whether the business practices of or decisions made by an organisation coincide with the utilitarian, egalitarian or libertarian distributive justice theories.

Level of knowledge

Basic to Intermediate



Case study

This case study focuses on ethical dilemmas and macro-ethics that have broader societal implications. The ethical issues arise in the context of an organisation that focuses on debt administration, debt collection, debt review and debt counselling.

You recently joined Unabashed Debt Solutions Ltd as a financial controller. Unabashed Debt Solutions was established in 2009 after the global financial crisis, when many consumers were unable to honour their debt obligations, which the founders of Unabashed Debt Solutions saw as a business opportunity.

Unabashed Debt Solutions initially started off by providing the following services:

- debt administration and collection on behalf of corporate entities
- expert legal advice on debt collection to corporate entities
- debt counselling and debt rehabilitation for individuals
- debt consolidation or debt review for individuals
- credit ratings reports and repair of credit ratings for individuals.

When the company started, Unabashed Debt Solutions had only one office and five employees. However, it has since experienced significant growth and now has 45 branches in 30 towns and cities across South Africa, with 1 000 employees. Unabashed Debt Solutions is fortunate to own all the premises at which its branches are located. Owing to its steady financial performance, Unabashed Debt Solutions is known as the leading debt management solutions company in South Africa.

In 2014 Unabashed Debt Solutions successfully applied and registered as an authorised financial service provider (FSP). The aim was to provide debt settlement services and short-term insurance to customers by raising capital to execute these services through listing on the JSE. After meeting all the JSE listing requirements, the company was successful with its application to list and was admitted to the main stock exchange in January 2015.

In the light of the company's ongoing success, the directors decided to diversify further the services provided by Unabashed Debt Solutions to include taking up debt securities issued by entities who wished to securitise their trade and other receivables (known as 'trade receivables securitisation') and providing credit card accounts to individuals.

Upon signing your employment contract and starting your career at Unabashed Debt Solutions, you received an upfront bonus of R1 500 000. Given that the company works with highly sensitive information you were required to sign a non-disclosure/confidentiality agreement. One of the employment conditions is that you may not resign from the company for the first five years of your employment. Furthermore, you are not allowed to join an entity similar to Unabashed Debt Solutions for at least two years after termination of your contract with the company. In addition, no employee is allowed to discuss any information obtained during his or her employment with Unabashed Debt Solutions with individuals employed at the company (except

those employees in your group, in other words those you report to and those who report to you) or outside the company.

As you recently got married and have a new-born child, you used the bonus money to finance the outstanding debt on your house mortgage. You were excited to hear that all employees' salaries were subject to review and an annual increase in the month following your starting date at the company.

Management sent the following email stipulating the annual increases that employees will receive according to the current level of their remuneration.

EMAIL From: HR-admin@uds.co.za To: Cc: HRManager@uds.co.za BC: financialcontroller5@uds.co.za Date: 18 May 2021, 09:00 Subject: Important matters – annual cost of living increases				
Dear Unabashed Debt Solutions valued employee Management has decided on the following annual increase effective 1 July 2021:				
Salary scale	Current salary range p.a. (rand)	Current number of employees	Percentage increase 2021	Percentage increase 2020
Scale A – Top management	800 000 – 1 900 000	5	1%	3%
Scale B – Middle management	600 000 – 720 000	12	1.2%	3.5%
Scale C – Senior Supervisor	490 000 – 650 000	45	1.3%	3.7%
Scale D – Accountants and Financial Controllers	360 000 – 500 000	10	1.55%	4%
Scale E – Financial advisors	124 000 – 240 000	90	1.8%	4.2%
Scale F – Associates	108 000 – 135 000	703	2.75%	4.7%
Scale G – General workers	60 000 – 75 000	135	3%	5%

continued

PS: You are hereby reminded that even though we are 100% transparent with all of our employees, we request that you keep the information in this email confidential.

Kind regards,

L.E.D. Powers

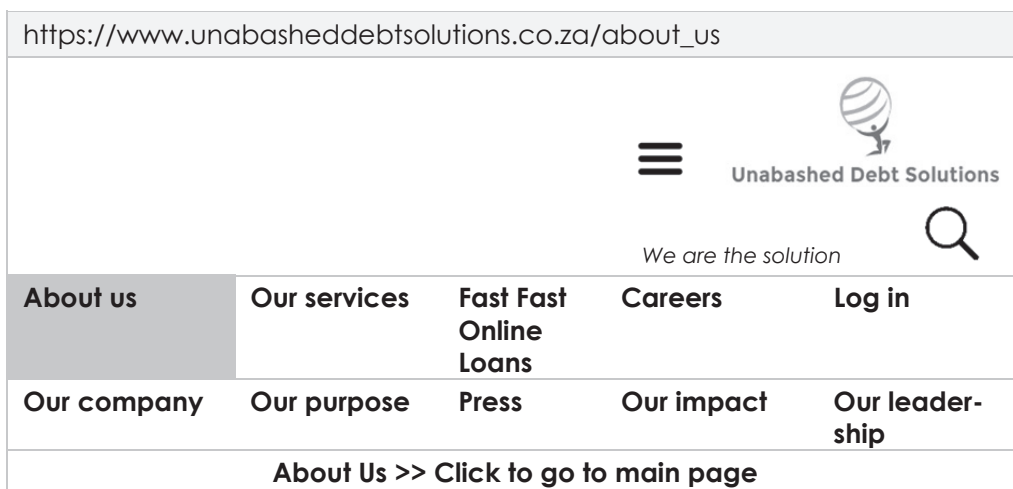
Head of Human Resources

Disclaimer – visit www.unabasheddebtsolutions.co.za

One of the financial advisors got really upset when she saw that associates and general employees will receive a higher increase than all other employees and that the annual increase was not in line with the annual consumer price index (CPI) of 4.7% for any salary scale. She forwarded the email to the public relations department of the Economic Rights Frontiers (ERF) political party and claimed that Unabashed Debt Solutions is exploiting associates and financial advisors by not providing a salary increase at least equal to inflation, which would have been the morally right thing to do as they are working themselves silly after management decided to amend the employment terms of all associates and financial advisors to stipulate that they are compelled to work two hours' overtime per day (six days per week) for no additional compensation. She also claimed that the salaries are not market-related.

Unabashed Debt Solutions received a letter from the ERF stating the claims made against the company and threatened to lay a complaint with the Department of Labour, insisting on an increase of at least 7% for all employees in scales E and F, effective from 1 July 2021. The board of directors ordered all employee emails to be screened immediately to identify the culprit who had leaked confidential information to the ERF. The board also vowed to deal with that person 'with full might'.

One of the first tasks you set out to do after commencing employment was to obtain a detailed understanding of Unabashed Debt Solutions's business. Amongst other things, you visited the customer services department and requested logs with customer feedback. You visited the company website, and the following page opened:



The first thing that you noticed was a link to 'Fast Fast Online Loans'. As far as you were aware, Unabashed Debt Solutions did not provide any loans other than debt settlement in an arrangement similar to debt consolidation. You spoke to the financial manager (your supervisor) and asked him what the Fast Fast Online Loans were about. You also mentioned that when you clicked on the link, the page stated that customers are requested to fill in an online form that looks exactly like a bank application form, where they stipulate the amount of money they need, their banking details for monthly debit order repayments and they are also asked to sign the terms and conditions online. The supervisor responded: 'Let's stay in our lane please. That has nothing to do with your duties as financial controller and neither does it have anything to do with mine.'

One of the other financial controllers heard you speaking with the financial manager and called you aside. She told you that a year ago the company started experiencing serious cash flow problems. This was mainly due to the fact that Unabashed Debt Solutions purchased debt securities in trade receivables securitisation deals from entities who recklessly provided credit to the public without performing a proper credit-worthiness test on their customers. This meant that the company never received its money back and should technically write off huge amounts of debt, but that would have a very bad impact on the company profits. If this situation becomes public knowledge, Unabashed Debt Solutions might as well close its doors.

According to the financial controller, one of Unabashed Debt Solutions's brilliant IT consultants sold an idea to the board of directors to improve the company's cash flow, which was to start an online loan referral website that charges individuals a fee for the referral and to send users of the service a once-off booklet of personal financial

management tips. The board of directors loved the IT consultant's idea, but they saw an opportunity to make it a bit more creative. They created the 'Fast Fast Online Loans' website. Individuals who are black-listed and cannot apply for a loan at a bank are attracted to this website. The individuals are requested to fill in an online form. Once they click 'Submit', they receive an email congratulating them on their one-year subscription for online loan referral services and monthly materials with personal financial management tips at a fee of R499 per month. According to the terms and conditions, customers cannot unsubscribe for the 12-month period unless they pay the R5 000 cancellation fee. If they refuse to pay, they are threatened with legal action.

You asked your supervisor whether what you learned is true or not. She told you that she understands why management took the decision to implement the 'Fast Fast Online Loans' online website and added that if it had not been for that tough decision hundreds of employees would have lost their jobs.



Ethical dilemma

What ethical issues are evident in the case study provided?

What is the moral dilemma the financial controller is facing?

The following potential ethical issues can be identified from the case study.

- Unabashed Debt Solutions appears to be in contravention of the Basic Conditions of Employment Act by not paying minimum wages for work performed and forcing employees to work 12 hours' overtime a week, which is over the maximum of 10 hours stipulated in the Act.
- Employee well-being appears not to be a priority for the management of Unabashed Debt Solutions, since some workers are expected to work unreasonable overtime hours six days a week.
- The management of Unabashed Debt Solutions decided to screen all employee emails without prior warning or permission, which may violate employee privacy.
- The Management of Unabashed Debt Solutions seems to have abused its powers when it amended associate and financial advisor contracts without consultation with the employees who would be affected.

- A financial advisor leaked confidential information to the ERF without first following proper channels within Unabashed Debt Solutions.
- Management is not taking responsibility for forcing employees to work overtime for no compensation but instead opted to resort to intimidation tactics by promising to deal with the employee who leaked confidential information 'with full might'.
- The management of Unabashed Debt Solutions can be seen to be trading recklessly by not performing proper screening assessments before buying debt securities in trade receivables securitisation deals.
- The company is seemingly defrauding innocent people through the Fast Fast Online Loans scheme that is presented as a debt application but subscribes people to services that they did not willingly or knowingly subscribe to.
- The integrity of management is questionable in that management deliberately defrauds innocent people who are already in financial distress.
- Unabashed Debt Solutions's entire business model could be viewed as unethical because it is premised on making money from financially distressed and vulnerable individuals.

The primary moral dilemma that you (as the financial controller) are faced with is whether you should blow the whistle on (disclose) the illegal or immoral manner in which the 'Fast Fast Online Loans' website operates. If you keep quiet, unsuspecting customers will be exploited; if you blow the whistle, the company may go under and many people will lose their jobs.



Ethical principles and values

Which ethical values of the employee who forwarded the email to ERF are affected by this moral dilemma?

Which of the ethical principles (cited in King IV) of the management (governing body) and Unabashed Debt Solutions (the organisation) are affected by this dilemma?

Consider the following ethical values from the perspective of the employee who forwarded the email to ERF.

- Confidentiality – The employee did not treat the organisation's information as confidential and shared it with the ERF.

- Loyalty – The employee felt loyal to her fellow colleagues and wanted to expose the company's business practices but without following the appropriate channels of communication and reporting. It appears that the employee acted upon her emotions only and did not follow a rational decision-making process before acting.

The business model and actions of Unabashed Debt Solutions and its governing body require consideration of the following ethical governance principles.

- Responsibility – The governing body should act with responsibility when it comes to business practices such as work conditions and advertising of services. As described above, the governing body is not acting with the necessary responsibility.
- Accountability – The governing body should be accountable for all its actions. It appears that senior management is not accountable in that it continues with fraudulent and unfair business practices such as misleading customers and exploiting employees.
- Fairness – The governing body should ensure that all stakeholders are treated fairly. But it appears that it does not do so: potentially vulnerable customers are being defrauded and employees are not consulted in salary negotiations and working conditions.
- Transparency – The governing body should be transparent to all stakeholders. But it appears not to be so: senior management is not open to negotiations with employees. Similarly, the true purpose of the company's business practices are not transparent and vulnerable customers are being defrauded.



Macro-ethics

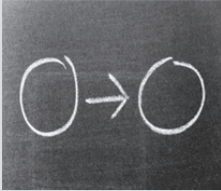
Macro-ethics is described as the exploration and evaluation of the social, economic, political, environmental, and cultural contexts and how they shape societal practices (refer to Chapter 2).

How would you describe the business model and activities of Unabashed Debt Solutions using macro-ethics theories?

How do the activities of Unabashed Debt Solutions align with the theories of morality and distributive justice?

South Africa is regarded as one of the world's most unequal societies, specifically with regard to the unequal distribution of wealth in the country. When considering the macro-ethics of this case study, you

should consider whether the business model of Unabashed Debt Solutions is fair and just to its customers, employees and the general public, given the socio-economic environment in which it operates. You should also consider the company's business activities and decisions in terms of ethics theories and theories of distributive justice. Refer to the discussion below for some key considerations.



Consequence management

Using the table provided in the email with the subject 'Important matters – annual cost of living increases', describe how the principles of macro-ethics could have influenced the decision of the management of Unabashed Debt Solutions to provide percentage increases according to salary scale.

Critically evaluate whether Unabashed Debt Solutions contributes towards a capitalistic economic system in South Africa.

Write a report on behalf of management that it can distribute to all employees and the ERF, in which management motivates the basis for the decision to give higher salary increases to employees whose earnings fall in a lower salary scale. Use the relevant distributive justice theory within which their decision can be categorised as your primary justification or motivation for why the salary increase model can be deemed to be just.

How macro-ethics applies to Unabashed Debt Solutions

From a macro-perspective (country level), the social and economic context, in so far it relates to wealth distribution to different classes of individuals in society (based on their wealth), may have led to management's decision to give higher annual increases to employees who earn lower salaries.

Extent of Unabashed Debt Solutions's contribution to capitalism in South Africa

1. Corporations

- Unabashed Debt Solutions Ltd is public company, which means it is registered as a corporation.

- The company is a separate legal entity. Its continuing existence is not contingent on the original founders who started the company in 2009 since shares in the company are held not only by them but also by the general public.
- The company listed on the JSE in January 2015, which means that funding of its operations could come from various pools of funding (i.e. shareholder capital, loans, debentures, bonds, and so on).
- The shareholders of Unabashed Debt Solutions have a 'limited liability' status vis-à-vis the company, owing to the nature of a company (a legal entity) in terms of the Companies Act, 2008 of South Africa.
- The company has been in existence since 2009 and has the potential to exist in perpetuity. This is strengthened by the fact that shares in the company were made available to investors from the general public, and funding to secure future operations can come from various sources thanks to the company's listing on the JSE.

2. Private property

- Unabashed Debt Solutions owns all the premises at which its 45 branches are located, which already signifies that the company has the right to own – and does in fact own – private property.
- The properties are utilised to deliver the services offered by the company (including debt administration, debt counselling, debt rehabilitation, debt consolidation, debt settlement, credit cards, purchase of debt securities) that will generate income and make it possible for the company to realise a profit.
- Because Unabashed Debt Solutions is a separate legal entity, it will be able to sell or transfer the private property it owns should it desire to do so.

3. Competition

- Unabashed Debt Solutions is known as the leading debt management solutions company in South Africa, which implies that there are competitors in the market.
- One of the financial advisors lodged a complaint with the ERF, claiming that the salaries employees earn at Unabashed Debt Solutions are not market-related, which is a clear indication that a market (competition) for the industry exists.

4. Profit motive

- The company was started as a means of taking advantage of a business opportunity that existed. The original founders took a risk in investing their time, money and resources in the company.
- Before listing on the JSE, the company met the JSE listing requirements, which means that it realised a profit before tax of at least R15 000 000 in the seven years prior to listing.
- There are indications that the purchase of debt securities in trade receivables securitisation deals had a negative impact on the profits of the company, which indicates that the company aims to make a profit.

Since all key features of capitalism are present (without any reservation), it can be concluded that Unabashed Debt Solutions contributes to a capitalistic economic system in South Africa.

Report: Application of distributive justice theories to Unabashed Debt Solutions

REPORT

Justification of salary increase based on distributive justice theories

Prepared on behalf of management

Prepared for Unabashed Debt Solutions Ltd Employees and the ERF

Date prepared: 25 May 2021

Executive summary

Distributive justice is concerned with the fair acquisition and distribution of limited resources. Management of Unabashed Debt Solutions took the decision to increase salaries on an annual basis. The percentage increases differ across the different salary scales. Management used the egalitarian and utilitarian distributive justice theories to determine what would constitute just increases in salaries, and took into account the company's financial position at the time of the salary increases.

It will be noted that the salary increases for the 2021 year are less than they were in the 2020 year, since management also had to consider the company's financial position when the decision to increase salaries was taken. This report does not provide detail as to the reasons for a decrease in percentage increases for 2021 in comparison with the increases for 2020.

Introduction

The aim of this report is to motivate the basis for the company's decision to give a higher annual salary increase to employees whose earnings fall in a lower salary scale using the relevant distributive justice theory within which the decision can be positioned as primary justification or motivation.

continued

Justification of salary increases based on the egalitarian and utilitarian distributive justice theories

Management deemed it just to increase salaries on the basis of equity as opposed to giving an equal percentage salary increase across all salary scales. The decision to give a greater annual salary increase, as a percentage, to employees who earn in a lower tier of salary scales is based on the egalitarian distributive justice theory.

- The percentage salary increase aims to benefit those employees who earn lower annual salaries the most, as is evident from the fact that employees who fall within scale G (R60 000 – R75 000 annual salary) are given a 3% salary increase, compared to a 1% increase for those employees who fall within scale A (R800 000 – R1 900 000).
- The personal circumstances of each employee, namely how much each employee earns, were taken into account as opposed to just giving a fixed percentage salary increase to all employees regardless of the respective salary scales.
- Even though not all salaries are equal after the salary increases, the salaries of those employees who earn lower salaries grow at a rate faster than the salaries of those who earn more.

Management's decision can also be deemed just in terms of the utilitarian distributive justice theory for the following reasons.

- Unabashed Debt Solutions has 703 associates and 135 general workers. Together they represent 83.8% of all employees in the company and are therefore the majority.
- Associates and general workers receive the highest percentage salary increases and this should be beneficial for the majority of employees.

Conclusion

Management's decision to give a greater annual percentage salary increase to employees who earn in a lower tier of salary is just since it benefits the lowest-earning employees the most, and the majority of employees (who fall within scales F and G) received a higher percentage increase compared to the remainder of employees, who are in the minority (who fall within scales A to E).



Reflection and 'food for thought'

Have you considered or given thought to ...?

- How a business model and actions of an organisation can have a negative or positive impact on the broader society.

- How the macro-ethics context of South Africa can either constrain or enable organisational behaviour towards stakeholders or business practices and decisions.
- How a decision made by an organisation and its management can be deemed just in terms of acceptable distributive justice theories but still clash with prescribed ethical principles and values and hence create moral dilemmas.
- How socio-economic challenges can arise from the economic system an organisation contributes towards.

Chapter 7

Just contact details

Gail Fortuin (Stellenbosch)
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Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Identify the ethical values contradicted by the ethical dilemmas and evaluate the impact of the ethical dilemmas on the ethical values.
- Identify the stakeholders affected by the ethical dilemmas.
- Apply an ethics-based reasoning process to solve the ethical dilemmas that have been identified.
- Analyse all courses of action and the consequences of each (such as disciplinary action) for unethical behaviour.
- Identify when and how to report ethics-related issues to higher levels of management, legal or regulatory authorities or others.

Level of knowledge

Basic to intermediate



Case study

The focus of this case study is on ethics in the information systems sector, illustrating adherence to the Protection of Personal Information Act (POPI Act). The ethical dilemma arises when the internal audit manager obtains access to the master databases.

You are the internal audit manager at PersMax Ltd, a software company specialising in providing software and information system support relating to personnel databases to various companies of all sizes. You are a qualified Chartered Accountant (SA) and obtained your Certified Information Systems Auditor (CISA) qualification two months ago. You are very excited about this achievement because you know that in the next salary review your qualifications may result in an increase in your salary.

The Chief Audit Executive (CAE) assigned the responsibility for auditing the internal controls and processes of all the databases to you, including the auditing of those databases that PersMax Ltd administers for its various clients and of PersMax Ltd's own personnel database. You are very excited to apply your CISA knowledge to the current internal audit and to indicate which improvements the company can make. You are aware that you will have to work many hours' overtime as the deadline for the audit is near. Furthermore, it is the policy of the company not to pay overtime to employees at management level but to provide them with a few additional leave days at the end of the year for hours worked overtime throughout the year.

Moreover, things have not been going well at home. Your child is sick, and the hospital bills and medical expenditure are piling up. Your child needs 24-hour care for the next six months and home nurses are very expensive. Your spouse decided to leave his/her career to provide your child with all the necessary care and attention. This leaves a massive hole in the household income, and you do not expect to receive an increase in your salary for another nine months. You live in an expensive house, have two expensive cars and several medical bills to pay, all being paid solely from your salary. You cannot sell one of the cars, as your spouse might need it for errands or visits to the hospital, and neither you nor your spouse would like to give up on your luxury life.

While you are excited about your new responsibilities and implementing your CISA knowledge to help improve the controls in the business, you wish you could earn a little more or be reimbursed for the overtime hours you will need to work. You also know that it would be difficult to get such a great job in your area and are grateful that your internal audit team understands your situation at home. You would therefore not want to leave this company.

One weekend, your lifelong friend invited you over for a game of golf, to get some relief from all the stress in your life. You didn't feel up to it; you were exhausted from all the overtime hours you'd been working, quite apart from no longer having money for a luxury lifestyle at a golf club. However, since he is a close friend, you decided to go. At the

golf club you told your friend about the hours you had to put in for the current audit and about your responsibilities in the audit.

Your friend was very interested when he heard that you work with databases. He has created an online call centre for a medical and insurance company but is struggling to find enough clients to call and market the products and services to. He told you that you could make a lot of money with a database which contains personal information of individuals because most call centres and marketing agencies are struggling to obtain contact information as a result of the Protection of Personal Information Act (POPI Act). The POPI Act prohibits anyone from using personal information of an individual unless that individual has agreed to such use and from using such information for any purpose other than that to which the individual agreed. Your friend indicated that he is willing to pay you a good sum of money as well as a small percentage of the profits of his call centre company if you would download the databases you are working on and provide him with the information in them.

You are very interested in this suggestion. Since you are responsible for auditing the databases, you should be able to download them to test the information and controls in the personnel databases of PersMax Ltd and in all the databases of clients of PersMax Ltd. No one would even ask why you have downloaded the information: you could easily indicate that you are working on it over weekends or at home. This should really be easy. Furthermore, neither PersMax Ltd nor its clients would lose any money. The contact details of all the employees would be used for marketing purposes only and would provide the call centre with more income. You would be able to provide more money for your household, maintain your luxury lifestyle and perhaps even afford the services of a home nurse to provide some relief to your spouse. You are thinking, 'This can clearly not be classified as theft as I am not stealing money from the entity, and I am not stealing anything from anyone else. It is just contact details which I will be providing to my friend. Just contact details. A mere telephone number and name. Nothing else. In addition, some individuals may benefit from being contacted by the call centre.'

You must give your friend an answer by tomorrow. The fact that you would be breaching the POPI Act concerns you a bit, but no one would be aware of this breach. You also think to yourself that your family needs this income, you have medical bills to pay. It is really not such a bad idea to agree to leak the databases to your friend.



Ethical dilemma

What personal, business and professional ethical dilemmas are evident from the scenario presented?

Personal ethical dilemma?

You have a personal interest in this matter, which leads to a personal ethical dilemma. As an internal audit manager, you are responsible for securing and safeguarding of the databases which you are responsible for auditing. You are aware that you would be contravening the POPI Act by providing the information to the call centre, but you really need the money for your family, and you have so many outstanding medical bills. No one will ever find out about the fact that you leaked the databases. Or will they? What if someone finds out and you lose your job? What if your family finds out? Will your finances be able survive the next few months? What if someone else is blamed for the leaking of the information?

Business ethical dilemma?

PersMax Ltd would have policies in place regarding the safeguarding of information and as an employee you would be expected to adhere to them. What would the impact on PersMax Ltd be if someone were to find out that the information was leaked? PersMax Ltd is responsible for the databases and needs to ensure that they are safeguarded and that the information is not used for any business or personal gain.

Professional ethical dilemma?

You are a professional accountant (CA(SA) and CISA). What obligations do you have as a member of the professional bodies to which you belong? Would you be in contravention of the code of ethics of the professional bodies you belong to if you decided to provide your friend with the databases of PersMax Ltd and of its clients?



Ethical principles

With reference to the fundamental principles of SAICA's code of professional conduct, which of your ethical values are challenged in this scenario, and how?

Objectivity

As you are a professional accountant, your objectivity would be in question if you were to think only about your own financial situation. Your difficult financial position and the potential gain for both yourself and your friend compromise your objectivity. Your personal considerations would compromise your objectivity, professional judgement, and ability to perform your responsibilities in the best interests of the organisation. Your relationship with your friend further contributes to compromising your objectivity.

Integrity

A professional accountant is required to act with integrity, to be straightforward and honest in all professional and business relationships. If you leak the information, you will breach the duty to act with honesty in all professional and business relationships. Though PersMax Ltd and its clients will not suffer a financial loss, it is against the POPI Act to provide personal information of other individuals for your own personal use or for the use of someone else.

As the internal audit manager, whose duties include providing assurance on the effectiveness of the internal control system, organisational policies and procedures, you are responsible for ensuring that you safeguard the databases and do not use of them for your own benefit.

Confidentiality

As a professional accountant, you are required to respect the confidentiality of information acquired through your professional and business relationships.

The POPI Act requires that no information of individuals be distributed unless the individuals know about such distribution and have agreed to it. Furthermore, the professional codes of SAICA and CISA require that you safeguard the information and keep it secure. By providing confidential information to another company, you are in clear violation this requirement.

Professional behaviour

Behaving professionally means that you comply with relevant laws and regulations and avoid any action that might discredit the profession.

As the internal audit manager, you have a professional duty to ensure that the company adheres to all the relevant laws, regulations, rules, and codes of practice. By using the information for your personal use, you are not behaving professionally. Furthermore, should the matter come to light, your actions would discredit the profession.

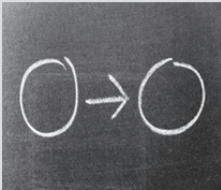


Stakeholders involved

Who are the stakeholders and how are they affected by or able to influence your decision?

Describe how each of the following categories of stakeholder is affected by or able to influence your decision:

- fellow managers of PersMax Ltd
- the board of directors
- the ethics committee
- employees
- your friend and his call centre company
- the clients whose information you are considering sharing
- management of the clients of PersMax Ltd.



Consequence management

What are the possible consequences if

1. you decide to provide your friend with the information in the databases, OR
2. you decide to reject the offer of your friend and keep the databases safe?

1. Deciding to disclose the information to your friend

- You will contravene the POPI Act and your professional codes.
- If you are not caught, you will benefit financially and a lot of the personal financial pressure you are facing will be alleviated.
- You will constantly live with the fear that your unlawful disclosure might come out.
- If you are caught, you may lose your job and face consequences for contravening the POPI Act and your professional codes, which would make your financial situation worse.
- By providing personal information of other individuals, you would breach the confidentiality of the information and make the personal data of other people available for use by other organisations for fraudulent activities or for use in a manner that was not agreed to by those people.

2. Deciding to reject your friend's offer and to safeguard the information

- Your current financial situation will remain the same.
- You will not have contravened the POPI Act or your professional codes.
- You will have no fear of losing your job and feeling guilty.



Fundamental principles (code of ethics)

The code of conduct of the professional body to which you as a professional accountant belong (for example, SAICA, SAIPA, ACCA) applies.

As a professional accountant and the internal auditor of PersMax Ltd, you have a duty to act in the best interests of the company. The codes of ethics of most professional accountancy bodies are based on the IFAC code of ethics. The fundamental principles in the IFAC's code of ethics are integrity, objectivity, professional competence and due care, confidentiality and professional behaviour (discussed above). The principles of the King IV code relating to ethical and effective leadership also apply.



Reflection and 'food for thought'

Have you considered or given thought to ...?

1. Have you ever considered providing an organisation or person with the contact details of people without their permission? Do you think it is appropriate to provide the contact details of people without their permission?
2. Do you think it would be more ethical if the internal audit manager received no award/money were for contact information?
3. Do you think the fact that the internal audit manager had a sick child and couldn't afford all the healthcare is the driver in making the decision to provide the contact detail?
4. How would you feel if your information was shared like this?

5. Why is giving away personal information an issue? What harm can it cause?



Ancillary material

The POPI Act came into effect on 1 July 2021. The following sources and publications may be relevant.

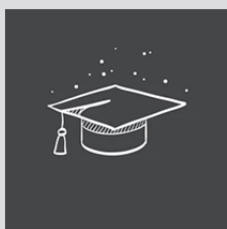
Link to the new POPI Act website: <https://popia.co.za>

Download the text of the POPI Act published in the *Government Gazette*: https://www.gov.za/sites/default/files/gcis_document/201409/3706726-11act4of2013protectionofpersonalinforcorrect.pdf

Chapter 8

To report, or not to report

Tammy Ntisana (UFH)
Felicia Mintoor (UFH)
Lynn Schenk (UFH)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical dilemmas in the reporting of non-financial information.
- List and describe the ethical values to be considered by the main role players in not reporting the non-financial information.
- Identify the stakeholders and how they are affected by the ethical dilemma concerning the reporting of relevant non-financial information.
- Describe the importance of reporting non-financial information in the Integrated Report.
- Explain the possible impact and consequences for the stakeholders, based on either ethical or unethical behaviour in the preparation of non-financial reporting.

Level of knowledge

Basic to intermediate



Case study

This case study focuses on ethics in the reporting of non-financial information within an integrated report. The ethical dilemma arises in the mining industry.

James Finch CA(SA) is the financial manager of Dig Deep Ltd, a large gold mine which operates in South Africa and is listed on the Johannesburg Stock Exchange (JSE). James is responsible for preparing the company's Integrated Report and is in the process of preparing the report for the 31 December 2020 year end.

One of the reporting areas in the Integrated Report relates to the health and safety statistics of employees, in particular statistics concerning silicosis, a mine-related disease. Silicosis is caused by exposure to dust that contains silica, which can occur during the mining, blasting, breaking and handling of gold-bearing silica quartz. Silica dust causes breathing problems and lung infections in workers in the mining industry.

In recent years the number of silicosis cases at Dig Deep has been kept low through the use of proper protective equipment provided by the company to employees as well as the education and training of employees on the prevention of silicosis and the dangers of the disease. Dig Deep, as part of its social responsibility towards past and present employees, provides medical treatment for all employees with silicosis.

In terms of the Occupational Diseases in Mines and Works Act 78 of 1973 (ODMW Act), section 32, 'any person who works or has worked at a mine or works, or any other person acting on behalf of such a person, may at any time apply to the director for a medical examination of such person for the purposes of determining whether such person is suffering from a compensational disease'.

Julia Wilson, the Senior Health and Safety Officer of Dig Deep, acts on behalf of all past and present employees, when making submissions to the South African Medical Bureau of Occupational Diseases (SAMBOD) in terms of section 32 of the ODMW Act. Julia has presented James with the following statistical information related to actual and potential silicosis cases at Dig Deep, for inclusion in the FY20 Integrated Report.

Five-year summary

Silicosis statistics	FY20	FY19	FY18	FY17	FY16
Silicosis applications pending submission to the SAMBOD	443	201	225	282	294
Silicosis cases certified*	68 to date	62	121**	78	82

* Certified cases refer to the number of applications which the SAMBOD has reviewed and certified as being eligible for compensation in terms of the Act. These cases have been verified by a medical practitioner.

** The increase in FY18 was as a direct result of the class action suit between a group of mining industry representatives and the lawyers representing the affected mineworkers.

James has prepared the Integrated Report, including the above information, and is presenting it to the Audit Committee for approval.

During the meeting, Tim Tsotsobe, an independent non-executive director and member of the Audit Committee, identifies the significant increase in the number of silicosis applications for FY20 which have yet to be submitted to the SAMBOD. Tim is concerned that this increase could negatively affect Dig Deep's current negotiations with a large foreign investor, who has requested access to the company's Integrated Report before it approves an investment deal. The investment deal will see Dig Deep benefit from a significant injection of capital over the next five years.

Tim is of the view that Dig Deep should go to any lengths to secure the foreign investment because the benefits of the investment deal will ensure that Dig Deep can continue as a going concern for a number of years without facing any financial difficulties, and this in turn will secure the jobs of ALL Dig Deep employees and provide for significant compensation increases for all in top-level management at the company.

Tim proposes that James report a lower number of 'Silicosis applications pending to the SAMBOD' in the Integrated Report, ensuring that 50% of the original applications for FY20 'find their way to the shredder' in order to reduce the number of applications submitted to the SAMBOD. Tim assures the rest of the Audit Committee that he has a friend who is an external auditor. He is confident that he will be able to count on his friend to provide the necessary assurance related to the silicosis statistics in the Integrated Report, in terms of ISAE 3000 (Revised), *Assurance Engagements Other than Audits or Reviews of Historical Financial Information*.

James leaves the Audit Committee presentation feeling somewhat uncomfortable about Tim's proposal but is unsure about what to do, seeing that he is only the financial manager.



Ethical dilemma

What are the personal, business and professional ethical dilemmas for James Finch and Tim Tsotsobe that are evident from the scenario presented?

Personal ethical dilemma?

Personal ethics are your own values or normative standards that determine what you consider to be good, right and just behaviour towards others.

James feels uncomfortable with Tim's proposal, which indicates that his personal ethical values are in conflict with the proposal. James will need to consider whether he is prepared to falsify the information relating to the silicosis applications that have yet to be submitted to the SAMBOD or wishes to do the right thing by reporting the correct statistics. In making this decision he would consider the potential business and personal consequences such as maintaining good relations with the board of directors and fear of dismissal.

Tim would have faced a personal dilemma if he had considered the consequences of his proposal for others. However, he has failed to act ethically by making this proposal.

Business ethical dilemma?

Business ethics deal with what is morally right or wrong in the context of the business activities of an organisation.

Consideration needs to be given to what the consequences would be if the stakeholders found out that the silicosis statistics have been falsified. What impact would discovery of this falsification have on investor relations and employee confidence and what would be the regulatory impact?

The financial and medical support needs of the applicants, which Tim wishes to have destroyed, have been ignored. Tim's proposal focuses only on the consequences for Dig Deep if the company does not receive the foreign investment.

Professional ethical dilemma?

As a professional accountant in business, James would need to consider the obligations he has towards the professional body he is a member of. He will need to consider whether his decision will be in contravention of the code of ethics of his professional body and whether it could bring his profession into disrepute.



Ethical principles

1. Given that James Finch is a professional accountant, identify the ethical values that he needs to take into consideration.
2. Which principles should Tim Tsotsobe consider with regard to his actions?

1. James is a professional accountant, and as a chartered accountant he is expected to comply with the fundamental principles contained in the Code of Professional Conduct of the South African Institute of

Chartered Accountants (SAICA). He would need to consider the following fundamental principles.

- *Integrity*

Integrity entails that a professional accountant be straightforward and honest in all professional and business relationships.

James's integrity as the financial manager and a professional accountant would be in question should he report false information by attempting to hide the true silicosis statistics. He would be failing to be straightforward and honest in the reporting of the non-financial information.

- *Professional behaviour*

As a professional accountant, James is required to comply with relevant laws and regulations and to avoid any conduct that a professional accountant knows or should know might discredit the profession.

If James were to comply with Tim's proposal that 50% of the silicosis applications for the FY20 'find their way to the shredder', he would effectively be party to Dig Deep's contravening of the ODMW Act. He would also be performing an action which could discredit the profession.

2. Dig Deep is listed on the JSE and as such is required to comply with King IV. As a member of the board and audit committee, Tim would be expected to comply with the principle of ethical leadership, as recommended by Principle 1 of King IV, and would also need to comply with the Companies Act, 2008, in particular with sections 76 and 77 of the Act.

- *King IV – Principle 1*

Principle 1 recommends that the board of directors collectively and individually display the following characteristics: integrity, competence, responsibility, accountability, fairness and transparency.

Integrity

Integrity is the quality of being honest and having strong moral principles. From an external-reporting perspective integrity refers to the reliability and usefulness of the reports issued, which includes the validity, accuracy and completeness of information.

Tim's proposal that James falsify the silicosis statistics in the Integrated Report, and that James ensure that 50% of the silicosis

applications for FY20 'finds its way to the shredder', indicates that Tim does not have strong moral principles and is willing to be dishonest.

The fact that Tim is suggesting that the statistics be falsified also indicates that he is willing to engage in unreliable external reporting, which brings into question his integrity.

Finally, Tim's comment that he has a friend who is an external auditor whom he is sure he can count on to provide assurance on the non-financial information indicates that he does not have strong moral principles and is willing to include others in his dishonest behaviour.

Competence

Competence requires that directors possess the skills and attributes and exhibit the conduct that is used to define and measure suitability for a certain role or function.

Tim is expected to have adequate, relevant knowledge and experience to be able to fulfil his role as an Audit Committee member, which includes being financially literate. He would therefore be expected to display competence regarding and understanding of the reporting requirements for both financial and non-financial information and the impact of non-compliance with laws and regulations.

Responsibility

Responsibility refers to taking ownership of a duty, obligation or liability.

As a member of the board of directors, Tim should be taking responsibly for Dig Deep's legal obligation to submit silicosis applications to the SAMBOD. Through his proposed actions, Tim is in fact attempting to ensure that the company's legal duty to the applicants is avoided, as without having their applications submitted to the SAMBOD the employees will not have their silicosis certified and therefore will not be entitled to receive compensation or medical support.

Accountability

Accountability refers to the obligation to answer for the execution of responsibilities. Accountability cannot be delegated.

Tim's proposal that James falsify the statistics and ensure that the paperwork disappears would not make Tim any less accountable for the actions he is proposing James takes. As a member of the board of directors, Tim would still be accountable for both

the disappearance of the paperwork and the falsifying of the statistics reported in the Integrated Report.

Fairness

Fairness refers to the equitable and reasonable treatment of the sources of value creation, including relationship capital as portrayed by the legitimate and reasonable needs, interests and expectations of material stakeholders of the organisation.

Tim's actions would not result in the equitable and reasonable treatment of the foreign investors, as they would be likely to make a significant investment decision based on false information. Additionally, the employees whose application paperwork could 'disappear' would not be treated fairly in that their interests would not be served. Their silicosis would not be certified, which means they would not be eligible to receive the compensation or medical support to which they are entitled.

Transparency

Transparency relates to the unambiguous and truthful exercise of accountability such that decision-making processes and business activities, outputs and outcomes are easily able to be discerned and measured against ethical standards.

Tim has a duty to be transparent with respect to the operations of the company, and the silicosis statistics of Dig Deep, particularly as the statistics included in the Integrated Report could affect the potential foreign investment in the company and the compensation and medical support the employees are entitled to receive.

- *Companies Act, 2008*

Section 76 of the Companies Act, 2008 prescribes that

'a director of a company, when acting in that capacity, must exercise the powers and perform the functions of director –

- (a) in good faith and for a proper purpose;
- (b) in the best interests of the company; and
- (c) with the degree of care, skill and diligence that may reasonably be expected of a person'.

Tim is not complying with the provisions of section 76: his proposal is not in good faith or in the best interests of the company. Proposing that the non-financial information included in the Integrated Report be falsified would negatively affect the reputation of Dig Deep should these actions be brought to light, which could in turn affect investor trust and confidence.

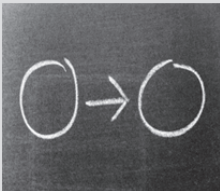


Stakeholders involved

Who are the stakeholders affected by or able to influence this decision?

Describe how each of the following categories of stakeholder is affected by or able to influence the decisions and actions of James (and Tim):

- foreign investors
- existing investors
- shareholders
- fellow directors
- employees and their families
- mining health and safety regulators
- labour unions.



Consequence management

What are the possible consequences for the employees, Dig Deep, James and the directors if

1. James decides to act in accordance with Tim's proposal, OR
2. James decides to report the silicosis statistics accurately?

1. If James decides to act in accordance with Tim's proposal

According to Tim's proposal, James would take the following actions:

- falsify the silicosis statistics in the Integrated Report
- ensure that 50% of the application paperwork disappears.

The consequences of these actions for the affected employees

- The employees whose paperwork disappears will not have their silicosis certified by the SAMBOD. This certification is required for them to be entitled to receive compensation. Without this compensation the employees and their families are likely to be placed under worse financial strain as their silicosis disease progresses.
- The employees will not be able to receive the necessary medical assistance to treat their disease. As a result, the disease will

progress faster than it would if it were controlled through medical treatment, negatively affecting the employees' quality of life.

The consequences of these actions for Dig Deep

- The foreign investor might withdraw its intention to invest in the company should it be established that the statistics included in the Integrated Report were falsified.
- The reputation of Dig Deep could be severely affected, which could affect investor confidence in the company. This could ultimately affect the company's sustainability.
- The confidence and trust of employees in their employer would also be affected negatively.
- The company could face sanctions, including possible fines, for non-compliance with the ODMW Act in failing to submit applications on behalf of its employees for certification by the SAMBOD.

The consequences of these actions for James

Although Tim himself will be accountable for James' actions, his accountability as a director will not absolve James from responsibility for participating in the falsification of the statistics.

As a professional accountant, James would be accountable in terms of the code of ethics of his profession, which in this case is SAICA's Code of Professional Conduct. James' integrity and professional behaviour would be questioned, and if it is considered that he has brought the profession into disrepute he could face disciplinary procedures from his professional body and lose his designation.

The consequences of these actions for the directors of Dig Deep

Tim and any other director who is aware of these actions have breached their fiduciary duty in terms of the Companies Act, 2008 by not acting in good faith in the best interests of the company, and they could be held liable in terms of section 77 of the Companies Act, 2008.

2. If James decides to report the silicosis statistics accurately

It is likely that reporting the statistics accurately would cause conflict between James, on the one hand, and Tim and anyone else who agrees with Tim's proposal, on the other.

James will have to consider discussing his concerns and discomfort with Tim. Thereafter if Tim still insists that James must falsify the statistics James could discuss the matter with another board member who does not sit on the audit committee or obtain legal advice.

The consequences of accurate reporting for Dig Deep

If the statistics are reported accurately in the Integrated Report, Dig Deep will have complied with its reporting requirements and with the principles and practices of King IV.

The reputation of the company will not be brought into question. Stakeholder confidence in the reliability of the company's information would not be affected.

Reporting the correct statistics could result in the potential foreign investment's not being approved, which would affect the company financially.

The consequences of accurate reporting for the affected employees

By allowing all silicosis applications to be submitted to the SAMBOD for certification, James would be ensuring that every past and present employee who has submitted an application, and is entitled to both medical treatment and compensation, is afforded these benefits.

The consequences of accurate reporting for James

James' personal and professional moral values and ethics will not be brought into question and he will retain his status and designation as professional accountant.

The consequences of accurate reporting for the directors of Dig Deep

The directors of Dig Deep would have acted in accordance with the Companies Act and the recommendations of King IV and would therefore not be in breach of any fiduciary duty.



Reflection and 'food for thought'

Have you considered or given thought to ...?

This case study highlights the importance of reporting non-financial information and consideration of ethical principles in preparation of the Integrated Report. Reflect on the impact (on all stakeholders) of a lack of ethical principles in preparation of non-financial reporting.

Consider the following:

1. What implications could falsified statistics in the Integrated Report have for the external auditor who would provide assurance on the non-financial information?
2. Consider the compensation the employees are entitled to receive if they have been certified by the SAMBOD. How does one ethically determine the value to be paid to compensate someone for loss of life or income due to contracting silicosis?
3. An investigation could be initiated to determine why there has been an increase in the number of silicosis applications in the current year, which could identify weaknesses in the current management of silicosis at Dig Deep. Identify these weaknesses and consider how each weakness could be addressed to produce a positive impact on the reputation of the company.



Ancillary material

The following article relates to the history of silicosis in the mining industry and to the silicosis class action from which the concept for the above scenarios were obtained.

<https://www.tshiamisotrust.com/about/origins>

Chapter 9

Ethical or empathetic?

Thandekile Koza (University of Limpopo)
Gail Fortuin (Stellenbosch)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Identify the ethical values contradicted by the ethical dilemmas and evaluate the impact of the ethical dilemmas on the ethical values.
- Identify the stakeholders and describe how they are affected by the ethical dilemmas.
- Apply an ethics-based reasoning process to solve the ethical dilemmas that have been identified.
- Analyse all courses of action and the consequences of each (such as disciplinary action) for unethical behaviour.
- Report ethics-related issues to higher levels of management, legal or regulatory authorities or others, when appropriate.

Level of knowledge

Basic to intermediate



Case study

This case study focuses on ethical decision-making when corporate social responsibility is misguided in the issuing of tenders. The ethical dilemma arises in the public sector.

Ms Dlamini, a professional accountant, was recently appointed Chief Audit Executive (CAE) at SA Freight SOC Ltd, a state-owned entity (SOE) in South Africa. Within the first month of joining the organisation, she was invited to attend a strategic planning meeting with all the other executives. At the beginning of the meeting, she received a warm welcome after being introduced by one of the other executive members, Ms Zungu, the Chief Financial Officer (CFO) and the only other female executive. During the tea break, Ms Zungu expressed to Ms Dlamini how delighted she was to have another female executive in the organisation, as she had been the only female executive for the past two years. The two women had a brief conversation over tea and discovered that they had a lot in common, over and above both being professional accountants and registered with the same accounting body. They were both working mothers with children of similar ages.

At the end of the tea break, Ms Zungu invited Ms Dlamini to sit with her during lunch so that they could continue with their conversation. Ms Dlamini was very excited and could foresee their having a good working relationship and developing a friendship outside the working environment. During their lunch break, Ms Dlamini complimented Ms Zungu on her beautiful nails, who responded that she had them done by a childhood friend of hers. She then indicated how 'sad' her friend's current situation was and provided some background on her friend's life.

Ms Zungu's childhood friend, Ms Mbizane, is a single mother of two in her mid-30s. After completing a qualification in banking Ms Mbizane joined a reputable bank in South Africa and worked for the bank for almost ten years. While working at the bank, Ms Mbizane managed to save money which allowed her to follow her lifelong dream of opening her very own nail and lashes salon. She established her salon in 2016 and called it Picture This (Pty) Ltd. The business was registered as a private company, with Ms Mbizane being the only shareholder. The salon specialises in providing its clients with customised trendy nails, offering bio-sculpture gel nails, acrylic nails, polygel nails as well as the application of individual cluster lashes. Picture This opened its first shop at Sandton Square in Johannesburg. It prides itself on being a leader in the beauty industry that offers exclusive services to all its clients, with professional nail technicians at an affordable price.

After the first two years of operation, Ms Mbizane noticed that the business was doing extremely well and decided to quit her full-time job at the bank in order to manage the business herself and to expand. By January 2019 Picture This had three more salons, in Midrand, Centurion and Pretoria. However, the COVID-19 pandemic and the national shut-downs that were implemented since March 2020 affected Picture This

negatively and the salons had to be closed for many months. As a result, the business struggled financially. Ms Zungu said that Ms Mbizane's situation was giving her sleepless nights and she felt she had to do something to help her through these challenging times.

A couple of weeks after this conversation with Ms Zungu, Ms Dlamini was reviewing recent tenders. She noticed an odd catering tender that had been authorised by Ms Zungu. Knowing that the organisation was cutting back on unnecessary expenditure, Ms Dlamini was surprised at how a tender of this nature could have been authorised and awarded. Remembering how welcoming Ms Zungu was at the strategic planning meeting, Ms Dlamini decided to walk over to Ms Zungu's office to get clarity on the circumstances surrounding the tender and on the procedures that were followed in awarding it.

When Ms Dlamini arrived in Ms Zungu's office and described the reason for her visit, Ms Zungu provided the following explanation for her action.

'As I was aware that Ms Mbizane was going through a financial crisis with her business and solely relied upon the income from Picture This to support her kids, I decided to assist her. After all, I am currently overseeing the procurement department as the previous Chief Procurement Officer (CPO) recently retired and the organisation is in the process of recruiting a new CPO. I decided to create a catering tender where the service provider will be responsible for providing food to the SOE for any meetings longer than 2 hours, training sessions as well as providing each department with tea, coffee, milk and sugar.

Yes, when I created this tender, I was aware that the SOE is cutting down on expenditure. However, I do not agree with the current moratorium on catering events. Considering Ms Mbizane's current situation, I decided to overlook the fact that the catering tender would constitute an unnecessary expenditure as well as the fact that Ms Mbizane's company has no experience in supplying catering services. All these factors were overlooked as in my view this tender will not be material in nature, and it falls under broad-based black empowerment (BBBE) as the organisation will be assisting a single African businesswoman in need.

Furthermore, I have checked the organisation's policy on corporate social responsibility (CSR) projects, and I strongly believe that the circumstances upon which this tender was issued definitely meet those of a CSR-related project. My understanding of CSR is that organisations should conduct business in such a manner that they are able to contribute to sustainable development and value creation to all stakeholders within three spheres, namely the social, economic and environmental spheres.

I think that issuing this tender to Ms Mbizane allows the organisation to contribute to the development of a black woman in small business, thereby creating value for stakeholders both socially and economically. Providing Ms Mbizane with this tender not only assists her and her kids but also the individuals she will hire and who will be working with her.'

Ms Zungu then informed Ms Dlamini that, as the executive member who was overseeing the procurement department, she had nominated Ms Dlamini to chair the tender bidding committee that would consider and approve the next portfolio of tenders, which included the catering tender. Now that Ms Dlamini had knowledge of the background of this tender, it would be easier for her, as all she had to do was simply brief the committee about the circumstances around the creation of this tender and then the committee to issue the tender to Ms Mbizane.

As Ms Dlamini was listening to Ms Zungu's explanations, she realised that Ms Zungu had motivated her actions to the responsible procurement team by stating that this tender should be viewed as a 'social responsibility project'. By stating that 'Ms Mbizane is a single mother and, had it not been for COVID-19, she would still be able to provide for her kids', Ms Zungu was implying that Ms Mbizane's circumstances were different from those of other individuals who would be awarded tenders in an 'unethical' manner and were driven by 'greed'. Ms Mbizane just wanted to be able to support her children.

Ms Zungu managed to convince the procurement team that the procurement policy and proper processes would be followed for this tender. She further instructed them to issue an advertisement of the tender to the public for a short period of five days, which was followed by the review of the tenders submitted. As Ms Zungu knew what the budget was for this tender, she ensured that Ms Mbizane's bid was within the budget, thereby ensuring that Ms Mbizane was the preferred bidder.

Later, when Ms Dlamini questioned some of the procurement team members who were involved in the tendering process for this tender, she established that Ms Zungu had promised the procurement team that, if they assisted with approving and awarding this tender, they would be allowed to use the organisation's resources (such as stationery, printers etc.) for their own personal use, especially if they were required for their children's schooling needs.

The following week, after their discussions about this tender, Ms Zungu invited Ms Dlamini for a lunch date. Over lunch, Ms Zungu assured Ms Dlamini that she was an ethical individual and whatever action she had taken was because of her very 'strong' ethical values founded on the principle of *ubuntu*. After all, she was not going to benefit from this tender in any way. She further indicated that during the very difficult times of the pandemic and lockdown it was important to assist family and friends who had been affected.

Being a state-owned entity, SA Freight SOC Ltd is subject to the requirements of the Companies Act and King IV. Thus, in addition to its board and audit committee, it has a social and ethics committee. The social and ethics committee is available to assist with any matters relating

to ethics issues and runs various initiatives within the organisation to encourage sound ethical conduct. Some of these initiatives include an anonymous tip-off hotline, which employees who want to report fraudulent or unethical behaviour can use and which guarantees their anonymity.



Ethical dilemma

What personal, business and professional ethical dilemmas are evident from the scenario presented?

Persona moral dilemma?

Ms Dlamini is a professional accountant and an executive member of the board of a state-owned entity. As the newly appointed CAE, she is still learning the organisational culture. Ms Dlamini has several personal dilemmas to consider.

She could consider seeking advice on this matter from the social and ethics committee, which would be in a better position to advise her on how to deal with this matter and explain to her the process and procedures that she should follow to deal with or report the matter. In the likely event that the social and ethics committee advises Ms Dlamini to disclose this matter, then Ms Dlamini's new relationship with Ms Zungu could be compromised by her decision to report the matter. Being new to the organisation and having discovered that she has a lot in common with Ms Zungu, Ms Dlamini might not want to jeopardise her new relationship with Ms Zungu and could therefore choose not to disclose this matter for personal reasons.

As a member of the executive committee Ms Dlamini has a fiduciary duty to bring this matter to the attention of the relevant individuals within the organisation. The discussions with Ms Zungu indicated a clear disregard for the procurement policy and that the correct procurement procedures were not followed for the catering tender. Seeing as the organisation has an anonymous tip-off hotline, Ms Dlamini has an option to report this matter anonymously. Failure by Ms Dlamini to report this matter could potentially result in damage to her reputation, as her ethical morals and values might be questioned should the matter be discovered later.

As a state-owned entity, the organisation is required to adhere to the Public Finance Management Act (PFMA). The purpose of the PFMA is to regulate financial management within the public sector, ensuring that

all revenue, expenditure, assets and liabilities are managed effectively and efficiently. The Act also outlines the responsibilities of those charged with managing finances. Chapter 6 of the PFMA sets out the fiduciary duties of the board of directors, which include the duty to exercise the utmost care to ensure reasonable protection of the organisation's assets and the duty to act with fidelity, honesty, integrity and in the best interests of the entity in managing its financial affairs. Knowing this, should Ms Dlamini elevate this matter to the board and report it at the next meeting? If she decided to do this, seeing that Ms Zungu is also a member of the board, she would expose Ms Zungu to the entire board committee and possibly jeopardise her reputation and put her career on the line. Alternatively, Ms Dlamini could discuss the matter with her superior, the CEO, before raising it with the board. After all, the actions of Ms Zungu were not for personal gain but were centred on assisting a friend through the creation of a catering opportunity. Ms Dlamini gathered that Ms Zungu had no financial interest to gain from the tender. The CEO might understand the motivation for this tender and allow it to be regarded as a 'corporate social responsibility project' in the circumstances.

Consider your actions if you were in Ms Dlamini's position.

Business ethical dilemma?

For the business, this ethical dilemma produces two or more conflicting judgements, and each may lead to unethical or less desirable outcomes. On the one hand, the Ms Zungu's apparent act of kindness has a chance of improving the life of a single mother, while, on the other hand, other stakeholders would be disadvantaged by this act and tax money would be misspent.

Ms Zungu is a professional accountant and the CFO of a state-owned entity. Owing to Ms Mbizane's loss of income as a result of the COVID-19 pandemic, Ms Zungu saw a need to create a tender in an attempt to assist Ms Mbizane as a single mother who had been left with no income. According to Ms Zungu, although the tender was not classified as a corporate social responsibility project, she strongly believed that it could be regarded as such a project. She was assisting a member of the community in 'need' and had nothing to gain from the issuing of the tender. Furthermore, Ms Zungu believed that the tender could uplift other needy people in the community as Ms Mbizane would provide employment to people assisting her with the catering activities. In Ms Zungu's opinion, the people who would benefit from the tender were Ms Mbizane and her children. Further, the children of the staff members involved in the issuing of the tender would also benefit, as Ms Zungu had indicated to the staff members that in return for their

assistance, they could use organisation resources such as stationary etc. for their own personal use.

Having heard Ms Zungu's justifications for issuing the tender under false and irregular circumstances, Ms Dlamini is still not convinced that the way Ms Zungu handled the situation was in the best interests of the organisation or of the public. If the tender qualified as a corporate social responsibility project, then Ms Zungu should disclose it as such and follow the proper protocols for the release of such a project. Awarding the tender solely to Ms Mbizane could be seen as favouritism, especially considering that many members of the community were affected by the pandemic (some possibly worse off than her). Ms Dlamini further noted that Ms Zungu authorised the issuing of this tender during a time when the organisation was cutting unnecessary expenditure. The tender was issued during a time when the organisation could not afford to spend money on such expenditure. The unwarranted expenditure would have a negative financial impact on an organisation already struggling financially.

- *Positive implications*

- The awarding of the tender to Ms Mbizane during a time when she was struggling financially as a single mother would contribute positively to both her and her children and improve their standard of living.
- Issuing the tender to Ms Mbizane would give her an opportunity to provide employment to other community members who are also struggling during the COVID-19 pandemic. In addition to improving Ms Mbizane's life, it would also improve the lives of the families of those she would employ and their community. Thus, many people would stand to benefit from the issuing of this tender.
- The fact that the staff members who were involved in the process of issuing the tender to Ms Mbizane were given access to the organisation's resources for their personal use would also contribute positively to those employees' lives. Those employees and their families would no longer need to incur the expenditure of buying things such as stationery, as they had been told that they could simply take stationery from the office.

- *Negative implications*

- Ms Zungu's act of kindness towards Ms Mbizane, although empathetic in nature, resulted in her disregarding certain procurement processes and procedures which should be followed when a tender is being issued. This act resulted in Ms Zungu's allowing the issuing of a catering tender regardless of the fact that the organisation was cutting down on avoidable expenditure (fruitless and

wasteful expenditure) and despite the moratorium on catering events.

- As a state-owned entity, the organisation is required to comply with the procurement requirements set out in the PFMA. Ms Zungu, by authorising a catering tender under the above circumstances, contravened the procurement requirements set out in the PFMA. The PFMA clearly states that an appropriate procurement and provisioning system that is fair, equitable, transparent, competitive, and cost-effective must be maintained in the organisation. These requirements were not met when the tender was created, approved and awarded to Ms Mbizane.
- The issuing of the tender to Ms Mbizane would be regarded as fruitless and wasteful expenditure as the organisation was cutting down on wasteful expenditure. Given that there was a moratorium on catering events, could the issuing of the tender be seen as a 'corporate social responsibility' project? Or is it just an action by a board member abusing her powers to assist a close friend?



Ethical principles

Identify and describe the ethical values of the CFO (Ms Zungu) and Ms Dlamini (CAE) that are being challenged. (Refer to the ethical values sighted in IFAC/IESBA code of ethics.)

Both Ms Zungu (the CFO) and Ms Dlamini (the CAE) are professional accountants and auditors and executive members of the board of a state-owned entity. As professionals, they are required to adhere to the IFAC code of ethics, and, as members of the board, they are required to meet the King IV requirements for the governance of a state-owned entity.

- *Objectivity*

Objectivity entails not compromising one's professional or business judgement because of bias, conflict of interest or the undue influence of others.

Ms Zungu's objectivity is in question. Ms Zungu is in a conflict of interest between the need to help her childhood friend, Ms Mbizane, and the need to execute her duties to the organisation. Her personal considerations compromised her objectivity, judgement, and ability to perform her responsibilities in the best interests of the organisation. She had a close relationship with Ms Mbizane, as they were childhood friends, therefore even her justification of the creation and

awarding of this tender as a 'corporate social responsibility' project was unjustifiable: the awarding of the tender to Ms Mbizane was based on a personal relationship and was therefore a biased action. The failure of Ms Dlamini, the CAE, to bring this matter to the attention of the board of directors and/or other relevant parties could be seen as failure on her part to act objectively in the situation. In deciding not to disclose this matter Ms Dlamini could be viewed as having been influenced unduly by the CFO.

- *Integrity*

Integrity entails being straightforward and honest in all professional and business relationships.

As CFO, Ms Zungu failed in her duty to act with honesty in her professional and business relationships. The fact that she asked both the procurement team and the CAE not to disclose this matter to anyone else showed that she was not being straightforward and honest in the issuing of the tender to Ms Mbizane.

The duties of Ms Dlamini, as the newly appointed CAE, include providing assurance on the effectiveness of the internal control system, organisational policies, and procedures. A CAE's not adhering to these duties is a threat to the fundamental principle of good governance and control. Once the CAE was aware of the improper tender, which contravened several procurement internal controls as well as PFMA requirements, she was obligated to act and raise the issue with the board of directors. Failing to report the matter would mean that she knowingly associated with an incident that was reckless and contravened internal control procedures and regulations.

- *Confidentiality*

As professionals, Ms Zungu and Ms Dlamini are required to respect the confidentiality of information acquired during their professional and business relationships.

Ms Zungu (as the CFO) was appointed to oversee the running of the procurement department owing to the vacant CPO position. She used this position to provide Ms Mbizane with confidential information on the budget for the catering tender (apart from assisting her with the completion of the tender application), which information individuals tendering for work should not have access to. The fact that Ms Mbizane was provided with confidential information by the CFO, who was an employee of the organisation, was a breach of confidentiality on the CFO's part. The CFO knowingly used her position to access confidential information from the organisation for her own personal use in order to assist a friend in obtaining a tender.

- *Professional behaviour*

Professional behaviour requires professional accountants to comply with relevant laws and regulations in conducting or exercising their duties and to avoid any action that might discredit the profession.

The CFO, Ms Zungu, contravened several regulations that apply to the organisation. First, the procurement procedures of the PFMA should be followed when a tender is being issued. Furthermore, as the acting executive overseeing the procurement department, the CFO failed to encourage ethical decision-making within the procurement department; on the contrary, she encouraged unethical decision-making amongst the tender committee members. In addition, she authorised the awarding of a tender associated with an expense that was considered 'unnecessary'. The SOE was cutting down on expenditure made in vain and which could be avoided (fruitless and wasteful expenditure) and there was a moratorium on catering events. Despite having all this knowledge, she continued to authorise the issuing and awarding of a catering tender.

As the head of the internal audit department, Ms Dlamini, the CAE, has a professional duty to ensure that the organisation adheres to all the relevant laws, regulations, rules and codes of practice. Her failure to raise the tender abnormality with the board of directors would call into question her professional behaviour.



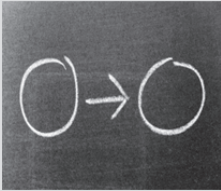
Stakeholders involved

Who are the stakeholders that would be affected by the decision of Ms Dlamini, the CAE, to act or not to act on the matter?

Consider how each of the following categories of stakeholder would be affected by Ms Dlamini's decision report the actions of Ms Zungu and the related fraudulent tender, fruitless and wasteful expenditure and allowing of employees to use assets of the organisation:

- board of directors
- social and ethics committee
- internal audit committee
- management
- other tender suppliers
- employees of the SOE

- Ms Mbizane and her family
- potential employees who would be hired by Ms Mbizane
- the general public
- the government.



Consequence management

What are the possible consequences if

1. the CAE decides to disclose this matter to the board of directors, OR
2. the CAE decides to leave the matter and take it as a 'corporate social responsibility' effort, as indicated by the CFO?

1. Decision to disclose this matter to the board of directors

- The decision may cause conflict between Ms Zungu and Ms Dlamini, as Ms Zungu had explained and justified her decisions and considered Ms Dlamini her colleague and friend.
- The fraudulent tender matter contravened both the PFMA requirements regarding procurement processes and the moratorium on catering events in place at that time. Reporting the matter to the board of directors would be likely to result in an enquiry, which might be followed by a disciplinary hearing for the CFO, which might, depending on the outcome, result in her dismissal.
- Ms Mbizane and her family would be without an income and struggle to survive the lockdown and pandemic.
- The SOE might retain a good reputation as an organisation where there are consequences for unethical and illegal behaviour.

2. Decision not to report the matter and to consider it a 'corporate social responsibility' effort, as indicated by the CFO

Ms Dlamini could decide to leave the matter undisclosed, with the argument that it indirectly met the organisation's criteria for corporate social responsibility. Ms Mbizane and her family needed the income, and awarding this tender to her empowered her, her family and those in her community who were unemployed. The tender would contribute to the sustainable development and value creation of the community both socially and economically.

The discovery of the circumstances of the issuing and awarding of this tender would have various implications.

- *Positive implications*

Ms Mbizane would have a new source of income, allowing her to provide for her children. Those individuals she would employ to work with her would likewise be able to provide for their families.

- *Negative implications for Ms Dlamini*

- Ms Dlamini is a professional auditor and the newly appointed CAE of a state-owned entity. She might be found liable for breach of her fiduciary duties in terms of the Companies Act, which might result in investigations by the professional body that she is a member of. The investigations might result in her losing her professional designation.

- As the organisation is a SOE, its dealings are in the public domain. The name of the CAE would be publicly known and her association with this scandal might ruin her reputation as a professional accountant.

- *Negative implications for the organisation*

- The possibility of an audit finding during the year-end audit that the tender issued was fruitless and wasteful expenditure.

- As a SOE this information would be made public, resulting in the general public's losing faith and trust in the management of the SOE.

- The issuing of previous tenders could come into question.

- The government could request an enquiry by the special investigating unit (SIU). The SIU would investigate the SOE's entire procurement process as well as the individuals working in the procurement department.

In an attempt to minimise the negative implications whilst retaining the positive implications of identifying the tender as a CSR project, Ms Dlamini could seek internal advice on the organisation's CSR policies and procedures. She could also establish whether the organisation had a budget for CSR projects. Should there be a budget for such expenditure, both Ms Dlamini and Ms Zungu could propose an amiable plan of action that could potentially assist those individuals in and around their communities who have been affected negatively by the COVID-19 pandemic. This proposal could then be presented to the board of directors for consideration and approval.

**Reflection and 'food for thought'**

Have you considered or given thought to ...?

1. If you were in the position of the CAE, how would you deal with the above situation?
2. What personal values do you believe the CAE would need to draw on in dealing with the above situation?
3. To what extent did the CAE's personal values affect her decision-making in this situation?
4. Knowing that the tender was awarded to Ms Mbizane because she was struggling financially as a result of income lost during the COVID pandemic, would you choose to remain silent about this matter and not disclose it to the relevant parties?
5. Is the issuing of the tender to Ms Mbizane by Ms Zungu an ethical issue or an issue of non-compliance with the PFMA's procurement requirements, or both?
6. If the CAE, a professional accountant, chooses not to report this matter, what would be the impact on the ethical values contained in the IFAC?
7. As a professional accountant in public practice is Ms Zungu required to exhibit the values contained in the IFAC? If she is, has her behaviour in any way violated these values?

Chapter 10

Profits or public health? A corporate nightmare!

Sitembele James (WSU)
Chuma Njomeni (WSU)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Identify the stakeholders affected by the ethical dilemmas identified above.
- Apply an ethics-based reasoning process that is informed by ethical frameworks, professional codes of conduct and ethical theories to solve the ethical dilemmas that have been identified.
- Analyse all courses of action and the applicable consequences (such as disciplinary action) of each for unethical behaviour.

Level of knowledge

Basic to intermediate



Case study

This case study focuses on ethics in a corporate in the manufacturing industry. The ethical dilemma arises when profit objectives conflict with public health.

As a seasoned CA(SA)¹ you occupy the executive position of Managing Director (MD) at Dakisa Ltd, a local manufacturing entity that is listed on the Johannesburg Stock Exchange (JSE). Dakisa Ltd is a reputable manufacturer of car tyres, with over 20 years' experience. It is the largest employer of both skilled and unskilled workers in the local community. The entity is also known for its charitable work including active involvement in community development projects through sponsorships and skills development.

Dakisa Ltd experienced declining revenues and increasing manufacturing costs over the last two years, owing to its technologically outdated plant and manufacturing processes. Through various presentations and discussions at board meetings, it became clear that Dakisa Ltd needed to implement techno-smart machinery in its manufacturing processes. The board decided to send Mr Sisa Diale CA(SA), the Chief Financial Officer (CFO) at Dakisa Ltd, and also a very close friend of yours, on an expedition overseas. His instructions were to discover, identify, and learn about technology-smart manufacturing processes from similar companies overseas, which he would then present to the board for consideration. Although the machinery is described as 'techno-smart', it came to light that the use thereof would significantly increase the company's carbon footprint. In addition, the additional waste materials generated during the manufacturing process are usually dumped in a nearby dam.

Upon his return from his overseas trip, Sisa had a brainstorming session with you about the different investment options available to Dakisa Ltd to improve its manufacturing plant. After your discussion, you expressed concerns about the negative impact that some of the techno-smart machinery may have on the environment, despite their being efficient and popular. A board meeting was scheduled to deliberate on the different investment projects to be presented by Sisa. Leading up to the board meeting, Sisa reached out to you and other board members to lobby for support so that this agenda item would be 'approved without delays and questioning'.

At the board meeting, Sisa presented his project recommendations:

'The company is currently experiencing a declining profitability position – and this calls for desperate measures. While I know the proposed investment in the techno-smart machinery has a negative environmental impact, the profitability of the business is much more important than any

¹ CA(SA) is the designation of a professional accountant who is a member of SAICA. A professional accountant is defined by the International Federation of Accountants (IFAC) in line with the IFAC code of ethics for professional accountants. SAICA is a professional member body of IFAC.

negative backlash we may experience from the “greenies”. Besides, we are the largest employer in this city – and this large investment will lead to more jobs being created.’

Following Sisa's address, the board approved the investment project that was presented. At the meeting you voted against the approval of the proposed investment project, but you were outvoted by the majority. A press statement was prepared by Ms Abba Duram, Executive Director: Innovation & Marketing, who worked closely with Sisa. You were excluded from the marketing campaign as your views were seen as ‘being too conservative’. After the board meeting, Sisa noted the support he enjoyed from most of the board members as he had set his hopes on this game-changer investment for his ‘MD’ position aspirations.

The press statement was released, and the following reactions were received from stakeholders in the city.

‘Dakisa's large scale investment is going to be a game-changer for the local economy and the massive jobs that are to be created will help uplift the locals’ – CEO of a local Business Chamber

‘After a stubborn unemployment rate, this investment will bring much relief to the unemployed locals, especially the youth’ – An economist from a local business school

‘As small businesses, we are also going to benefit from the Dakisa investment – we see this as a great win for many of us as small businesses as we supply some of the raw materials to Dakisa Ltd’ – A local businessman

‘As environmentalists in this town, we are going to make things difficult for Dakisa Ltd and its board as we are not in favour of further pollution of the environment. It is enough that Dakisa Ltd's management team is known to be friends with powerful politicians in the province and are therefore never held accountable for the entity's current pollution levels. We have already met with a reputable law firm that will help us to block this investment completely, due to significant risk posed by the so-called techno-smart machinery on the environment. We are not opposed to Dakisa Ltd's investment, but we call upon them to invest responsibly. Make profits but in a responsible manner’ – Care for Our Planet Environmentalists NPC Chairman

When you watched the 8pm news bulletin, you were convinced that resigning as a board member at Dakisa Ltd was the only option you had, especially because the environmentalist group has a reputation for legally dragging company boards to court for contravening environmental laws. The following day, you emailed the board chairperson, Sisa's wife, Mrs Leraz Lebombo-Diale, indicating your intention to resign effective immediately, owing to lack of trust, disunity among the executive board members and the negative publicity from the

environmental pollution that would result from the anticipated investment. Mrs Lebombo-Diale asked that you 'stick around until the backlash from the "greenies" is over, as you are better skilled in managing crisis situations'.



Ethical dilemma

What personal, business and professional ethical dilemmas are evident from the scenario presented?

Personal ethical dilemmas?

Personal ethics are one's own values or normative standards that determine what one considers good, right and just behaviour towards others.

- *Your position as Managing Director and a professional accountant (CA(SA))*

Your personal ethical predisposition (ethical standing) plays a key role in how you approach this ethical dilemma. The fact that you feel uncomfortable with the proposed investment indicates that your ethical values are in conflict with the views of the CFO and the rest of the board. The fact that you have expressed the desire to resign from the board (and as Managing Director) indicates that you ethically disagree with the manner in which the board made its decision. While your ethical dilemma is your primary concern, you are most likely concerned about the legal implications of being party to the actions of the board while also being concerned about your professional reputation as a professional accountant.

As Managing Director, you are compensated by Dakisa Ltd as an employee. This means that you have a personal interest in the matter, which leads to a personal ethical dilemma. You are earning a salary from Dakisa Ltd and your position as Managing Director is good for your career growth. The investment will be good for the company, should it yield positive returns, and this would also strengthen your position in the industry. However, you are concerned about the potential environmental pollution, reputational damage and possible legal implications for the board and the company as a result of the investment in the new techno-smart machinery. While the investment would yield positive returns, thereby adding value to the shareholders, it could have a long-term negative impact on the company.

How could you resolve this personal ethical dilemma? Some theories of ethics may provide a structure for your thought process.

- **Virtue ethics:** Virtue ethics refers to the moral character of a person. Virtue ethics is concerned with how you are inclined to make ethical decisions, drawing from how you grew up and how the environment around you has influenced your ethical conviction.
- **Deontological ethics:** A universal 'rule' applies here, as the focus is not on the consequences of one's actions or the harm caused to one's individual interests. Instead, the focus is on motives and the willingness of individuals to act for the good of others even though that act might result in personal loss.
- **Utilitarianism:** Utilitarianism requires you to consider what the consequences of the decision are in terms of what is best for society (for example, the majority of those affected). Surely the company's actions (investment in environmentally unfriendly assets) would negatively affect the majority of stakeholders, as environmental pollution is bad for public health and the natural environment, even as they create many jobs for the benefit of the local community, especially the youth. How do we balance what is good for the company and the board (increased profitability or greater returns) with what is good for the public or local community (public health risk, job creation)?
- *Sisa Diale, executive director and a professional accountant (CA(SA))*

Sisa's focus has primarily been on the good returns that are expected to flow from the large-scale investment by Dakisa Ltd. He considers the environmental pollution that the new machinery is likely to cause less significant, hence the risk to public health. He seems to have a personal interest in that he has set his eyes on the Managing Director position.

Business ethical dilemmas?

Business ethics deal with what is morally right or wrong in the context of the business activities of an organisation. The fundamental question is, are the business actions right or wrong with respect to society and the natural environment on which it depends?

Dakisa Ltd's investment in the techno-smart machinery is likely to have negative consequences for the environment, and therefore poses a high risk to the health of the local community. Businesses are considered part of the communities in which they exist: their economic decisions, made by those responsible for governance, must always consider the impact on the environment and community (people).

In making its investment, Dakisa Ltd should consider whether the investment is still appropriate if there is a public health risk. Does the job creation that arises from the investment justify the consequences for public health? What about the relationship of Dakisa Ltd with other stakeholders, like the environmentalists ('greenies')? Do the legal actions of these environmentalists not pose a serious reputational risk to Dakisa Ltd? What do Dakisa Ltd's own internal policies say about the impact of the company's investments on the environment? What about the internal ethics policy and code of conduct? Was compliance with South African laws and regulations considered? It is important to note that this was only one investment option and decision. Did the entity (Dakisa) consider at all whether there might be investment alternatives that might be environmentally friendly, create jobs and generate positive returns?

Three different approaches or ethical decision-making processes could be followed when deciding on a course of action. These approaches are based on principles, virtues, and consequences respectively.

- A **principles-based** approach would direct the company to make ethical decisions based on universally accepted rules that always apply. Considering South African environmental laws and King IV that the company, as a JSE-listed company, must comply with, the ethical course of action would be not to invest in the project, as the project would go against universally accepted rules that always apply.
- A **virtues-based** approach would direct the company to make ethical decisions based on the axiom 'do unto others what you would have them do unto you' and considering these two key questions: what would others think? and what if my actions showed up as the lead story in the news? Company decisions are made by the board, and since Sisa does not want to be questioned by the board he would presumably also not like to be scrutinised by the media on the details relating to the investment decision, as he would not like his actions showing up as the lead story in the news. It appears that anyone who is important to you (and the board members), and whose opinion you value, would not approve of this decision and the decision would not be doing to others what they would like done to themselves.
- A **consequences-based** approach would direct the company to make ethical decisions based on what produces the greatest good for the greatest number of people. Considering that the project will create employment, at first glance it would appear that taking on the project would benefit the greatest number of people, namely the shareholders, management, employees and the unemployed

youth in the community. Only the environmentalist would not benefit. However, as the environment would be negatively affected, it is important to consider that the impact of the project might have long-term effects on profitability. The short-term gain might breed long-term suffering. The greatest number of people benefiting in the short term might suffer in the long term. The conclusion that the greatest number of people would benefit might therefore not be true.

In conclusion, considering the outcome of each of the ethical decision-making approaches, it appears that the decision to go ahead with the investment is not the right, just or ethical course of action.

Professional ethical dilemmas?

You, the Managing Director, and Sisa Diale, the CFO, are both professional accountants and members of a professional accountancy body (SAICA). You are therefore bound by the rules and regulations of the IFAC code of ethics for professional accountants. You should therefore each ask, as professional accountants, do your actions conflict with the expected standard of conduct specified for professional accountants?



Ethical principles

1. What ethical principles would you and Sisa Diale, as professional accountants, need to take into consideration?
2. What should the board be considering with regard to its actions?

As professional accountants, both you and Sisa Diale need to consider your decisions and actions, whether they uphold or contravene the code of ethics related to the accountancy profession? For example, could your actions bring the accountancy profession into disrepute?

1. Ethical values and principles that need to be taken into consideration

Yourself

As a professional accountant, you are expected to comply with the fundamental principles in the IFAC code of ethics for professional accountants. The fundamental principles that you would need to consider are the following.

- *Integrity*

Integrity entails that professional accountants not knowingly associate with reports, communications, or any information they believe contains a materially false or misleading statement, contains a statement or information provided recklessly or omits or obscures required information where such omission or obscurity would be misleading. A professional accountant who becomes aware of such an association must take steps to disassociate from the information, report or statement concerned. The decision to resign may be regarded as a step to disassociate from information presented by Sisa Diale in the board meeting and from all information subsequently shared with the public about the investment project. The question is, would sticking around until you've dealt with the crisis and resigning after the crisis has calmed down be considered disassociating from the information?

There also seems to be a familiarity threat to integrity. You are a close friend of Sisa and his wife. Will you prove your loyalty and friendship, or are you going to uphold the code of professional conduct and resign with immediate effect?

Another consideration is, if you do decide to resign, whether you have done enough to prevent the unethical action. Could you have done something more, such as coming up with an alternative? Can you afford to resign? Are other job opportunities available for you?

- *Professional behaviour*

Professional behaviour requires that a professional accountant comply with laws and regulations and avoid any conduct that he or she knows or should know might discredit the profession. A professional accountant shall not knowingly engage in any business, occupation or activity that impairs or might impair the integrity, objectivity, or good reputation of the profession.

If you decide not to resign but to deal with the crisis, you face the risk that the situation may become scandalous. Should you decide to resign after the crisis, would your decision to stick around not bring the profession into disrepute seeing as the community could argue that you had been in favour of the investment?

Sisa Diale

- *Integrity*

Integrity requires that a professional accountant be straightforward and honest in all professional and business relationships. Sisa is not being straightforward and honest in this particular

instance. He clearly indicated he did not want to be questioned on the agenda item. He appears to be hiding information from board members that might lead to the investment decision's not being approved. This is a contravention of the code of professional conduct.

- *Objectivity*

Objectivity requires a professional accountant not to compromise professional or business judgement because of bias, conflict of interest or the undue influence of others. Sisa seems to have let his MD position aspiration compromise his professional and business judgement, which is a conflict of interest. He seems to be prepared to do anything for this position, including pushing for this investment decision without providing any alternative options.

- *Professional behaviour*

In the rush to improve profits, Sisa and the company might contravene South African environmental laws. He did his research overseas and would like to implement the proposed project immediately, with no evidence of having performed any South African investigations and compliance checks. His alleged close connections with politicians may, if scrutinised closely, result in further investigations, given how rife corruption is in South Africa. The failure of a project headed by a CA(SA) to perform compliance checks with respect to South African environmental laws may, together with the alleged close connections with powerful politicians, bring the accountancy profession into disrepute.

2. Board considerations

Dakisa Ltd is listed on the JSE and is therefore required to comply with King IV principles and practices. As a member of the board of directors, Sisa would be expected to comply with the principle of ethical leadership, as recommended by Principle 1 of King IV, and with the Companies Act, 2008, particularly section 76 of the Act.

King IV

Principle 1 recommends that the board of directors collectively and individually display the following characteristics.

- *Integrity*

Integrity requires that Sisa possess the quality of being honest and have strong moral principles. He is expected to act in good faith and in the best interests of the organisation and to avoid conflicts of interest. His actions suggest that he is putting his MD aspirations ahead of his responsibilities as a professional accountant, and of

the requirement that Dakisa Limited be a responsible corporate citizen, without thinking about the reputational damage the company may suffer.

- *Responsibility*

The board of directors should take responsibility for anticipating and preventing the negative outcome of the organisation's activities and output on not only its financial position but also the environment and society at large (such as the negative impact of Dakisa's investment on the health of the larger population in the area in which Dakisa is based).

- *Fairness*

The board of directors should adopt a stakeholder-inclusive approach in the execution of governance responsibilities. They are not considering all stakeholders, the impact on the environment or health factors.

Principle 3 recommends that the board of directors ensure that the organisation is and is seen to be a responsible corporate citizen. The governing body must oversee and monitor, on an ongoing basis, how the consequences of the organisation's activities and outputs affect its status as a responsible corporate citizen. This monitoring includes monitoring environmental impact (pollution, waste disposal and protection of biodiversity). In recommending and approving the investment decision, the board (including Sisa) did not consider the effect of these activities and outputs on the recommended best practice of being a responsible corporate citizen.

Principle 16 states that the governing body should adopt a stakeholder-inclusive approach that balances the needs, interests, and expectations of material stakeholders in the organisation over time. Unfortunately, the board at Dakisa has rather a dismissive attitude towards the expectations of the community and environmentalists, who are important stakeholders affected by Dakisa's actions. The community's health is at risk because of these planned investments, which indicates that the health needs of the community have not been considered.

Companies Act, 2008

Section 76(3) of the Companies Act, 2008 prescribes that

'a director of a company, when acting in that capacity, must exercise the powers and perform the functions of director –

- (a) in good faith and for a proper purpose;
- (b) in the best interests of the company; and

- (c) with the degree of care, skill and diligence that may reasonably be expected of a person –
- (i) carrying out the same functions in relation to the company as those carried out by that director; and
 - (ii) having the general knowledge, skill and experience of that director.'

Sisa Diale is not complying with the provisions of section 76 in that he is not acting in good faith or in the best interest of the company. Although his actions may have short-term gains (improved profitability), they are likely to cause the company long-term struggles. It takes one decision to ruin a reputation built over years. The short-term gains may work in Sisa's favour, securing the company improved profitability and himself the MD position. Whether the increased profitability is sustainable does not seem to concern Sisa. It seems that he has not considered providing the board with any other investment opportunity. One could ask what Sisa would do should the investment fail.

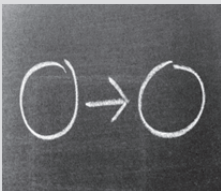


Stakeholders involved

Who are the stakeholders affected by or able to influence your decision?

- Shareholders: Reputational damage to the company could result in a decline in share price. Should the company lose the legal cases brought against it, it would suffer financial losses. These losses could in turn lead to loss of future dividends as the company's liquidity would be affected.
- Employees: Jobs gained now may be temporary, but the long-term effects of the company and board's actions may lead to future job losses as a result of the company's poor liquidity situation and declining share price.
- Community: The health of the community would be put at risk.
- South African environmental law and regulations: The natural environment and the environmentalists defending it would be badly affected by the actions of the company and its board.
- Fellow directors: Directors who do not want to be party to the actions of the rest of the board will be negatively affected by the actions of other directors (potentially suffering reputational damage affecting their career prospects etc).

- Care for Our Planet Environmentalists NPC: COPE's legal action against Dakisa Ltd would most likely damage any working relationship they may have had with the company, which would affect any future relations.
- Professional bodies: The professional bodies, like SAICA, with whom some of the board members are registered may have their reputation damaged as a result of their members' actions.
- The media: Media houses would be publishing news articles relating to the environmental and investment saga involving Dakisa Ltd.



Consequence management

What are the possible consequences for Dakisa Ltd and its stakeholders in the scenario if

1. you (as the Managing Director) do not resign but continue in your position?
2. Sisa Diale and the board continue with the current plans?

1. If you were to keep your position as Managing Director

Your continued association with the board and Dakisa Ltd could cause damage to your career, should the board be unable to defend itself successfully against the legal action promised by environmentalists, especially as the environmentalist group 'has a reputation for legally dragging company boards to court'.

The environmentalists' legal action has the potential to bring the accountancy profession into disrepute, considering that two of the profession's members are embroiled in a scandalous situation like the present one. You could be investigated by SAICA and may have penalties imposed on you as a member of SAICA. These penalties could include losing your membership of SAICA and the right to use the designation CA(SA).

The key question is whether it is likely that you would continue in your position as MD, as it seems that you have lost the support of the majority of board members at Dakisa Ltd. You would most likely lose your position as Managing Director, with Sisa potentially taking over from you.

You also need to consider whether you could continue as MD and defend the board's decision regarding the investment. If you were to stay on, you would need to work with the board and support and

even execute the decision (although you did not agree with it and it is against your personal value system). Would you be able to do that?

2. If Sisa Diale and the board continue with the current plans

Should it be successfully proven that the long-term damage of the planned investment would outweigh the short-term benefits, the board (including Sisa) would most likely lose the court case with the environmentalists. Were the board indeed to lose the court case, each of the board members who were part of the investment decision would most likely be held personally liable in terms of the Companies Act, 71 of 2008 (section 77 read with section 76) for the damages sustained by the entity. Depending on the severity of the matter, the environmentalist grouping may apply to have the board members concerned classified as delinquent and therefore disqualified from being directors, thus damaging their career prospects.



Additional information

What additional information from the scenario may be relevant to the investment decision?

As the company is listed on the Johannesburg Stock Exchange (JSE) the JSE listing requirements may be relevant to the decision. There is a strong drive to ensure that listed entities adhere to the principles of responsible investments and to meet the sustainability development goals (SDGs).²

The chairperson of the board of Dakisa Ltd, Mrs Leraz Lebombo-Diale, is the wife of the CFO (Sisa Diale). Their involvement in the decision to invest in the new techno-smart machinery, and her suggestion that you continue as MD, may point to a conflict of interest for both the chairperson and the CFO. There should be evidence in the governance documents (board minutes) of their declaration that they are 'related parties'. Furthermore, their relationship may affect their independence in this and other decisions of the board, including setting you up to take the blame as the MD responsible for the execution of the investment decision and any subsequent negative impact thereof.

2 SDGs are the Sustainable Development Goals set up in 2015 by the United Nations General Assembly that are to be achieved by the year 2030.

The current decision of the board, based on the presentation by Sisa Diale, assumes that the investment in techno-smart machinery will create more employment opportunities. However, this assumption has not been investigated or proven. Usually, new machinery based on improved technology is more effective and efficient and requires less human intervention. The current workers may, in fact, be replaced by the new techno-smart machinery in the future.



Reflection and 'food for thought'

Have you considered or given thought to ...?

1. Given that Dakisa Ltd has already published the planned investment and made job promises to the local community and given the backlash and possible legal action, is a decision to withdraw or not withdraw the project now a new ethical dilemma? What would community members who are excited about new job prospects think (and how would they react) if Dakisa Ltd were to decide against pursuing a project that has already been announced? What would be the impact of that decision on a community that is hungry for job opportunities?
2. In the light of the backlash that is expected to ensue as a result of the investment, how do the benefits of the project compare to the costs? Consider the legal costs and lost sales as a result of the negative media reports. Also consider the costs the company has incurred in building its brand, including the company's charitable work and community development costs, and the cost it would have to incur to market and rebuild its brand should it be impaired as a result of this investment decision.
3. Disregarding both the principles of the professional code of conduct that you must comply with as a professional accountant and business ethics, including King IV and the Companies Act requirements, would you personally argue for or against the investment decision?
4. Think of how you have handled ethical dilemmas in your life and of your personal stance on the investment decision above. Which of the three ethical theories discussed in this chapter do you believe you subscribe to?

5. Have you identified any clashes between your personal ethics, guided by the ethical theory you subscribe to, and the professional code of conduct you must abide by as a professional accountant?
6. Have you identified any clashes between your personal ethics, guided by the ethical theory you subscribe to, and business ethics, as discussed in this chapter, including the King IV and Companies Act requirements?
7. Do you believe companies should consider environmental damage if they can provide proof that a project will benefit society in general, e.g. through employment opportunities?

**Ancillary material**

The following article relates to environmental impact assessment applications in South Africa.

<https://allafrica.com/stories/202106250407.html>

Chapter 11

PowerToUs in governance

Mojalefa 'Jeff' Mosala (UFS)
Mandie Wentzel (SAICA)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected in resolving the ethical dilemmas?

Learning outcomes

- Identify the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Analyse the ethical dilemmas in the scenario and provide possible solutions by considering various ethical theories.
- Understand ethics theories and apply relevant theories when solving business ethical dilemmas or making business ethical decisions.
- Identify the ethical values contradicted by the ethical dilemmas.
- Identify the stakeholders affected by the ethical dilemmas.
- Evaluate the impact of the business ethical dilemmas on the various stakeholders of the company.
- Apply the King IV good corporate governance principles to an ethical dilemma and analyse the effect of alternative actions on various stakeholders.
- Evaluate the impact of relevant business ethics principles on the role of leadership in setting strategy and managing risk.
- Analyse all courses of action and the consequences of each pertaining to the leader's responsibility for considering environmental sustainability in the context of community needs and socio-economic challenges.
- Evaluate the significance of ethics within the business environment, and discuss the ways in which an organisation manages ethics as part of its ethical organisational culture.

Level of knowledge

Intermediate to advanced



Case study

This case study is focused on ethics in the context of strategy and risk and the role of leadership. The overarching theme is business ethics. Two sub-themes emerge: business ethics considerations in the drafting of a business strategy and the leader's responsibility for considering environmental sustainability in the context of community needs and socio-economic challenges. The ethical dilemma arises in the backdrop of the energy industry/sector.

This case study consists of the following parts:

- Part 1: Governance structure and your appointment as CEO
- Part 2: Industry information you acquired before accepting the position of CEO
- Part 3: Discoveries about PowerToUs after you accepted the position of CEO.

Part 1: Governance structure

PowerToUs Ltd is an electricity utility company that was established in the 1900s and is owned by the Government of the Republic of South Africa. It supplies electricity to more than 50 million South Africans. As a state-owned entity (SOE), it has only one shareholder, namely the Department of Public Enterprises. For the past few years, PowerToUs Ltd has had its fair share of challenges in the boardroom. Many of its board members resigned without finishing their terms of appointment.

You were recently appointed Chief Executive Officer (CEO) of PowerToUs Ltd. Your appointment has raised questions and concerns, including comments that you are young, with limited experience for such a senior position. Furthermore, you are not an engineer and have limited experience of the generation and distribution of electricity. Those supporting your appointment point out that other, 'experienced' executives who were approached for this position were not interested in the job. You decided to consider this appointment because you recently resigned from your previous job after it transpired that you had failed to meet the performance outcomes set.

The nomination committee, responsible for the identification and appointment of board members, has hinted that it would be holding a few 'closed-door meetings' (in other words, closed to the public) to fill the current vacancies on the company's board for three independent non-executive directors. The committee aims to appoint suitably qualified and competent board members with the right financial and technical skills. It particularly hopes to appoint individuals the President knows and is comfortable with, even if they do not have the appropriate knowledge of the energy sector or engineering or corporate governance experience. The approach is that 'trust goes a long way'.

As a state-owned entity, PowerToUs must implement government policies and strategies. The shareholders' Strategic Intent Statement (SIS) for the year, outlining the government's short-term to medium-term and long-term objectives for PowerToUs, was recently adopted by the board. PowerToUs is a critical and strategic contributor to the South African government's economic growth and prosperity goals.

The current board members welcomed the government's update about the board's being 'strengthened' when your appointment was announced, which was seen as a positive move.

Electricity prices are determined by the National Energy Regulator of South Africa (NERSA) using a Multi-Year Price Determination that usually sets prices for five years. NERSA is an independent regulatory body set up by an Act of Parliament.

PowerToUs is part of the regulated electricity industry and does not operate under market conditions. It is therefore not permitted to set its own tariffs and must apply to NERSA for the revenue it needs to run the organisation sustainably. NERSA assesses the application in terms of the company's requirements, the requirements of customers and the economy.

Part 2: Industry information

Before you accepted the appointment as CEO of PowerToUs, you researched the energy sector extensively and found the following interesting information and results.

Energy industry culture

Africa is heavily affected by economic crime in the energy sector. A recent survey performed by a leading research company shows that large organisations are more susceptible to procurement and bribery corruption. The results show that in 2020 57% of companies surveyed indicated having experienced economic crime incidents, compared to 50% in 2019. Data showed that 43% of employees would engage in

fraudulent activities to meet financial targets, and 35% would engage in fraudulent activities to help the business survive a downturn. The biggest challenge identified was non-compliance with regulatory frameworks. The survey found that 16% of organisations in the energy sector indicated that they had encountered bribery and corruption attempts. It found that corruption was regarded as the second-biggest challenge, noticing a 'disconnect' between management's view and the reality in these organisations on the continent. A big challenge remains the strategic positioning of the energy sector in terms of political power.

Extract from a recent report by a top research company

The world is moving towards a low-carbon economy, and investments in the energy sector based on oil, gas and fossil fuels will lose their value. Global climate policies force countries to reduce their use of fossil fuels, oil and gas. However, even without additional climate policies, competition from renewable energy and changing demand alone could significantly impair oil and gas assets. Many economies are, however, still driven by high-carbon plants used for electricity generation, and executives are often incentivised to approve projects incompatible with a low-carbon economy. Many companies in the energy sector have no plan to become low-carbon businesses or even to adopt realistic emissions targets.

Part 3: Discoveries about PowerToUs

After accepting the position of CEO of PowerToUs, you met with the key personnel in the business for an induction session. During this session, you received some critical documents including reports concerning the company.

You also visited the company's website and read the most recently published financial statements and integrated report of PowerToUs. You read this information on the website:

Vision and culture of PowerToUs

PowerToUs has published its mandate on its website as follows: 'To contribute to the economy and communities that we function in, by providing electricity through sustainable and efficient practices'. While its vision reads: 'Shaping a better tomorrow through sustainable power'. The values of PowerToUs listed include 'zero harm, innovation, and integrity', amongst others.

Since your appointment as the new CEO, you have been extremely busy attending meetings and obtaining information from the different divisions of PowerToUs. One day, when reading your emails, you

noticed this email that was sent to you by the Chief Financial Officer (CFO) of PowerToUs, Ms Venter:

From: Ms Venter <mventer@powertous.gov>

To: CEO

Subject: Welcome note to PowerToUs

I am glad the government will be going on with this board appointment process the way they did. Loyalty is critical in this company if you are to survive. Proper and private consultations will help ensure no media pressure and that the right people are chosen and begin rebuilding public trust in the organisation.

Nevertheless, I think we still have a significant problem with the governance structure. For years, we have been unsure whether the board is accountable or the Department of Mineral Resources and Energy, Department of Public Enterprises, National Treasury, or the Deputy President. All these stakeholders are related and demand accountability from us.

Welcome; I cannot wait to start working with you!

Regards

Venter

One of the key performance outcomes included in your employment contract is that you develop a business strategy for PowerToUs for the next five years. This includes making some tough decisions regarding the way forward for the troubled utility company. The company needs to develop an influential strategic position to address the current operational challenges and return to being profitable.

You met with the Chief Operating Officer (COO) and asked him to send you some information regarding the operations and the pertinent challenges. The COO sent you the following email briefing you on some key issues.

From: Mr John COO <coo@powertous.gov>

To: CEO

Subject: Strategic considerations

I can confirm that the power utility has less than ten (10) days of coal supply available at most (at least 9) of its power stations in Mpumalanga. Depleted coal stockpiles will result in coal being purchased at premium prices, resulting in PowerToUs having to request another electricity price increase.

We faced severe power outages in the recent past due to these low stockpiles, high rainfalls that culminated in unusable wet coal, unreliable old power stations, and unfinished projects to expand. I am deeply concerned that these issues will severely limit us meeting the current demand for electricity and that load shedding will become inevitable.

continued

This problem is not new, and criticism is mounting that we are silent on our mitigation strategies. As the new CEO, I urge you to follow through with the mandate and to come up with a new strategy soon. I strongly suggest that this strategy include a new coal procurement strategy (to prevent emergency coal purchases), make a decision regarding our extended reliability on old power stations, and consider using independent power producers for sustained supply of electricity to prevent forced load shedding.

Lastly, kindly find attached three (3) attachments, which contain some issues that you need to consider and make decisions on and present to the board.

I hope you find the above in order. Welcome to the grind! Looking forward to this new journey with you.

Kind regards,

Mr John

Chief Operations Officer (PowerToUs)

Attachment 1: Effect of load shedding

The industries that are hit hardest by load shedding are the manufacturing and mining industries of South Africa. Mining remains the most significant part of the South African economy and the largest single contributor to the tax fiscus. Load shedding in mining operations and manufacturing plants (which are energy-intensive) has led to a substantial depreciation of the rand as well as a stalling of economic growth and downward revisions in growth forecasts. Load shedding contributed to the downgrading of the country's credit rating, which resulted in a decline in foreign investments in South Africa. In 2015, experts at the 'Investing in African Mining Indaba' held in Cape Town urged that mining operations within the country create solar power generation capacity. Other industries are similarly negatively impacted. Load shedding has resulted in offices that are reliant on internet services and technology having to rely on alternative energy sources. Hospitals struggle to provide essential services, and many government administration services such as home affairs are disrupted when they have to close because of load shedding. Experts have estimated the cost of controlled blackouts in South Africa as follows:

- Stage 1 load shedding resulting in 10 hours of blackouts per day for 20 days a month results in losses of R20 billion per month.
- Using the same time parameters, Stage 2 load shedding costs the economy R40 billion per month.
- Stage 3 is estimated to cost the South African economy R80 billion per month.

Many businesses are converting to alternative energy sources, such as generators, which is very costly and not sustainable. This has further implications as generators often make use of diesel, which has further consequences for the environment.

continued

Attachment 2: Coal vs green energy

Two of our best engineers have different views about the future of electricity generation. Michael Emissions (Engineer 1) believes coal is still the best option for South Africa at this point, as a developing country. This is an extract of his recent presentation:

'Today, the South African economy is two-thirds more extensive than in 1994 when Nelson Mandela took office as South Africa's first democratically elected president.

This growth demands more electricity for businesses and millions of previously marginalised South Africans now having access to the grid. Unfortunately, as in other major emerging economies, supply has not kept pace. Reserve margins are too tight for an energy-intensive economy such as South Africa's, whose mines and factories rely on steady supplies of competitively priced electricity.

South Africa has weathered the global downturn better than many more prosperous countries, but most people remain poor, and the unemployment rate remains staggeringly high. To improve the growth rates, we need to create jobs. We have no choice but to build new generating capacity relying on what, for now, remains our most abundant and affordable energy source: COAL.

Modern coal plants use some of the most efficient, lowest-emission coal-fired technology available. Coal remains the most affordable and abundant resource we have in this country. If there were any other way to meet our electricity needs as quickly or as affordably as our present circumstances demand, or on the required scale, we would prefer technologies like wind, solar, hydropower or nuclear that leave little to no carbon footprint.

However, we do not have the luxury to meet our obligations to our people and our broader region, whose economic prospects are closely tied to our own. We generate more than 60% of all electricity produced in sub-Saharan Africa. Our neighbours Botswana, Lesotho, Namibia, Swaziland and Zimbabwe all rely on us for their electricity. They face the same growth constraints that we do. Their factories and businesses, hospitals and schools, and their ability to provide essential services to all depend on our coal-generated electricity at the capacity needed.

I understand the requirements of the international community on the environment (a community made up primarily of developed countries). However, developing countries like ours need to cater for urgent socio-economic issues while simultaneously trying to get themselves on a sustainable growth track and generate the resources they need to play their part in preserving our planet. That is not easy.'

continued

The second engineer, Thomas Green (Engineer 2), believes otherwise. He argues that renewable energy is becoming more affordable and easily accessible. He presented the following argument, which is an extract from an article published by the Union of Concerned Scientists (available here: <https://www.ucsusa.org/resources/benefits-renewable-energy-use>):

'Human activity is overloading our atmosphere with carbon dioxide and other global warming emissions. The coal emissions act like a blanket, trapping heat. The result is a web of significant and harmful impacts, from more potent, more frequent storms, to drought, sea-level rise, and extinction.

Research found that about 29% of global warming emissions come from the energy sector that uses fossil fuels like coal and natural gas. In contrast, most renewable energy sources produce little to no global warming emissions. Even when including "life cycle" emissions of clean energy (that is, the emissions from each stage of a technology's life cycle – manufacturing, installation, operation, decommissioning), the global warming emissions associated with renewable energy are minimal.

The air and water pollution emitted by coal and natural gas plants are linked with breathing problems, neurological damage, heart attacks, cancer, premature death, and a host of other serious issues. Pollution affects everyone: one Harvard University study estimated the life cycle costs and public health effects of coal to be an estimated \$74.6 billion every year.

Compared with fossil fuel technologies, which are typically mechanised and capital-intensive, the renewable energy industry is more labour-intensive. Solar panels need to be installed by humans; wind farms need technicians for maintenance.

This means that, on average, more jobs are created for each unit of electricity generated from renewable sources than from fossil fuels.

Renewable energy already supports thousands of jobs in the United States. In 2016, the wind energy industry directly employed over 100,000 full-time-equivalent employees in various capacities, in manufacturing, project development, construction and turbine installation, operations and maintenance, transportation and logistics, and financial, legal, and consulting services. More than 500 factories in the United States manufacture parts for wind turbines, and wind power project installations in 2016 alone represented \$13 billion in investments.

Renewable energy is starting to provide affordable electricity and can help stabilise energy prices in the future. Although currently these prices are not yet lower than those offered by coal.

Although renewable facilities require massive upfront investments to build, they can operate at a meagre cost (for most clean energy technologies, the "fuel" is free). As a result, renewable energy prices can be very stable over time.

continued

For example, the average price to install solar dropped more than 70% between 2010 and 2017. The cost of generating electricity from wind dropped 66% between 2009 and 2016. Costs will likely decline even further as markets mature and companies increasingly take advantage of economies of scale.'

Attachment 3: Old power stations

PowerToUs has six power stations that reached the end of their lifespan eight years ago. Most of them are located in Mpumalanga and Limpopo. A power station usually has an economic lifespan of 60 years until it needs to be retired. The original lifespan of 60 years can be extended for a maximum of 5 years without massive capital expenditure; however, any extension beyond that period is a risk and would require a lot more spending on maintenance. This is like keeping an old car that would require regular check-ups and parts replacements, and you can no longer get the most out of its engine, so the output is reduced significantly.

These old power stations contribute significantly to the current unreliable energy grid, resulting in breakages that are not planned and that happen at the least expected times. Usually, in these circumstances, the best thing is to retire the power station. However, PowerToUs faces the following considerations, which are also why the previous boss (despite the criticism) was reluctant to shut them down:

- he power stations employ a total of more than 15 000 employees.
- The employees have relocated and established their families in surrounding towns where the power stations are located.
- The local economy has developed around the power stations for the past 60 years.
- Discussions of retiring power stations have failed in the past. There is resistance from the labour unions, who have threatened to down tools at all other power stations. This could lead to a total power shutdown, and it would be seven days until the power generation could be back again.



Task 1: For consideration

In line with the King IV report, ethical leaders should anticipate and prevent or otherwise ameliorate the negative consequences of the organisation's activities and outputs for the economy, society and the environment and the capitals that the organisation uses and affects.

In this case study, there are several activities and outputs that can negatively affect the economy, society and the environment at large. The activities and outputs discussed are, however, heavily debated by various stakeholders, as is apparent in the case study, and therefore several ethical dilemmas exist which need to be addressed.

Identify the relevant personal, business and/or professional ethical dilemmas apparent in the scenario (faced by the CEO and the company at large), specifically focusing on ethics in the context of strategy and risk and the role of leadership in the process.

Ethical dilemmas

Business ethics

Business ethics encompass a number of principles pertaining to the management of a business, including the principles of good corporate governance as set out in the King IV report and the setting of appropriate business policies and practices relating to heavily debated subjects like sustainability, insider trading, discrimination, and social responsibility.

In the present scenario, the possible decommissioning of the old plants because they have reached the end of their lifespan is the first ethical dilemma. The two conflicting goals are ensuring the welfare of employees and the surrounding communities and providing reliable energy to the public (i.e. no load-shedding due to maintenance etc). The case study states: 'However, developing countries like ours need to cater for urgent socio-economic issues while simultaneously trying to get themselves on a sustainable growth track and generate the resources they need to play their part in preserving our planet. That is not easy.'

The second ethical dilemma is the choice of energy production methods: green energy vs fossil fuels. Here we focus on the need for sustainable investment as prescribed by the King IV report.

Another ethical dilemma concerns the nomination committee's views on the selection of board members. The committee values loyalty and familiarity of the individual over technical skills and ability. The board has been unstable in the past and some resignations have caused risks for the entity. The appointment of an independent board with the appropriate level of skills is imperative for sound and effective corporate governance.

Personal ethics

Each of the various stakeholders will have a specific viewpoint driven by personal values. Conflict between personal and business values often causes ethical challenges or dilemmas. Let's use the dilemma of energy production methods (i.e. green energy vs fossil fuels). The short-term business decision might be based on the view that it is cheaper to keep on using fossil fuels, but a CEO who is passionate about green energy and passionate about sustainable energy sources will most probably advocate for green energy, which might require larger initial financial investments but will create a sustainable future. A CEO who grew up in a community whose survival depends on the continued use of fossil fuels (e.g. a mining community) may be more prone to accept a forecast showing the benefits of continued use of fossil fuels. Business values need to be clearly defined and articulated to ensure that individual staff members can align themselves with the values that will enhance alignment with overall goals.

Professional ethics

If the CEO is registered with a professional body underwriting a professional code, he or she will have to determine his or her responsibility to act in the public interest. It would be essential to determine what would constitute the public's interest in the present scenario, which encompasses several stakeholders.



Task 2: For consideration

- Discuss the need for corporate governance in PowerToUs and the role of leadership in ensuring adherence to the corporate governance principles prescribed by the King IV report.
- Looking at the recent appointments in the governance structure of PowerToUs, and at future planned appointments, what ethical concerns do you have? Refer to the King IV report in your discussion and consider who is accountable for the governance of a state-owned entity.
- What role does the governance team of PowerToUs play in the protection of the public's interest and what is your responsibility as CEO in respect of serving the public interest. What would public interest mean in this context?



Task 3: For consideration

Reflect on the dilemmas faced by the CEO regarding the decommissioning of the old plants. Would you say there is congruence or incongruence between the formal (what they say) and informal (what they do) aspects of the SOE's operations? Consider business ethics principles in your answer.

Congruence of management's actions

The decommissioning of the old plants is a loaded subject as two very strong values are affected. The first value is that the environment should be protected to ensure the sustainability of the planet for future generations. The second value concerns human rights in that the decommissioning of the plants will have a grave economic impact on people financially dependent on them.

The socio-economic reality in South Africa includes high levels of unemployment, widespread poverty and inequality. The socio-economic impact of decommissioning the old plants is not limited to the 15 000 employees by the plants and their families.

Keeping the old plants without making provision for more sustainable solutions will have far greater consequences. Two matters are of concern. The first is that the old plants run on fossil fuels, which are not good

for the environment. The second is that the old plants have reached the end of their life cycle and maintenance costs are extremely high. They are no longer reliable sources of energy, which results in load-shedding.

The case study states that: 'The world is moving towards a low-carbon economy, and investments in the energy sector based on oil, gas and fossil fuels will lose their value. Global climate policies force countries to reduce their use of fossil fuels, oil and gas. However, even without additional climate policies, competition from renewable energy and changing demand alone could significantly impair oil and gas assets.' This raises serious concerns about the value of the assets of the company, and management should take care not to allow the socio-economic impact on the community alone to drive its business decisions.

The entity supplies electricity to more than 50 million South Africans, and millions of previously marginalised South Africans are now on the grid. The financial survival of the company is therefore imperative: the impact of the financial failure of PowerToUs on the whole country would be devastating. The case study also states that load-shedding contributed to the downgrading of South Africa's credit rating, and investments in South Africa are dwindling. The case study provides shocking statistics of the financial impact of load-shedding on various industries. The socio-economic impact on South Africa of not upgrading the old plants to more sustainable options will be even greater than the initial decommissioning of the plants.

In terms of business ethics, the company has a responsibility to remain financially sustainable. The public interest in the financial stability and continuing of the business is clear as 50 million South Africans and their businesses are dependent on the company for their electricity. PowerToUs also generates more than 60% of all electricity produced in sub-Saharan Africa and delivers electricity to Botswana, Lesotho, Namibia, Swaziland and Zimbabwe.

The mandate of the company is 'To contribute to the economy and communities that we function in by providing electricity through sustainable and efficient practices'. To support the mandate, the vision reads: 'Shaping a better tomorrow through sustainable power'. Sustainability and efficiency are thus prioritised in PowerToUs's mandate but are clearly incongruent with the company's current practices, which implement unsustainable environmental practices.



Stakeholders involved

King IV, page 5, discusses the importance of stakeholder management and states: 'Understanding stakeholders' expectations will greatly assist the executive to develop a better strategy. Stakeholder relationships should be a recurring item on the governing body's agenda so that the board can be kept apprised of the current state of the relationships between the organisation and its stakeholders.' It is therefore critical that the CEO consider who the stakeholders of PowerToUs are.

Discuss who the stakeholders are and what their expectations could be in relation to the current challenges at PowerToUs, and explain how they would be affected by or could influence the entity's decisions and actions.

- Customers, i.e. users of electricity

Failure to supply reliable energy results in financial losses for businesses, and when industries suffer losses the economy at large suffers.

- The broader South African public

Principle 3 detailed in part 6.6 of the King IV report states the following: 'By virtue of their public-interest mandates, corporate citizenship is core to the purpose of an SOE. Also, taxpayers contribute to the funding of SOEs. SOEs are thus accountable to these citizens, and the state organs that are representative of these citizens, for discharging their responsibilities in accordance with their mandates.'

The investment decision relating to sustainable energy has a direct impact on the broader South African public as they are essentially providing the funding. The failure or success of the entity therefore directly affects the public.

- Investors in the South African economy

Failing to provide electricity and implementing load-shedding has a significant impact on the economic growth of the country. As presented in the statistics discussed in the case study, the economy suffers financial losses when industries are shut down during load-shedding. Electricity is a key requirement for successful operations in the country. The case study highlights that impairment of assets should be considered because investments in the energy sector

based on non-renewable energy will lose their value, with environmentalists increasing global pressure to move towards a low-carbon economy. Possible competition from the renewable-energy industry and changing demand should also be considered. Therefore international investors with global climate policies might refuse to invest in countries that do not support the climate protection mandates that they underwrite.

- All spheres of the South African government

As stated in the introduction of part 6.6 of the King IV report, SOEs 'create the foundation that underpins economic growth and transformation and thus have an important part in addressing the economic and social challenges facing the country'. The King IV report quotes the Presidential Review Committee on State-owned Enterprises in saying that 'the State must preside over viable, efficient, effective and competitive SOEs'. The financial stability and sustainability of the entity is therefore imperative to the successful implementation of government's strategies and targets.

- The board of directors

The governance structure of an SOE is extremely complex, as is clear from Principle 4 in part 6.6 of the King IV report, which states: 'The accounting authority [governing body] should appreciate that the SOE's core purpose, its risks and opportunities, strategy, business mode, performance and sustainable development are all inseparable elements for the value creation process'. The report then elaborates on the principle and specifically urges SOEs to 'balance their priorities so as to both fulfil their mandate and remain financially sustainable'. The board should therefore be careful not only to focus on the development goals set by government in terms of job creation etc but also to remain financially sustainable in the long run.

- Labour unions

Labour unions are tasked with protecting the rights of employees of the entity and representing them in negotiations concerning their welfare. The case study states that: 'Discussions of retiring power stations have failed in the past. There is resistance from the labour unions, who have threatened to down tools at all other power stations. This could lead to a total power shutdown, and it would be seven days until the power generation could be back again.' Labour unions are key stakeholders in the investment decision, as the shutdown will have a significant impact on a number of people from the surrounding communities.

- Employees of the entity

The financial stability of the SOE is critical to employees because it provides job security. A perception exists that SOEs will always be bailed out by the government, but the reality is that the government is reliant on public funding and when such funding dries up the SOE's continued operation is at stake. Delays in the payment of salaries owing to lack of funding would have a dire effect on employees.

- Environment and environmental activists

This case study illustrates the need to consider statistics and the sustainability realities of the environment, in conjunction with the intricacies of social justice in a political environment, and the need for all humans to be ethical. Although environmental activists tend to take a biased approach to the environment, statistics do show that the world at large needs to start making tough business decisions in order to ensure sustainable life on our planet. The current global debate makes it clear that the challenge faced by the management of PowerToUS regarding the use of green energy is deeply interwoven with political agendas and, of course, available finance sources. An ethical consideration here would be that alternative sources of energy are likely to be more expensive relative to fossil fuels. In South Africa's current economic climate, the mere fact that alternative sources are pricier than coal may result in further social-economic challenges.



Reflection and 'food for thought'

Have you considered or given thought to ...?

1. What effect does political pressure play in the ability of the CEO to make an ethical decision?
2. Politicians are under constant public scrutiny and technology makes anyone with a social media account a reporter. Political figures are elected by the public and therefore inevitably aim to please the majority. Popularism can therefore often prescribe political decisions in order to address the understanding and opinion of the majority involved. In the quest to please, politicians could struggle to make brave and unpopular decisions that could be beneficial in the long run. In your opinion, what effect does popularism have on South Africa's political and economic climate?

3. What is the responsibility/role of the CEO of a large energy producer in creating awareness of green energy and sustainability among the general public?
4. The organisational culture of an entity plays a material role in the behaviour of the employees. When considering that organisational values contribute to organisational culture, it is important to assess business decisions in the context of these values. Reflect on the published values of PowerToUs and consider how they should be reflected in your business decisions?
5. Identify an actual corruption scandal in the energy sector in South Africa. Reflect on the selected event as reported in the media and discuss it in the context of the King IV Report part 6.6, pertaining to state-owned entities.

Chapter 12

Communication is key

Faeza Jaffer (UNISA)
Mandie Wentzel (SAICA)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is required in resolving the ethical dilemmas?

Learning outcomes

- Identify and describe the impact of the various roles of a professional accountant on the accountant's ethical decision-making.
- Identify the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Understand ethics theories and apply relevant theories when solving business ethical dilemmas or making business ethical decisions.
- Analyse the ethical dilemmas in the scenario and provide possible solutions by considering various ethical theories based on various roles.
- Identify the stakeholders affected by the ethical dilemmas and evaluate the impact of the business ethical dilemmas on the various stakeholders of the company.
- Analyse the consequences of each course of action (such as disciplinary action) for unethical behaviour.
- Apply the Code of Conduct principles to an ethical dilemma and analyse the effect of alternative actions on various stakeholders.

Level of knowledge

Intermediate to advanced



Case study

This case study is focused on the application of professional ethics in the context of the provision of assurance. Specifically, it considers the responsibility of auditors to act as ethical and effective leaders. The ethical dilemmas arise in the communications industry.

You are a Registered Auditor and partner at a South African audit firm. You have been approached by the audit committee of Highlights Ltd, a public interest entity (PIE), to provide the external audit services for the company's 2020 financial year.

In line with the firm's policy, prior to accepting the appointment you and your team members carried out the pre-engagement and acceptance procedures required by the International Standards on Auditing (ISAs). The following is a series of extracts from working papers prepared to determine whether Highlights Ltd should be accepted as an audit client or not.

Highlights Ltd		
Working paper title: Pre-engagement and acceptance procedures Ref P1		
Prepared by: AB Date 30 April 2021		Reviewed by: Partner Date: 21 June 2021
Objective		
The objective of the working paper is to document the pre-engagement activities performed prior to acceptance of Highlights Ltd as an external audit client.		
Company background		
Highlights Ltd is one of South Africa's major media houses. The company is home to some of the country's popular radio stations and owns a news channel that is aired on satellite TV. Highlights Ltd is a JSE-listed company and forms part of South Africa's communications industry.		
Governance structures		
Highlights Ltd's governance structure is in line with the recommendations of the King IV report, as required by the Johannesburg Stock Exchange (JSE) listing requirements. The current CEO of Highlights Ltd, Mr Fame, was a well-known TV personality before turning his attention to the operations of the company. Mr Fame is known in the industry for 'getting the job done'.		

continued

Financial information

The company has been profitable for the last 5 years. Management is positive about the current share price despite a 25% decrease in revenue from advertisements. The CFO has attributed the decrease in revenue to the impact that the COVID-19 pandemic had on businesses.

Income from the gossip columns in social media apps has increased significantly, however, and has offset the loss in advertising income. Several popular socialite journalists not employed by the media house often contribute stories to the media house's online news application in return for commission. The commission payable is based on a formula whose variables are affected by the number of 'clicks'/'shares' of the story on social media. These stories often cause a social media sensation and the news app is known for always getting the scoop on the newest celebrity scandals.

A few celebrities have sued the media house for defamation of character, and there have been accusations of false reporting, but most cases have been settled out of court and the others have not led to any serious convictions. The media house has raised an estimated provision in the balance sheet for prospective legal cases. The provision is based on the cases that Highlights Ltd is most likely to have to settle as per the company's legal counsel.

The company has total outstanding debt of R100 million. However, it is confident that it will be able to make the short-term payments due on a timely basis.

Other information

The audit firm performed non-audit services (NAS) for Highlights Ltd six years ago and has not done any other work since. The partner in charge of non-audit services has indicated that the client is worthwhile. The team members who performed the NAS will not be involved in the external audit of Highlights Ltd.

You also had discussions with the management of the company, the audit committee chair and the predecessor auditor. The following information came to light from the discussions held.

Meeting with management and employees

The current CFO, Mr Banks, has been in his position for the last five years. Mr Banks is confident in the company's future and has promised his co-operation in all that is required.

You know Mr Banks personally since the two of you completed your articles at the same audit firm and have met over the years in social circles. You are excited to work with him again and maybe to catch up. Despite this relationship, you have always drawn a line between your professional and personal relationships.

The following email was received when enquiries were made of the other accounting personnel:

To: auditpartner@AF.co.za
From: accounts@highlights.co.za
Subject: Company debt

Dear audit partner

I hope this email finds you well. The following additional information is relevant to the outstanding company debt.

Approximately R80 000 000 is owing to a foreign creditor. The loan from the creditor has strict loan covenants attached to it and there is concern that the terms attached may not be met. We may not meet the revenue targets, but management is in discussion with the creditor given the current state of the economy worldwide.

Please feel free to ask for any further information.

Regards

Creditors and loan personnel

When you approached the CFO regarding the above information, he brushed it off and said that all that should be of concern is that payments are made on time. However, Highlights Ltd will have to dig into its reserves if the trend in decreased revenue continues.

Meeting with the audit committee chair

The discussion with the audit committee revealed that Mr Banks had recommended your audit firm, with you as the partner, be appointed as the auditor of the company. The audit chair insinuated that if the fee quoted was 'right' the job would be yours. He also stated that he was sure that you would be willing to negotiate an amount that is 'reasonable'.

Meeting with the predecessor auditor

The predecessor auditor met with you after obtaining client permission. The audit partner in charge provided the following information.

- The previous auditor disagreed with management's views on the revenue and property value estimates. The previous auditor thinks that management is aggressive in its approach to estimates.
- Highlights Ltd was not willing to pay the audit fee of the previous auditor, believing it was too high. The previous auditor, although not at liberty to discuss the fee, alluded to the fact that the audit required significant time and expert assistance as some areas of the business are complex.

You evaluated the resources and expertise available, and hours required for the audit and came to a fee that was considerably higher than what Highlights Ltd was willing to pay. You know this because Mr Banks passed this information on at a cocktail party you both attended. If you quote a lower fee, there will be immense pressure on your team but having Highlights Ltd as an audit client would be a big 'score' for the audit firm and result in other potential clients which would make up for the loss of revenue in the Highlights Ltd audit.



Ethical dilemmas

How will the various roles of a professional accountant affect the decisions that the audit partner is required to make in accepting the client engagement? Consider the impact of professional ethics, personal ethics and business ethics.

The role of professional accountants is discussed in Chapter 2.

Three distinct roles of a registered auditor are identified as inherent to the profession, namely:

- the role of serving the client's interests (Personal ethical dilemma)
- the role of serving the employer's interests (maximising profits) (Business ethical dilemmas)
- the role of the professional accountant as protector of the public's interests (professional ethical dilemmas).

Personal ethical dilemmas?

The audit partner's independence of the client, Highlights Ltd, must be considered.

- A familiarity threat exists for you, the audit partner, on a personal level. You have a personal relationship with the current CFO, Mr Banks (friendship outside work). While you may consider Mr Banks an acquaintance only, he sees your relationship as more significant. This can be deduced from the fact that he recommended your audit firm, with you as audit partner in charge of the external audit of Highlights Ltd.
- A self-interest threat exists as well. If Highlights Ltd is accepted as a client, the revenue for the audit firm would be increased as would your profit share. You may therefore struggle to accept indications that the company has going-concern issues such as a decrease in revenue and the pressure to decrease the audit fee.

The above could clearly compromise an auditor's objectivity in that the auditor could be biased when reaching conclusions and overlook issues in the audit.

Business ethical dilemmas?

- A self-interest threat to professional competence and due care may exist if you quote a low fee to obtain the new engagement. The low fee may place undue pressure on the audit team to complete the audit engagement within the applicable technical and professional standards.
- In addition, the predecessor auditor stated that the audit required more hours than the client was willing to pay for and the use of experts since some of the business processes of Highlights Ltd are complex. A low fee is not unethical if it is representative of the time and expertise needed.
- The revenue of the audit firm would increase, but this should be weighed against whether a quality audit would be achieved.
- A self-review threat exists for the audit firm because the audit firm had previously performed NAS for Highlights Ltd.
- The audit firm should consider whether it qualifies to be appointed as an external auditor in terms of the Companies Act.

The following factors also need to be considered in terms of client acceptance.

- The ability of Highlights Ltd to pay the audit fee may be doubtful. The company is struggling to meet the obligations of the loan covenants and revenue has decreased by 25%.
- Highlights Ltd is involved in several legal cases and the reputation of the audit firm may be threatened by association with the company.
- Accepting the engagement could expose the audit firm to involvement in fraud. The fact that the loan covenants are tied to the revenue figure may influence management and/or others to misstate revenue to ensure that the obligations are met.
- Integrity of management and the tone at the top should be carefully considered when accepting a new engagement. As a media house, Highlights has a great influence on the public. Misleading and fake news can cause damage to people's reputation, business and other aspects. By using fake news to boost income, the company is demonstrating poor integrity.

In addition, the audit committee chairperson was quite comfortable in allowing Mr Banks to recommend the external auditor, which conflicts

the acceptable principles and requirements an effective audit committee.

Professional ethical dilemma

A registered auditor's most salient duty is to protect the public interest. This duty is maintained by adherence to a code of professional conduct. (Although South African auditors adhere to the IRBA code of ethics, this section will be discussed in line with the IFAC code of ethics because its values are universal to all codes and accepted internationally.)

The IFAC code of ethics states that a professional accountant must adhere to the following values.

- *Integrity*

You are aware that a low fee will guarantee Highlights Ltd as an audit client. Acceptance of the engagement on this basis would place undue pressure on the audit team and threaten audit quality. You should be honest about what resources (time, experts, etc) are required for the audit and quote appropriately. Giving in to the pressure to do the work for an inappropriately low fee may encourage similar behaviour from Highlights Ltd (and perhaps from other potential clients) in future. This could threaten the integrity of the firm and profession (if a trend is found).

- *Objectivity*

Your relationship with Mr Banks may threaten objectivity in that a close association may lead to his possible undue influence over you or the audit fee.

- *Professional competence and due care*

Performing the audit engagement at a fee that is too low for the resources and knowledge required may result in an audit that is not afforded the professional competence and due care that it deserves. This may result in an inappropriate audit opinion issued by you and/or the audit firm.

- *Professional behaviour*

Highlights Ltd's lack of control over the content of its social media platforms undermines the company's value systems. If you are the auditor of Highlights Ltd, your values may be questioned by virtue of your association with the company.

- *Confidentiality*

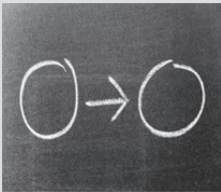
Not threatened in this scenario.



Stakeholders involved

Who are the stakeholders affected by or able to influence your decision to accept the engagement? What/who should you consider?

- Audit firm (your employer) – Reputation of your firm (association with the company)
- Shareholders of the company
- The public (as consumers of the media content that the media house delivers)
- Your own income derived from the engagement
- Audit committee of the company.



Consequence management

What are the possible consequences for your auditing firm if you

1. accept the engagement
2. reject the engagement?

The consequences below are responsive to the ethical dilemmas identified above.

1. Accepting the engagement

If you accept the audit engagement, the firm will benefit in terms of revenue and audit market share. Your own income will also increase.

Despite the ethical conflicts presented above, the company can accept the audit engagement provided that safeguards are put in place to reduce the familiarity and self-review threats to independence.

Safeguards that can be put in place include

- quoting a fee that fits the scope of the engagement
- having an appropriate reviewer to review the quality of the work performed
- ensuring that the audit firm can still perform the external audit and is not disqualified in terms of section 90 of the Companies Act (by the provision of NAS).

As previously mentioned, the audit firm must consider the company's tone at the top. Tone at the top refers to the ethical leadership of client management and to the ethical culture that management promotes. It should be evaluated taking all factors into account. These evaluations are crucial when acceptance of a client engagement is considered.

Investigations into historical large corporate fraud has shown that

- a culture of deference to the management of organisations, where management decisions are not challenged sufficiently, can result in employees' following instructions in accounting practices without questioning the basis for those accounting practices
- governance failures such as internal policies, guidelines and frameworks' not being followed can create an environment in which senior executives can initiate or participate in financial reporting misstatements.

In the present scenario, the tone at the top of Highlights Ltd is questionable because

- Mr Banks is willing to share company information
- the company is comfortable with socialite journalists sharing unverified information (gossip) on the company's social media platforms
- there is conflicting information on whether the company's loan obligations will be met.

2. Reject the engagement

If you reject the engagement, you will lose the revenue from Highlights Ltd and may not receive any further engagements from the company. The company may also not be willing to refer other potential clients to you.



Reflection and 'Food for thought'

Have you considered or given thought to ...?

For debate or group discussion

- Imagine you are the marketing manager of Highlights Ltd.
 - How would the leadership tone at the top affect your personal ethics? Reflect on possible considerations for you personally. How

would the leadership of Highlights affect your role? Discuss how possible value conflicts could be resolved in this context.

- Do you have a moral obligation to consider the ethicality of the business model that the media house is employing in using sensationalism to sell stories that might not be true in order to earn higher income based on social media popularity? Use various ethical theories such as utilitarianism, relativism, value ethics etc. to support your views. (Refer to Chapter 2 for a discussion of the ethical theories.)
- Imagine you are the CEO of Highlights Ltd. Who are the stakeholders you need to consider?
- In considering commercialism vs professionalism (refer to Chapter 2), what is your view of the health of the accountancy profession currently? What do you believe is the main reason auditors exist? What is the long-term effect on the accountancy profession if this reason for existence is not fulfilled? Discuss and debate the sustainability of the accountancy profession globally and in South Africa.

Chapter 13

Plastic Bravura

Lorraine Erica Derbyshire (NWU)
Nico van der Merwe (NWU)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Understand the concept of stakeholders.
- Understand the concept of corporate social responsibility (CSR).
- Demonstrate an understanding of the different stances on CSR.
- Critically evaluate an organisation's CSR stance.
- Identify CSR ethical issues.
- Critically evaluate an organisation's CSR reporting based on the six capitals of integrated reporting (financial, manufactured, intellectual, human, social and relationship).
- Propose recommendations for improvement of a CSR strategy after identification of CSR ethical issues.

Level of knowledge

Intermediate to advanced



Case study

This case study focuses on corporate social responsibility as a subset of organisational/business ethics. The ethical issues arise in the plastics manufacturing industry.

Plastic Bravura Limited is a polymer packaging materials manufacturer listed on the JSE Alternative Exchange (AltX). Its head office and manufacturing plant are located in Cramiston, South Africa. The company,

which employs 800 people, manufactures plastic bottles, containers, cups, plates, bowls and cutlery. Plastic Bravura has five distribution sites across South Africa.

The following online news article made headlines across South Africa.

SA BUSINESS SOVEREIGN						
News	Business	Trending	Money & Markets	Partners	Lifestyle	Management
Top reads 1. JSE trends today 2. Today's business report 3. Misconduct allegations against Pyramid CFO 4. Poverty on the rise worldwide amid increase in unemployment		<i>Demand for a Plastic Bravura Free South Africa as Five Children Die</i> By Shelly Say, 10 May 2021 13:00 Five children in the area of Cramiston have died after contracting a rare lung disease. Three children died earlier this year and another two in April 2021. The parents of the deceased all stated that their children started showing symptoms typically associated with pneumonia (coughing, fever, shortness of breath, rapid and shallow breathing and chest pain) around November/December last year. The parents blamed the increased fumes that were released from the Plastic Bravura plant in October last year. They mentioned that the fumes coming from funnels at the Plastic Bravura plant are normally grey in colour, but during the month of October 2020 the fumes appeared black. A spike in respiratory diseases has also been noted in the Cramiston and surrounding areas over the last few months. When the doctors who verified the deaths of the little ones were interviewed, they cited the cause of death as being a rare lung disease that is caused by the inhalation of large quantities of dust from a plastic material called Polyethylene Terephthalate. The dust can be found in fumes excreted from the burning of plastic material. Inhalation of large quantities can cause severe and irreversible respiratory diseases in humans and can lead to the death of children younger than 12 years within a year after they inhale large quantities of the dust. People generally only show symptoms one month to two years after exposure.				

continued

SA BUSINESS SOVEREIGN						
News	Business	Trending	Money & Markets	Partners	Lifestyle	Management
		According to the spokesperson of Plastic Bravura, the company has been in existence since 1985 and has always taken extra precautionary measures to limit its impact on the environment, such as undertaking annual environmental audits. It comes as a surprise that something may have gone wrong after all this time. According to an insider, Plastic Bravura tested out new fume extractors and air filtration systems during October 2020. It appears that one fume extractor had a manufacturing fault; however, this was only noted after nine days of testing the extractor. The insider also stated that the morally right thing to do would have been to consult with the immediate communities to obtain their permission to test new equipment that would have an impact on the quality of the air they would have to inhale. At the very least, the company should have warned residents to take precautionary measures to protect themselves against the potential inhalation of large quantities of plastic dust. A group of environmental activists have started the Plastic Free Challenge and threatened to plan mass boycotts against Plastic Bravura if the management of the company does not disclose to the public what has gone wrong at the plant and come up with solutions to deal with the repercussions within the next 24 hours. SA Business Sovereign ® 2021				

The Chief Executive Officer (CEO) of Plastic Bravura contacted all the directors to attend an urgent board meeting on 12 May 2021. The original board meeting was scheduled for 24 May 2021. The following is an extract from minutes of the meeting held on 12 May 2021.

Plastic Bravura Limited

Extract – minutes of board meeting

Date held: 12 May 2021 at 08:00

Held at: 111 Grasspower Avenue, Cramiston

Attendance: No apologies received. All directors were in attendance.

Matters discussed at the meeting:

MATTER 1 – SA Business Sovereign and protests

The CEO stated that he was in fear for his life when he arrived at the office due to violent protests outside the premises. However, he reassured the board that the police are dealing with the matter. He read the online news article and asked the Chief Operations Officer (COO) to explain what had happened.

The COO mentioned that a decision was made before the purchase and testing of the new fume extractors and air filtration systems that cheaper fume extractors and air filtration systems would be installed when the current extractors and systems were due for replacement. This decision was made as part of a strategy to reduce operating costs after revenue dropped by 10% in the previous financial year. The decrease in revenue resulted from a decline in exports following worldwide campaigns to curb the use of plastic products. Various manufacturers were contacted to provide specimens, which were tested simultaneously in October 2020. One of the supervisors at the plant noted that one of the fume extractors was not operational (owing to a manufacturing fault) and was unsuccessful in extracting the Polyethylene Terephthalate dust. The result was that these fumes were released from the funnel it was connected to into the air. The extractor was immediately replaced with the old one when this became known.

The COO reminded board members that the testing of new equipment was raised at the board meeting held in September 2020. The board had agreed and unanimously decided then that the company does not need to obtain any further approval to go ahead with the replacement plans. This issue was further discussed at the November 2020 board meeting, when the board was made aware of the fume extractor that failed. The board concluded at the time that this was not considered a serious issue.

MATTER 2 – Solutions to end the protests

The CEO mentioned that Plastic Bravura has always been a law-abiding organisation, continuously monitoring air pollution in order to ensure that the company's carbon footprint is within the range specified by law enforcers. In addition to this, the company has annual environmental audits and has received clean reports since the year 2000. The company continues to contribute towards the economy through paying taxes (including additional levies due to our manufacturing of plastic products) and employment creation. He proposed that the Chief Financial Officer (CFO) submit the Integrated Report, which contains highlights of the company's value creation for the year ended 28 February 2021, to the environmental activists and to the community that claims to have been affected by the additional fumes. The CEO also requested the Public Relations (PR) director, who is also the CSR representative of the company, to provide the company's documented CSR strategy to the environmental activists and community so that they can see how the company fulfils its role as a corporate citizen.

The CFO mentioned that these steps might not be enough to end the protests and that the company needs to come up with a solution to address the fact that the company made a huge mistake and that it had cost the lives of five children.

The CEO expressed his dismay with the CFO for suggesting that the company was responsible for the death of the five children. He stated that he would want to see concrete proof that the children died as a result of inhalation of fumes released by Plastic Bravura funnels; there are multiple other manufacturing companies in the area that could have been responsible for the horrible thing that happened. The PR director mentioned, however, that Plastic Bravura is the only plastics manufacturing company in the district.

[End of extract from minutes of board meeting]

Extract of highlights from Plastic Bravura Limited's Integrated Report for the year ended 28 February 2021

Value-creating highlights 2020 and 2021 – SOUTH AFRICA				
Category of capital	2021		2020	
Shareholders and investors	R509 million revenue	R16 million net profit	R501 million revenue	R17.5 million net profit
Employees	17 jobs were created in the financial year	401 employees trained in productive manufacturing	4 jobs were created in the financial year	383 employees trained in productive manufacturing
Environment	3 million tons plastic materials collected and donated for recycling		3 million tons plastic materials collected and donated for recycling	
Economy	R6.5 million paid in taxes and levies		R6.9 million paid in taxes and levies	

POLICY DOCUMENT

Plastic Bravura Limited's CSR Strategy

Approved by: The Board of Directors

Date of approval: 1 March 2015

1. Objective

Plastic Bravura believes that the organisation forms an integral part of society and hence accepts its responsibility and obligation to comply with laws and regulations. The aim of this document is to provide direction as to how the company should meet its social responsibility.

2. Definitions

- 2.1. "Corporate Social Responsibility" – the moral obligation to create wealth for shareholders, contribute towards the economy through job creation and paying taxes and levies, and to comply with laws that impact the company.
- 2.2. "Environment" – means the natural environment that includes non-human made surroundings, namely land, air, water, plants and animals.
- 2.3. "Community" – Shareholders, employees of the company, suppliers and the environment.
- 2.4. "Community engagement" – corporate social responsibility initiatives undertaken by the company.

3. Community engagement initiatives

- 3.1. Adhere to environmental laws and regulations as prescribed by the Department of Environmental Affairs in terms of our manufacturing process.
- 3.2. To collect waste plastic materials in water resources and on land, and donate to the nearest plastic recycling company.
- 3.3. Undergo annual environmental audits as a means to report on the carbon footprint of the company.
- 3.4. Pay taxes and levies as a means to support the South African economy.



Fundamental principles

What is corporate social responsibility (CSR)? How does the definition of CSR compare with the definition provided in the CSR strategy of Plastic Bravura? What are the reporting requirements related to CSR?

Corporate social responsibility (CSR)

CSR as a concept is discussed in Chapter 2. In order to understand what the concept means you need to consider how CSR developed and gained prevalence, and then apply the concept to the current environment.

Plastic Bravura's definition of CSR

The definition provided in the CSR strategy document does not include all the dimensions of CSR. The company's definition implies that the key stakeholders of the company are the shareholders, tax authorities, employees and lawmakers. It ignores all other stakeholders of the company. The definition also aims to provide benefits in relation to only the 'economic' and 'environmental' spheres of CSR and ignores the 'social' sphere.

CSR reporting requirements

The aim of integrated reporting and reporting on six capitals is to provide stakeholders with a better understanding of how the organisation allocated its scarce resources and how it is truly performing so that stakeholders can make better informed decisions. The International Integrated Reporting Council also stipulates that the aim of <IR> is on how the six capitals were employed to create value and not on the product.

The CFO of Plastic Bravura should refer to the following summary of the capitals when preparing the integrated report.

Capital	Description or characteristics
Financial	How the funding was obtained (e.g. through external financing or internally through operations) and how it was utilised in the course of business to produce a product or deliver a service.
Manufactured	What type of resources were used – for example, property, plant and equipment – and how they were employed to produce products or provide services.
Human	The skills, experience and motivation expected from employees and how they were utilised to innovate or create new products or services in the organisation.
Intellectual	How intellectual property was utilised in the production of products or services and to gain a competitive advantage in the market.

continued

Capital	Description or characteristics
Natural	How natural resources were utilised in the production of products or services and the impact the organisation had on them (natural environment).
Social	The relationship of the organisation with the community, all stakeholder groups and the organisation's network, and how the organisation enhances the well-being of stakeholders in so far they are individuals.

The King IV Report, Part 5, Principle 1 stipulates that the governing body should 'lead ethically and effectively' and that members of the governing body should exhibit 'fairness' in their conduct. Principle 1 further explains that 'fairness' in this context means that a stakeholder-inclusive approach should be adopted by members of the governing body in the execution of their governance role and responsibilities and that they should direct the organisation in such a way that it does not adversely affect the natural environment, society or future generations. This is where the corporate citizen concept comes into play.

Corporate citizenship implies that organisations form an integral part of the broader society in which they trade and recognises the investment broader society makes in those organisation, according to the King IV Report. It also means that organisations balance their own needs with those of society in order to create value for the organisation, society and the environment. Organisations are expected to be good corporate citizens, by conducting business in a fair and ethical manner, minimising social and environmental harm, and reporting on the impact that they have made.

The King IV Report, Part 5, Principle 3 stipulates that the governing body should 'ensure that the organisation is and is seen to be a responsible citizen'. It recommends that that the following be disclosed in relation to corporate citizenship:

- a. An overview of the arrangements for governing and managing responsible corporate citizenship.
- b. Key areas of focus during the reporting period.
- c. Measures taken to monitor corporate citizenship and how the outcomes were addressed.
- d. Planned areas of future focus.



Stakeholders involved

Who are the stakeholders affected by or able to influence Plastic Bravura's CSR decisions?

Assuming you are the CFO of Plastic Bravura, write a memo to the board of directors in which you explain the importance of recognising stakeholders when making decisions, such as that to install new fume extractors and air filtration systems, on behalf of the company.

The stakeholders (or potential stakeholders) in Plastic Bravura's CSR decisions include

- investors (shareholders)
- employees
- customers
- suppliers
- communities
- the government (local, provincial and national)
- trade unions
- the environment (represented by activists in this case).

In the matter in question (the death of five children, possibly due to Plastic Bravura's negligence), the community is a key stakeholder and so are the environmental activists.

MEMO

To: Plastic Bravura Ltd Board of Directors

From: The Chief Financial Officer

Date: 13 May 2021

RE: STAKEHOLDER IMPORTANCE

Dear fellow board members,

I am writing this memo to inform you of the importance of recognising stakeholders when making decisions on behalf of the company.

Stakeholders are generally defined as groups or individuals who can be affected by a corporation's operational activities or whose actions can affect the corporation (King IV). Each of these stakeholders has different expectations and claims and each has a certain level of power and interest in a corporation.

continued

It is for this reason that all stakeholders should be managed and taken into account when we make a decision on behalf of Plastic Bravura. If we do not do this, we run the following risks (amongst others):

- Losing the support of stakeholders if our decisions are not acceptable to them. This could threaten the viability of our company:
 - We cannot continue our operations without support from the government, who has to approve the level of fumes that our plants excrete after installation of the new fume extractors and air filtration systems.
 - We also cannot ignore the shareholders of the company, our investors who provide all the necessary funding. Any decision we make that may ruin the reputation of the company will have a direct impact on the investment the shareholders have made in the company.
- If some stakeholders feel they are ignored, they can disrupt our operations, as demonstrated in recent and ongoing protests against Plastic Bravura after the company did not respond to the requests from the environmental activists.
- We have already suffered reputational damage because of our decision. Our company has been linked to the deaths of five children who inhaled excessive levels of a toxin that evidently have been released by our plant into the air. And if we are not careful in the way we deal with the matter, the damage might become irreversible.

Stakeholders can further be classified as either primary or secondary stakeholders. Primary stakeholders are entities that interact directly with the organisation, while secondary stakeholders do not directly interact with the organisation. When the needs of secondary stakeholders are ignored they can become primary stakeholders (such as a local community that might start to protest or boycott an organisation). Careful management is necessary of stakeholders who have both a vested interest in and considerable influence over an organisation, while the organisation should be aware of stakeholders with a low interest in and low influence over it.

Yours truly

Chief Financial Officer



Ethical dilemma

Identify the morals and judgements of a business, and how the actions of Plastic Bravura raise potential CSR ethical issues.

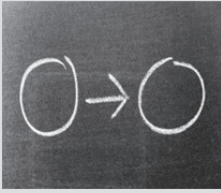
Morals are judgments, standards, and rules of good conduct in society. Plastic Bravura should consider the business morals of trustworthiness, respect, accountability, caring and responsible citizenship, fairness, and acting rightly and justly.

The following are potential CSR-related ethical issues.

1. Plastic Bravura's management does not consider the company's stakeholders and how its policies and decisions may directly affect them. There is no evidence of broad consultation with stakeholders. The board of directors unanimously decided at the board meeting held in September 2020 that no external consultation or approval for their plans to test new fume extractors and air filtration systems was necessary.
2. Plastic Bravura has a disregard for citizens from the local communities in direct proximity to the company's plant. The company (represented by the CEO as one of its moral agents) does not take responsibility for the consequences of the testing of a fume extractor that had a manufacturing fault and caused excessive levels of plastic dust to enter into the air that the citizens breathe.
3. As is evident from the CSR strategy, the company only aims to create economic benefits for stakeholders, in the form of profits, payment of taxes and creation of employment, and environmental benefits, by monitoring the company's carbon footprint, collecting waste plastic and environmental audits. No benefits appear to be created for society or the direct community. Plastic Bravura does not see itself as a corporate citizen.
4. The company reports only on its creation of wealth for shareholders, employees, the environment and the economy and does not disclose the fact that it does not create value in a social context. This is further evidence that the impact (positive or negative) on society is not acknowledged nor appreciated.
5. Even though the integrated report extract indicates that the company created value in terms of the environment, it appears that there was no improvement to the prior year's 3 million tons of waste plastic material collected, donated and recycled (misleading reporting).



Is this necessarily a bad thing? Discuss with your peers.



Consequence management

With reference to the minutes of the board meeting held on 12 May 2021 and the CSR strategy of Plastic Bravura, do you believe the CSR stance that the company has adopted is ethically sound? Propose an additional morally sound solution to deal with matters 1 and 2 discussed at the board meeting held on 12 May 2021.

CSR stance that Plastic Bravura has adopted

Plastic Bravura seems to have adopted

- Milton Friedman's belief in respect of CSR
- Carroll's economic, legal and philanthropic approaches
- the long-term shareholder interest ethical stance of Johnson et al.

This view is based on the following reasons.

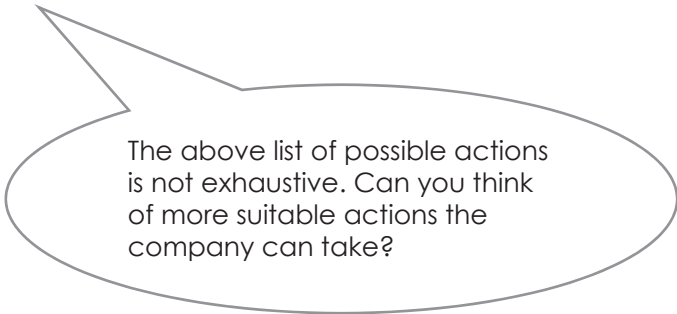
- The company's CSR strategy states that the corporation has a moral obligation to create wealth for shareholders, contribute to the economy through job creation and paying taxes and levies, and comply with laws that affect the company. The strategy document also defines community as shareholders, employees of the company, suppliers and the environment only, thus excluding all other stakeholders.
- The company has also committed to environmental audits for the past few years, which audits appear to be beyond the company's obligation to adhere to laws and regulations.
- The company is very concerned with making a profit for the company even at the expense of some stakeholders. This is evident from the fact that, to cut costs, the company made the decision to test out new fume extractors and air filtration systems without consulting with the government or the local community to obtain their approval or even to warn the local community that they might need to take precautionary measures should something with the testing go wrong, which it did. People from the local community inhaled toxic plastic dust and five children died as a result. The board of directors (and particularly the CEO as the head) refused to take responsibility for this calamity, believing that the company did not do anything wrong and that it had complied with environmental laws.
- Because of its refusal to take responsibility for the aforementioned and to provide a response to the environmental activists within the 24 hours as requested, it is evident that the management of Plastic

Bravura does not believe that it has a social responsibility towards stakeholders other than shareholders, employees, tax authorities, law-makers and the environment.

Additional considerations and actions relating to business morality

Some of the actions the company can take include the following.

- Plastic Bravura should immediately issue a media release in which the company acknowledges the community's loss and undertakes to co-operate in resolving the situation.
- The company should address the protesters and listen to their grievances as a first step to finding an amicable solution.
- On Plastic Bravura's initiative, the company should launch an independent investigation into the matter to determine whether the company is at fault in any way. The company must be willing to accept the outcome and consequences of such an investigation, whether advantageous or not. By taking the first steps itself, the company will demonstrate its commitment to resolving the situation. If Plastic Bravura is found to be responsible for the deaths, it should accept accountability for its actions, even if doing so may affect the bottom line in the short term, because its responsible actions should contribute to its sustainability in the long term.
- The company should test all existing fume extractors and air filtration systems and replace them with safer ones if necessary.
- The company should also develop and implement policies and operating procedures for the safe testing of new equipment and a contingency plan to avoid a repeat of such events in the future.
- The company should also develop a stakeholder relationship management plan to ensure that in future all relevant stakeholders are involved in decisions that may affect them.



The above list of possible actions is not exhaustive. Can you think of more suitable actions the company can take?



Additional information

It is crucial that an entity report adequately its CSR initiatives. How does the extract from Plastic Bravura's integrated report measure up against the six-capitals requirements of integrated reporting?

From the <IR> extract provided the following is evident.

- Plastic Bravura reports on only three of the six capitals, namely financial, environment and human.
- Even though some detail is provided in respect of the environment, no information is provided on how the company utilised natural resources such as water in the production of plastic products, nor does the company disclose the impact that the manufacturing had on the environment. For example, no reporting is done on the level of CO₂ emissions or on the level of plastic fumes released into the air from the production of the plastic products.
- As regards human capital, the number of jobs created is disclosed but no detail on the skills, experience and motivation expected from employees and how skills, experience and motivation were utilised to innovate.
- The current value creation report regards 'Shareholders and Investors', 'Employees', and the 'Economy' as six capitals, but this is not in accordance with the <IR> framework.
- No reporting has been provided on the 'Financial', 'Manufactured', 'Intellectual' or 'Social' capitals.

The conclusion is therefore that the users of the integrated report of Plastic Bravura will not be able to make informed decisions: the current detail disclosed on the six capitals lacks significant depth and only one of the six capitals is sufficiently reported on.



Reflection and 'food for thought'

Have you considered or given thought to ...?

- Corporations have an impact on society and on the communities in which they trade and should be mindful of their impact since no

corporation can exist without the valuable investment that society and other stakeholders (including the immediate communities in which they trade) make in the corporation.

- Corporations can adopt different stances toward CSR. In the end, what is important is that each corporation ensure that it maintains a balance between doing what is good for itself and for its stakeholders.
- The purpose and importance of reporting on CSR and a corporation's value creation for its stakeholders.

Chapter 14

The municipal manager

Kwena Maseko (University of Pretoria)
Gail Fortuin (Stellenbosch University)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Identify the ethical values challenged by the ethical dilemmas and evaluate the impact of the ethical dilemmas on the ethical values.
- Identify the stakeholders and describe how they are affected by the ethical dilemmas.
- Apply an ethics-based reasoning process to solve the ethical dilemmas that have been raised.
- Analyse all courses of action and the consequences of each (such as disciplinary action) for unethical behaviour.
- Report ethics-related issues to higher levels of management, legal or regulatory authorities or others, when appropriate.

Level of knowledge

Intermediate to advanced level



Case study

This case study focuses on unethical conduct in the awarding of a tender. The ethical dilemma arises place in the context of a municipality.

Mr Parks Zamani is a qualified chartered accountant (CA(SA)) and a member of SAICA. After a splendid career as the Chief Financial Officer (CFO) at a municipality in the Western Cape province, he successfully applied for a similar position in 2014 at the Waterfall municipality, one of the biggest municipalities in the Gauteng province, with a budget of R5 billion. At his former employer, he was referred to as 'Mr Clean Audit' because, from his second year until the end of his five-year contract, the municipality had obtained clean audit reports. This was due to the financial policies and procedures he had designed and successfully implemented and monitored.

His success was hailed by the Western Cape treasury as a model of what can be achieved when suitably qualified accounting professionals are appointed in the public sector. CFOs at other municipalities consulted with him regularly and tried to replicate his success. Mr Zamani generously assisted where possible because he saw it as his patriotic duty to contribute to the sound administration of public finances. His reputation soared and his insights in public sector finances regularly featured in the media. At one point, his face was emblazoned on the front page of a professional accountancy magazine which published a cover story about him and celebrated him as a trailblazer in public sector financial administration.

His job offer at the Waterfall municipality was generous as he was considered a scarce resource. The municipal manager¹ was greatly relieved that such an experienced and qualified person was appointed. Mr Zamani would commence his new job on 2 January 2015, after relocating to Gauteng. When receiving the news of Mr Zamani's new position, his spiritual leader included it in the church announcements, and prayers of thanksgiving were made for his career advancement. His spiritual leader offered him a private prayer and told him never to worry because 'you were born for such a time as this'.

The irregular and fruitless and wasteful expenditure at the Waterfall municipality had been growing and the executive leadership had very high expectations that Mr Zamani would replicate the success at his former employer and ensure it would achieve a clean audit outcome. For this reason, 60% of his annual performance bonus was dependent on a significant reduction of irregular and fruitless and wasteful expenditure.

1 The municipal manager is the head of a municipality, similar to the Chief Executive Officer (CEO) of a corporate entity. The municipal manager is appointed by the municipal council and is the link between the council and the administration of the municipality. The municipal manager is also the accounting officer responsible for all the corporate governance functions.

During Mr Zamani's tenure, irregular and fruitless and wasteful expenditure at Waterfall municipality steadily declined, as shown on the extract from the annual financial reports below:

Irregular expenditure (R million)				
2014	2015	2016	2017	2018
850	560	210	100	30

Fruitless and wasteful expenditure (R million)				
2014	2015	2016	2017	2018
120	95	55	25	0

His performance as the CFO of Waterfall municipality was praised across the political spectrum. For this reason, Mr Zamani received great performance bonuses and attractive salary increments since his arrival in 2015. The municipal manager and executive leadership wanted to do whatever it took to retain him as CFO of the Waterfall municipality. His financial stewardship was regarded as a major contributor to the change from the adverse audit opinion in 2014, prior to his arrival, to the unqualified audit opinion in 2018. He attributed his success to two factors:

- the review of all tenders above R1,5 million by the internal audit department, and
- strict enforcement of financial controls within the finance department.

On 5 July 2019, just six months before the end of his five-year contract, Mr Zamani received an anonymous text message which read, 'Please urgently check out the R300 million information technology systems tender which IPH Technologies won in 2016. Otherwise, I see very dark clouds that are about to unleash a storm of tsunami proportions. PLEASE! PLEASE! PLEASE!' The message was received around 9 pm, as Mr Zamani was about to go to bed. The message made him extremely anxious. At about 4 am the following day, he woke up sweating and his spouse asked him whether he had had a nightmare because she had heard him screaming 'it wasn't me'. He told her that he had dreamed about the Hawks' entering his office and telling him he was under arrest'. Mr Zamani immediately got himself ready and by 5:30 he was at the office. He quickly grabbed the IT systems tender file which contained the information on the IPH technologies tender awarded in early 2016.

While reviewing the file, he found a document titled 'Confidential legal settlement'. When he read the document, he realised that a legal

settlement of R90 million was reached in 2016 in favour of another entity, called Agile IT. Agile IT had threatened legal action after it was not awarded the tender despite scoring more points than any other applicant during the tender evaluation process. He then did a quick search on his computer to see whether any payments were made to Agile IT and found nothing. Nor could he find any motivation that justified the appointment of IPH Technologies at the time, even though IPH had scored only the third-highest number of points during the tender evaluation process. He wondered why the internal audit department had conveyed its satisfaction with the tender process, despite the absence of explanations as to why the highest-scoring bidder was not awarded the tender. Puzzled, he explained his findings to one of the senior managers in his department. The senior manager told him that the head of the internal audit unit was the boyfriend of the municipal manager, but their relationship was a secret. The senior manager said that the relationship might explain why the internal audit section had not raised any red flags before. He laughed and said 'Welcome to Waterfall municipality' as he walked away.

Mr Zamani was furious and rushed to the municipal manager's office. The municipal manager asked him if he was okay and arranged coffee for him as she invited him to her table. He wanted to know why the tender was awarded to the third-highest-scoring bidder without any justification. This was the municipal manager's response:

'Don't worry about it. I am sure you know this is a political environment. As you would remember, the municipal elections were going to happen on 2 November that year. We needed funds to campaign and IPH Technologies agreed to fund our campaign. You and I would not be in these jobs if my party lost elections. I just want to be frank with you because I can see you are not politically initiated. To survive in this environment, you need to be a political animal.'

When Mr Zamani asked why he had not been informed of the legal settlement reached with Agile IT, this was the municipal manager's response:

'I did not want to attract unnecessary and negative media attention given that elections were at hand. That would have damaged our political party's election prospects. The municipality reached a legal settlement not only with Agile IT, but a R70 million settlement was also paid to Geeks Systems (the second-highest-scoring bidder). Geeks Systems had also threatened the municipality with legal action for awarding the contract to IPH Technologies. To avoid any trace of the amounts, the scope of IPH Technologies' contracted work was expanded. This was to ensure that the legal settlement amounts for Agile IT and Geeks Systems were paid via IPH Technologies which would pass them on to these two companies (Geeks and Agile IT). Then no one would know about the legal

settlement payments. You see, that's very smart. It is a win-win situation for both of us. You have a good reputation and with the recent good audit report, there will be no issues with your contract renewal. However, if you dare say anything about all this, I will wash my hands and point my finger at you. I have my people in the media and they will eat you for breakfast. Let's not even talk about your future career prospects because jail might be your next employer.'

On his drive back home, Mr Zamani felt very despondent. He thought about his future and pessimism filled his mind. He thought about all the horrible information that the municipal manager had bombarded him with and about its implications for the financial statements. Then his concerns moved to his reputation as 'Mr Clean Audit'. He also thought about all the bonuses he had received on the basis of incorrect information. He wondered whether he should keep quiet about the municipal manager's unethical conduct so that his contract could be renewed; he had a mortgage bond, car loans, and two children at university and another at an expensive private school. His mind was running wild. 'What will people at church say about me? How did I get entangled in this?' he asked himself as he drove to his spiritual leader's office for advice. With tears in his eyes, he explained everything he had found out and his conversation with the municipal manager and asked his spiritual leader what he should do. This was the spiritual leader's response: 'You do not owe anyone an explanation. You do not have to say anything to anyone because you did not steal anything.'

As Mr Zamani left the spiritual leader's office, the anxiety continued to overwhelm him and the persistent question in his mind was, 'What must I do?'



Ethical dilemma

What personal, business and professional ethical issues are evident from the scenario presented?

Personal ethical dilemmas?

Mr Zamani values his religion. He has a close relationship with his spiritual leader, shares personal details with him and seeks his counsel on personal matters. He is also concerned about how his fellow church members would react to his personal issues. He faces a dilemma, as the counsel he receives from his religious leader – to keep quiet about the shenanigans at the Waterfall municipality – clashes with his employer's policies and procedures, which he himself introduced and maintained.

Mr Zamani also built for himself a strong personal brand (Mr Clean Audit) at his former employer in the Western Cape. His personal brand resulted in his receiving media attention and attracted the attention of Western Cape treasury office and of his counterparts at other municipalities. The tender scandal at the Waterfall municipality puts his 'Mr Clean Audit' brand at risk. The adjustment of irregular and fruitless and wasteful expenditure necessitated by the fraudulent IT systems tender will highlight that such expenditures has not in fact been declining. This is just one part of the scandal; there may be more. His dilemma is whether to keep quiet, and hope to retain his brand, or speak out through appropriate channels and risk a damaging media onslaught that may follow, some of which may result in threats such as those made by the municipal manager.

Finally, Mr Zamani has pressing financial obligations. He has personal debt including paying for his three children's education. Consequences that may result from his disclosing the tender irregularities may include his suspension and the non-renewal of his employment contract. Significant reduction of irregular and fruitless and wasteful expenditure formed a big part of his performance targets. If he discloses tender irregularities, the adjusted figures may show that he was not successful in meeting the set targets. He can choose to remain silent and hope for his contract to be renewed, enabling him to fulfil his financial responsibilities, or make disclosures and risk possible financial ruin.

Business ethical dilemmas?

As the CFO of the Waterfall municipality, he has found evidence of wrongdoing that has ethical and financial reporting implications. The irregular IT systems contract means irregular expenditure has been understated. This irregular contract resulted in unwarranted legal expenses, which would have increased fruitless and wasteful expenditure at the time. The legal expenses have also been reported as IT expenses, to conceal their true nature and avoid scrutiny. The Municipal Finance Management Act (MFMA) would require Mr Zamani to report these irregularities to a higher authority, which would be the executive mayor, seeing as the municipal manager is implicated. The mayor would need to institute investigations the outcomes of which may require disciplinary action against those found guilty.

The mayor of the municipality is usually a political appointee, and if he/she and the relevant executive municipal leadership pursue the investigations the findings may reflect negatively on his/her political party. The business dilemma will result from the possible conflicting interests of the municipality and the mayor's political affiliation. These conflicting interests may then spill over into a conflict between the interests of the

community and the interests of the political party. This is also observable at a national level, where debates are common about whether political leaders serve the interests of the public, as envisaged in the constitution, or the interests of their political parties.

Professional ethical dilemmas?

Section 260 of the SAICA Code of Professional Conduct deals with the responsibilities of SAICA members in business in responding to non-compliance with laws and regulations. The Code requires the CFO to alert those charged with governance about acts contrary to treasury regulations and the MFMA. While the CFO may fulfil his professional responsibility by reporting the illegal acts to the mayor, it is possible that processes that should unfold could be unduly delayed by or come to a halt because of the mayor's political calculations.

In such an eventuality the Code requires the CFO to consider whether further actions are required in the public interest. It is possible that policies and procedures of the Waterfall municipality may preclude further action until processes initiated by the municipality's executive leadership to deal with the reported illegal acts have run their course. This would put the CFO in a professional dilemma as the pursuit of further action by his employer in the public interest may expose him to criminal liability. If he does not pursue further action, he may be reported to SAICA for his failure to fulfil his professional responsibilities.

Furthermore, the CFO has the professional responsibility for preparing financial statements in accordance with Standards of Generally Recognised Accounting Practice (GRAP).² In our case study, there have been financial reporting errors regarding legal expenses concealed as IT expenses. The CFO is professionally responsible for ensuring errors are corrected and reported in accordance with GRAP 3. Circular 68 of the MFMA mandates the municipality to report the irregular and fruitless and wasteful expenditure discovered by the CFO. The CFO's complying with GRAP 3 and Circular 68 of the MFMA would result in public disclosures of information that the municipal executive leadership would prefer not to be in the public domain. However, failure to issue financial statements compliant with the applicable reporting framework and laws and regulations would lead to non-compliance with the SAICA Code of Professional Conduct.

2 GRAP or Generally Recognised Accounting Practice is a set of accounting standards that apply specifically to the South African public sector and are issued by the Accounting Standards Board (ASB).



Ethical principles

Which of Mr Zamani's ethical values are challenged and how (based on the ethical values cited in the ISA's and the SAICE code of conduct)?

Professional behaviour

Mr Zamani's financial management responsibilities range from preparation of budgets to maintenance of internal controls and financial reporting. He must ensure that internal controls are enforced, to ensure tender processes comply with relevant treasury regulations to prevent irregular contracts from being awarded. He has a professional duty to ensure that all provisions of the MFMA, as they pertain to all his areas of responsibility, are adhered to.

Professional competence and due care

The CFO may not have been diligent in his responsibilities in that he may have placed too much reliance on the internal audit division. It appears that he blindly relied on the assurance given by the internal audit department in the irregularly awarded tender without himself undertaking a diligent review of all the related documentation. This review would have allowed him to detect problems in good time and undertake measures to prevent irregular and fruitless and wasteful expenditure. While the internal audit department at his previous employer might have been independent and diligent in its role, it remains his duty to monitor compliance with internal controls within his ambit of responsibility.

Integrity

Mr Zamani is expected to ensure financial reports contain honest information to facilitate correct decision-making by the municipal leadership and contribute to a trust relationship between Waterfall municipality and the community it serves. Hence, he must ensure the financial statements do not contain any errors, and that errors identified are corrected. The threat of non-renewal of his employment contract does not absolve him of the professional duty to be honest.

Accountability

The MFMA expects the CFO to be part of the executive leadership team that reports to the municipal manager. King IV requires Mr Zamani, as part of the leadership team, to demonstrate accountability. He must be willing to answer for all the financial statement errors and irregular activities within the supply chain section as this unit would normally report to

him. The municipal manager is the accounting officer of the municipality and, according to the MFMA and King IV, remains accountable despite delegating some of her responsibilities to the CFO. Therefore, Mr Zamani cannot consider his spiritual leader's advice to remain silent. The executive leadership of the Waterfall municipality, including the mayor, bears ultimate responsibility for all activities of the municipality. It is incumbent upon the executive leadership to ensure there is accountability for all reported allegations of impropriety.

Fairness

From the given scenario, it is clear that the improper behaviour was primarily driven by the municipal manager's desire for a particular election outcome during municipal elections. This implies that the interests of other stakeholders were ignored. Any irregular and fruitless and wasteful expenditure has service delivery implications for the community and may also affect salary increases that can be given to employees. However, the long-lasting effect may be an entrenched unethical culture within the organisation.

Principles 1 and 2 of King IV require leadership to set an ethical tone that is critical to establishing an ethical culture within an organisation. Municipalities exist to serve communities. Considering the interests of all stakeholders when making decisions may help the Waterfall municipality appreciate the seriousness of its responsibility and reduce incentives to pursue narrow interests.

Transparency

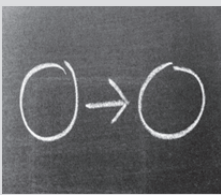
Corrupt activities tend to find their way into the public domain ultimately. The credibility of the Waterfall municipality's leadership would be enhanced if it were transparent about the allegations of improper conduct that have been reported and kept the community up to date on how these issues are addressed and dealt with. This proactive stance would reassure affected stakeholders that the leadership has nothing to hide and is preferable to a reactive approach that attempts to manage and control damage only once the wrongdoing is in the public domain. Trust is difficult to regain once it is lost.



Stakeholders involved

Who are the stakeholders affected by or able to influence Mr Zamani's decisions?

- Communities served by the Waterfall municipality – Service delivery to communities served by the Waterfall municipality would be adversely affected as funds are redirected to unwarranted causes.
- Municipality rates payers – Rates payers will bear the financial brunt of financial wastefulness through an increase in rates and taxes.
- Suppliers of the Waterfall municipality – The municipality may not have sufficient cash flow to pay its suppliers on time.
- Employees of the Waterfall municipality and their families – Wage increases may be lower than they could have been because of irregular and fruitless and wasteful expenditure.
- Taxpayers – Taxpayers may have to bail out municipalities that plunge into a financial crisis.
- The Auditor-General of South Africa (AGSA) – The AGSA may have to reconsider the audit opinion issued to the Waterfall municipality.



Consequence management

What are the possible consequences of the various decisions?

Contravention of treasury regulations, which resulted in the irregular IT systems tender

Following the investigation into tender irregularities, the mayor is empowered in terms of the MFMA to take action against persons found guilty. Normally this kind of investigation would be carried out by the municipal manager as the accounting officer. However, the mayor would have to institute the investigation if the municipal manager is implicated.

The AGSA has the power in terms of the Public Audit Act to establish whether the IT systems tender would constitute a material irregularity (MI). If the AGSA determines that there is an MI, she can refer the MI to the Public Protector or law enforcement agencies for further investigation. The AGSA can also make a recommendation in the audit report to the relevant accounting authority for how the MI should be addressed. If the accounting authority does not act, a binding remedial action can be issued by the AGSA. If the binding remedial action is not implemented, a directive can be issued requiring the accounting officer to quantify and recover the loss. If that fails, the AGSA can issue a certificate of debt in the name of the accounting officer.

If the irregular contract is referred to law enforcement agencies, legal action can be pursued for the contract to be declared null and void. If the contract were declared null and void, there would be financial implications for IPH Technologies. Money-laundering charges could also be pursued against IPH Technologies for agreeing to be a conduit for legal settlements made to bidders who are beneficiaries of a legal settlement by the Waterfall municipality. The same money-laundering charges could be pursued against these bidders as accepting legal settlement payments through IPH Technologies would make them collaborators in a corrupt scheme.

The ultimate goal of the measures that can be initiated by the mayor and or undertaken in accordance with the AGSA's recommendation would be to ensure recovery of any financial losses suffered by the municipality as a consequence of irregular contracts from all parties found guilty of wrongdoing. The financial losses would include bonus payments made on the basis of incorrect irregular and fruitless and wasteful expenditure data and legal expenses that could have been avoided if the tender process had been carried out in line with treasury regulations. Parties from within the Waterfall municipality who might need to undergo disciplinary proceedings would include the CFO, Head of Supply Chain and employees from the unit involved in the tender process, Head of Internal Audit, and the municipal manager.

Concealment of the true nature of the legal costs in the financial statements and irregular and fruitless expenditure

Mr Zamani is responsible for the preparation and presentation of fair and reliable financial statements in accordance with GRAP. The municipal manager, as the accounting officer, is empowered in terms of the MFMA to take action against Mr Zamani if financial statements of the municipality are incorrect. If the municipal manager is considered to be 'conflicted', the mayor would take over the responsibility. Mr Zamani would have to show that there was no wrongdoing or negligence on his part that contributed to the incorrect or misleading information in the financial statements.

The municipal manager or mayor could report the actions of Mr Zamani to SAICA. SAICA would then launch an investigation to determine whether charges could be preferred against Mr Zamani. If the investigation concludes that the charges are valid, Mr Zamani could be subject to a disciplinary process. If he were found guilty by SAICA, he could be fined, suspended or have his SAICA membership terminated, depending on the nature and gravity of his transgressions.

Approval of irregular tender process by the internal audit department

In the municipality context, the Chief Audit Executive (CAE) would functionally report to the audit committee of the executive municipal structure and administratively report to the municipal manager. The audit committee is responsible for the appointment and dismissal of the CAE. If the internal audit department agreed that the tender processes were undertaken correctly despite the glaring irregularities, the municipal manager could refer the matter to the audit committee.

If there is evidence implicating the municipal manager, given the allegation that she is in a relationship with the head of the internal audit department, the mayor would take over the process. The audit committee would undertake its own investigation and determine an appropriate sanction for the CAE and report to the executive structure of the municipality.



Additional information

What additional information from the scenario may be relevant to the decision?

- Whether there are measures in place at the Waterfall municipality to encourage and protect whistle-blowers.
- Whether an accountable, functional and transparent ethics committee exists within the executive structure of the municipality.
- Whether there were any audit findings by the AGSA relating to the IT systems tender at the time, and whether recommendations by the AGSA were implemented.
- The track record of the executive structure of the municipality in dealing with prior transgressions.



Reflection and 'food for thought'

Have you considered or given thought to ...?

- Mr Zamani was not directly involved in the tender process. Does he really need to be concerned about the salary and increases he obtained for the clean audits?
- What type of leadership style does the municipal manager portray?
- What type of ethical culture does this municipality have? Why is it acceptable for these things to take place? Could you see yourself in this municipality?
- What ethical behaviour does the spiritual leader portray? Should we always consider the opinions of our spiritual leaders?

**Ancillary material**

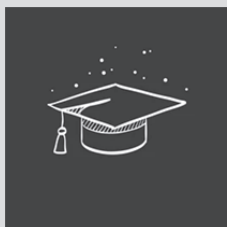
The following articles relate to real-life examples of tender irregularities.

- Hawks arrest eight over R25m 'toilet tender fraud' in Free State (timeslive.co.za)
- Tender scoring and tender fraud (SA-Tenders.co.za)
- Supply chain/procurement and tender fraud (ekurhuleni.gov.za)

Chapter 15

The king of the retail castle

Kwena Maseko (University of Pretoria)
Kato Plant (University of Pretoria)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Identify and describe the ethical values contradicted by the ethical dilemmas and evaluate the impact of the ethical dilemmas on the ethical values.
- Identify the stakeholders and explain how they are affected by the ethical dilemmas.
- Apply an ethics-based reasoning process to solve the ethical dilemmas that have been identified.
- Analyse and compare all courses of action and the consequences of each (such as disciplinary action) for unethical behaviour.
- Report ethics-related issues to higher levels of management, legal or regulatory authorities or others, when appropriate.

Level of knowledge

Intermediate to advanced



Case study

This case study focuses on ethics and governance, financial reporting and bribe schemes. The ethical dilemma arises in the retail sector.

After finishing in the top ten of both professional accountancy examinations,¹ Yumna received an email from the human resources (HR) director of a major retail company, Shopmore Ltd, listed on the Johannesburg Stock Exchange (JSE). He wanted to chat with Yumna about a senior management role in the Chief Financial Officer (CFO)'s unit and provided his contact number. Given that Yumna was specialising in the retail sector as an audit trainee, she was very excited about the prospect of joining a JSE-listed retail giant. The position presented her with an opportunity to explore and consolidate her knowledge of the sector and to develop specialised industry-specific skills.

The following morning, Yumna gave the HR director a call. He explained that his company wanted to invite her to apply for a senior manager vacancy as soon as she completed her training contract, which is part of the requirements of her qualifying as a professional accountant. He said that, given Yumna's exceptional results in the professional examinations, she was the calibre of candidate who would fit in with the high-performance culture of the finance unit. He was aware that there were eight months remaining in her training contract but assured her that she was worth waiting for. After the conversation, Yumna could not wait for her training period to end.

In January 2014, the moment arrived for Yumna to go through the interview processes, and everyone was convinced beyond reasonable doubt that she was the ideal person to join the elite finance team. Her depth of International Financial Reporting Standards (IFRS) knowledge amazed the CFO, who raved about her contribution to resolving complex IFRS issues. Yumna was not just a 'numbers' person but also possessed an extensive grasp of the company's operations. Therefore, when the Chief Operations Officer (COO) announced his retirement in December 2014, Yumna was highly recommended and, after following all the appropriate HR processes, she was appointed with effect from 1 January 2015, thereby becoming the company's youngest COO.

Yumna's primary mandate was to oversee the development of an online shopping platform. The new strategy endorsed by the board saw online shopping as an avenue for revenue growth. The board assured Yumna that she would have access to all financial resources and any support needed to ensure the development of an effective and efficient online platform that provided customers with the best online shopping experience. She was given a R2 billion budget and two years to

1 The professional examinations of the South African Institute of Chartered Accountants (SAICA) are the Initial Test of Competence (ITC) and the Assessment of Professional Competence (APC).

ensure the completion of a fully-fledged online shopping platform. She relished the challenge and could only think about what its successful completion would do to her reputation.

Not wanting to waste time, Yumna met the Procurement Director, briefed her about the specifications and requested that the process to procure a contract for the development of an online shopping platform commence in earnest. Following the completion of the procurement process, Absenture (Pty) Ltd was appointed on 1 March 2015. The on-line shopping platform project commenced in the same month and the first invoice was issued on 30 June 2015.

In one of the project update meetings the CEO of Absenture, Max Smith, in passing expressed appreciation for the community work that a charity foundation (Thutong) led by the CEO of Shopmore Ltd was doing in the public education fraternity. He indicated that Absenture was proud of the financial donations it had been making to Thutong since September 2014. Yumna asked why Absenture had started making donations to Thutong and this was the response from Max Smith:

'I thought you knew that service providers or manufacturers wanting their products on Shopmore's shelves have to make donations to Thutong. Our company does not mind making such financial donations because Thutong is doing phenomenal community work. There are many students from rural villages who are now Chartered Accountants (CAs), just like you. Was it not for the visionary people like your CEO, these bright minds could not have had this opportunity.'

Below are the invoices issued and paid for the online shopping platform development:

Invoice number	Invoice date	Amount (Rm)	Accounting classification
003578	30 June 2015	190	Research
003579	30 September 2015	210	Research
003580	28 February 2016	500	Development
003581	31 August 2016	530	Development
003582	31 December 2016	400	Development
Total		1 830	

On 10 January 2017, Yumna received a call from Max Smith asking for an urgent meeting. During the meeting Max indicated that during the testing phase, more gremlins were found in the information technology (IT) system and that a further R900 million (beyond the budgeted R2 billion) would be required to ensure that the online shopping platform operated efficiently and effectively. Yumna was extremely disappointed

because she wanted the project to be finalised on time and within the budget. Her mind now shifted quickly to ensuring that the planned launch date of 1 April 2017 was not missed. She contacted Shopmore Ltd's CEO and an urgent board meeting was convened. During the board meeting, Max Smith made a presentation after which Shopmore's CEO, Frans Antonio, said:

'Yumna, thank you for the progress so far. This is not your fault. I therefore request the board to approve the required R900 million to ensure we can launch our online shopping platform on 1 April 2017. The financial market will punish our company if we do not meet this expectation.'

The additional budget of R900 million was approved unanimously. Yumna asked how Absenture came to the figure of R900 million but was quickly shut down by Frans Antonio, who said the board needed to be forward-thinking and the immediate issue at that point was ensuring the launch happened on 1 April 2017. When Yumna left the meeting, she wondered why the six independent non-executive directors, including the Chairman, had not raised any issues. As she walked down the corridor, the CFO whispered in her ear that Frans Antonio's word was final and if she wanted to enjoy her stay at Shopmore Ltd she needed to bear that in mind. Yumna soon realised that four of the executive directors on the board of Shopmore Ltd were a close group of friends who had attended the same university and stayed in the same residence. In the corridors of the company, the four executive directors were called 'The SWAT'.

Yumna had weekly update meetings with Max Smith to ensure she was on top of things. She was assured by Max that significant progress was being made to address all the issues relating to the effective functioning of the online platform and that the launch would proceed as planned on 1 April 2017. On 27 March 2017, Max presented the final report to the board and assured the board that the online shopping platform worked properly. Frans Antonio expressed his appreciation for the great work Absenture had done and asked if the board would accept the report. The report was accepted unanimously, and the final payment was made to Absenture. On 1 April 2017, a big party took place at the Shopmore Ltd head office to celebrate the 'successful' completion of the online shopping platform.

However, customers who placed their orders experienced serious problems and vented their frustrations on social media platforms. Business journalists called Frans Antonio, wanting him to respond to customers' negative experiences of the online platform. His response was that very few customers had experienced problems and that most online shoppers' sales went through without any problems. He assured the media that the actual online sales revenue would attest to his statement.

Below are the quarterly sales revenue figures and share price movements of Shopmore Ltd for the year ending 31 December 2017 that were included in the announcements released via JSE:

	Quarter 1 Jan to Mar 2017 R	Quarter 2 April to June 2017 R	Quarter 3 July to Sept 2017 R	Quarter 4 Oct to Dec 2017 R
Store sales revenue	500m	500m	510m	520m
Online sales revenue	0	120m	230m	350m
Total sales	500m	620m	740m	870m
Share price	50	70	85	120

The share price movements made the executive directors instant multi-millionaires because of the share options they received as part of Shopmore Ltd's talent retention strategy. Yumna was surprised that in just one year the value of her share options had more than doubled in value to R12 million. She learned that most executive directors purchased luxurious properties by pledging their shares as security for the mortgage loans.

Yumna was surprised by the surging online sales figures, given the ever-increasing number of complaints from customers. She expected the figures to be tracing a downward trend instead. Her suspicions of the online sales figures were confirmed when the external auditors issued their audit findings on 15 March, following the audit for the financial year ending 31 December 2017.

The audit committee members expressed their concerns about the audit findings and requested an urgent meeting with Frans Antonio. They told him that the audit committee had tried its best to pressure the auditors to remove the audit findings but without success. They indicated that they had even threatened to replace the audit firm, but this threat was not successful either. Yumna soon learned that the audit committee consisted of three non-executive directors who had been in the same university class as that of the so-called 'SWAT' group.

The following is the summary of audit findings contained in the report from the external auditors, which the audit committee discussed with Frans Antonio.

- Sales to the value of R500 million that had not occurred were detected from online sales revenue: 40% of these sales were duplicated online sale transactions while the rest of the transactions were for customers who did not exist. The recommendation was for the R500 million online sales revenue to be reversed.

- Research expenses to the value R1.3 billion were incorrectly capitalised. The accounting standard on intangible assets (IAS 38) requires these costs to be expensed. It was recommended that R1.3 billion be included in the expenses. The R1.3 billion research expenses included two amounts, R190 million and R210 million, that were correctly identified as research expenses and an amount of R900 million that was incurred in dealing with problems presented by the online platform during the test run.
- The online platform was found to be overvalued according to the actual online sales data after online sales that had not occurred were removed. Therefore, an impairment loss of R450 million of the online platform development costs would need to be recognised.
- With the removal of online sales that had not occurred, the amounts reported for online sales significantly diminished each quarter. The impairment test conducted by Shopmore Ltd was based on projections which used the current incorrect online sales revenue data and therefore could not be relied upon. The reality was that actual online sales declined significantly.

By the time the audit committee finished briefing Frans Antonio on the audit findings, he was fuming. With his mathematical sharpness, he could figure out the impact of the audit findings on reported net profits and did not want to imagine what would happen to the share price should the information find its way to the business press. With his body trembling with anger and eyes staring at the Chairperson of the audit committee, he said:

‘Johnnie, I hope you understand that I am not paying you R2 million and the other board members R1.8 million each for auditors to get the better of you. Do you have any idea what will happen to the share price and Shopmore Ltd if the recommendations of the auditors were to be implemented? You must do everything you can to ensure that the audit findings on online shopping sales and impairment of intangible assets do not find their way to the annual financial statements. I thought no auditor would surpass your persuasive abilities, but quite frankly I am disappointed in you today. Next time you meet with the auditors, please consult with Yumna. She is a genius, and I am sure she will bring something fresh to your discussions with the auditors. Please keep me up to speed with any developments. I only want to hear good news.’

After meeting the audit committee members, Frans Antonio went to his office where he found Yumna waiting for him. ‘Just the person I am looking for,’ he said with a sigh of relief. He invited her to his office and asked about the reason for her visit. Yumna told him that the auditors wanted her to comment on the audit findings relating to the online sales platform and the related intangible assets recognised in the financial statements. She told him that she agreed with the audit findings,

following her detailed analysis of the online sales transactions. She was also concerned about Frans Antonio's non-disclosure of financial donations made by Shopmore's service providers and product manufacturers to his Thutong foundation, as required by the company's policy. She assured him she just wanted to make sure he did not find himself on the wrong side of the company policy.

Before she could finish, Frans Antonio stood up and shouted the following:

'Who do you think you are, Yumna? You have tasted the millions I am paying you and now have the audacity to be my uninvited counsellor. At the next board meeting, I want you to explain to the board why Shopmore spent R900 million above budget and why your stupid online platform is still not working properly. I shielded you at the previous board meeting, but because of your arrogance, you will have to take the heat at the next meeting. You will be shown the door and your share options will be history. You will understand what the word "respect" means. Close the door on your way out!'

Yumna left the office with mixed emotions: anger, fear, and despondency. 'I thought listed entities were paragons of virtue,' she said to herself as she walked away with tears welling up in her eyes. She was not sure what to do next, and at that point she felt herself falling down the corporate ladder that she had so swiftly climbed, falling from heroine to zero.



Ethical dilemma

What personal, business and professional ethical dilemmas are evident from the scenario presented?

Personal ethical dilemmas?

Yumna is aware that the CEO's failure to declare donations made by service providers to the charity foundation (Thutong) he founded is a violation of the Companies Act. She is also aware of the CEO's push to ensure that audit recommendations are not effected in the financial statements. If she reports the CEO in accordance with Shopmore Ltd's policies and procedures there is a real possibility that the board would fire her, inflict damage on her reputation.

While the company's policies and procedures may encourage and even require that unethical activities be reported, Yumna might find it difficult to report such activities, given the risks she would face. There is

also the added concern that there is insufficient whistle-blower protection in South Africa, as accounts exist of whistle-blowers who are no longer able to find employment or who are facing various forms of victimisation.

She should also consider several financial considerations in her decision-making. The strong share price growth has already made her R12 million richer through her share options. As the COO at a listed company, her remuneration would be significant. If the improper behaviour of the CEO is reported through the normal company channels and the board decides to dismiss the CEO, the fallout would cause the share price to plummet significantly. The value of the directors' share options would follow suit and the board may be forced to resign for its past failure to rein in the CEO.

Yumna and other board members could receive negative media attention, which would damage their career prospects. Board members who used their share options as security for loans could find their banks recalling their loans. They could be declared insolvent, which would damage their prospects of being directors of any company. For Yumna, the situation would be far worse because her career was just taking off. The possible financial losses and dim career prospects that could follow speaking out against the CEO's behaviour might persuade Yumna and her fellow board members to remain silent.

Listed companies usually have huge financial resources for legal fights. Reporting the unethical conduct of a CEO who is feared by the entire board could result in a David vs Goliath scenario. If Yumna dared to report the CEO, the company might institute legal proceedings against her, and she could run out of financial resources in having to defend herself against a corporate giant like Shopmore Ltd. In any event, the blame for the fictitious online sales transactions can be laid at Yumna's door, given that she was in charge of the development of the online system. With this in mind, Yumna could consider silence to be the best response.

Business ethical dilemmas?

Shopmore Ltd has a dominant and aggressive CEO whose word is final. Even the non-executive directors did not dare challenge him. A dominant CEO would be contrary to the JSE listing requirements and King IV, which all listed companies are required to comply with. A listed company is required to have a policy to ensure there is a clear balance of power so that one director does not have unfettered decision-making power. Furthermore, this situation indicates ineffective corporate governance, and at the board level, too. It is evident that even the Chairperson fears the CEO, given that he/she never challenged him.

While Shopmore has an independent majority of non-executive directors, it would appear that their 'independence' exists only on paper as most board members are the CEO's university friends. While no information has been given about the remuneration and social and ethics committees, it is possible that these could also be controlled by the 'SWAT' group, as are the audit committee members.

Shopmore Ltd could be in violation of the JSE listing requirements as to board composition. The disclosure of the improper composition of the board might raise the risk that Shopmore Ltd would be delisted by the JSE. Silence might be the solution to prevent that from happening.

The audit findings point to financial reporting fraud. The fraudulent financial reporting has resulted in the share price's increasing from R50 to R120. This significant growth might have reflected positively on the leadership provided by the board, at least in the public eye. Any disclosure to the effect that the board orchestrated a fraudulent financial reporting scheme would blemish the reputation of Shopmore Ltd and of its directors. It could be difficult for the company to restore its prestige and public image. There could also be criminal investigations by law enforcement agencies against the company and the board of directors. If the conduct of Frans Antonio is anything to go by, more financial reporting scandals might exist that Yumna is not unaware of.

Allowing the CEO's unethical behaviour and conduct to continue for any length of time could undermine any ethical organisational culture within Shopmore. Without the support of the board, any attempt to deal with unethical behaviour might not succeed. The ethical culture in a company is an indicator of the tone set by the company's leadership. Yumna might just be one of the few ethical voices suppressed by the corrupt CEO and his 'SWAT' team, making it difficult to establish an ethical culture within the company.

An opportunity to lay bare fraudulent financial reporting existed for the audit committee. However, the audit committee seemed to consider Frans Antonio its master. The response of the audit committee to the audit findings was to dismiss them without considering their merits. When that failed, the committee threatened to dismiss the auditors. The audit committee is highly remunerated, and its members are university friends of the CEO. This would present a difficult situation for the committee's members in that they would have to choose between allowing the changes to the financial statements recommended by the auditors or being loyal to a long-term friend, pushing against the auditors and keeping their financial perks.

In short, all governance structures designed to keep the CEO accountable and responsible, and to ensure that directors observe their fiduciary duties, are dysfunctional, leaving Yumna's the lonely ethical voice in Shopmore's top leadership structure.

Professional ethical dilemmas?

As a director, Yumna has a fiduciary duty to act in the best interests of the company. She and the other directors can be held personally liable in terms of the Companies Act for their failure to fulfil their fiduciary responsibilities. There is also a risk that they could be declared delinquent directors.

In the given scenario, acting in the best interests of the company would involve challenging the CEO, who is feared by the board members. The difficulty is the absence of structures within the company to facilitate the process of taking a stand against the CEO's corrupt behaviour. Anyone challenging the CEO to advance the interests of the company would have to do so with little protection, if any. Failure to push back against the CEO's improper requests would probably offer a short reprieve as it would be a matter of time before his misdemeanours are made public. When the improper conduct of the CEO is revealed to the public, the adverse consequences for the company and all its directors would probably be long-lasting. Each of these choices would have risks for Yumna to reflect upon.

As a professional accountant (CA(SA)), Yumna needs to abide by the SAICA Code of Professional Conduct. The Code requires Yumna and other board members who are CAs to alert those charged with governance about non-compliance with laws and regulations. Frans Antonio has a charity foundation to which Shopmore Ltd's service providers are required to make financial donations. This could not serve the interests of the company and would therefore be unlawful. The CEO has not declared this clear conflict of interest as he is required to do by Shopmore Ltd's policies and procedures.

As a JSE-listed company, Shopmore would have been required to issue announcements via the JSE about online sales data as such information would affect the share price. The external auditors found that most online sales transactions were fictitious, implying that the announcements would have been based on wrong data. The company is obliged to notify the financial market about the incorrect data. Failure to do so would violate the JSE listing requirements. However, alerting those charged with governance might not be fruitful, given Frans Antonio's domination of the board.

Yumna would have to consider whether further action is required after alerting those charged with governance and nothing is done. She could opt to take the easy route and resign, but the resignation of the COO who was in charge of the development of the game-changing online shopping platform would attract media attention. The board could then blame on her for all the online shopping platform shenanigans.

**Ethical principles**

Which of the ethical values cited in the King IV Report and The SAICA Code of Professional Conduct are challenged and how?

Professional behaviour

There are clear violations of laws and regulations as discussed above. As a professional accountant, Yumna must comply with laws and regulations including Shopmore Ltd's regulations pertaining to the reporting of unlawful conduct. She must fulfil all directors' legal obligations contained in the JSE listing requirements and Companies Act. Failure to comply would constitute a violation of the Code and could discredit the accounting profession.

As a member of SAICA, Yumna may be subject to disciplinary investigations and face possible legal proceedings by law enforcement agencies. She would have to resist Frans Antonio's request for the audit committee to include her in its attempt to remove the auditors. She did well by making Frans Antonio aware of his violation of the company's policies and procedures regarding the declaration of conflicts of interest. She would need to take the process further by following the company's internal processes to report Frans Antonio's unlawful conduct.

Confidentiality

While Yumna is aware of the unlawful conduct of the CEO and the audit committee, she must take cognisance of confidentiality requirements that might be contained in Shopmore Ltd's code of conduct. She would be allowed to divulge confidential information if required to divulge it by law, or if she received authorisation from Shopmore Ltd, or if a professional duty arose in the event of, for example, SAICA's carrying out an investigation against a member of the audit committee of Shopmore Ltd who is a CA.

Integrity

Yumna demonstrated her integrity by making Frans Antonio aware of his failure to disclose conflict of interest and by accepting valid audit findings. She was not able to ask Max Smith to provide a breakdown of the R900 million cost overruns from the online shopping platform development. She faced intimidation from the CEO and was also advised by the CFO not to challenge him. She would do well to continue to maintain her honesty and candidly express her views when there is questionable conduct. It is possible that her openness would allow other board

members to follow suit and express disapproval of the CEO's domination and unlawful conduct.

Objectivity

The way the audit committee members dealt with the audit findings provides the clearest example of a lack of objectivity. The audit findings were not evaluated on the strength of audit evidence available but purely on what would be acceptable to the CEO. The approach of the audit committee thus violated the principle of objectivity. (The audit committees of listed companies usually have members who are professional accountants such as CAs.) However, Yumna demonstrated objectivity by accepting the audit findings based on the audit evidence presented. She should not allow Frans Antonio and other members of the audit committee to influence her otherwise.

Fairness

King IV requires directors not to equate the interests of the company with those of shareholders. They are encouraged to adopt a stakeholder approach in the exercise of their duties. Frans Antonio seems concerned about what would happen to the share price if valid audit findings result in corrections to the financial statements. This shows that he sees shareholders as his primary concern and is willing to adopt unethical measures to protect the share price value (an unsustainable business practice). However, ultimately the share price will correlate with the actual financial realities of Shopmore Ltd. When that happens, many stakeholders will be adversely affected. These stakeholders will also include shareholders. Yumna would do well to remind the CEO and her fellow board members that a change is required from shareholder-focused decision-making to a stakeholder-based approach whereby shareholders are one of the many stakeholders whose interests must be served by the company. This latter approach ultimately results in sustainable business success.



Stakeholders involved

Who are the stakeholders affected by or able to influence Yumna's decisions?

The CEO is effectively taking bribes from suppliers and wants the company to hide problems with the online shopping platform. If Yumna and other board members succumb to his intimidation and keep silent,

various stakeholders would be adversely affected. Below are a few examples of stakeholders who would be affected.

- *Employees*

Costly and unjustifiable excess expenditure on the online platform may necessitate reduction of staff count to keep expenses under control. The company also risks losing skilled employees who might not want to associate themselves with its unethical culture and business practices.

- *Shareholders*

When news ultimately reaches the media about fraudulent financial reporting, the share price could collapse and destroy shareholder value.

- *Suppliers*

Good and reputable suppliers (who encourage fair trading) may not want to be associated with Shopmore Ltd because of the bribery scheme devised by Frans Antonio.

- *Johannesburg Stock Exchange*

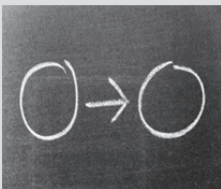
Shopmore Ltd risks being delisted by the JSE for its non-compliance with King IV and the JSE listing requirements.

- *Auditors*

The auditors may consider whether expressing an unqualified audit opinion would be appropriate given the audit committee's quest to avoid implementing valid audit findings. Further, they may consider resigning as auditors of Shopmore Ltd as their independence is threatened by the pressure exerted by the audit committee. Their resignation would be likely to cause panic in the financial markets.

- *Customers*

Customers may not be getting good quality products, as suppliers are selected on the basis of their willingness to pay bribes to the CEO's charity foundation (Thutong). Furthermore, customers' negative online shopping experiences seem to be dismissed by Shopmore's leadership, which may affect their loyalty to the business.



Consequence management

What are the possible consequences of the various decisions?

Product suppliers and service providers' being required to fund (pay bribes to) the CEO's charity foundation (Thutong)

The charity foundation's activities may be a way of lending credibility to Thutong and its founder, Frans Antonio. Thutong may be a channel for receiving funds in the form of cash payments, which may benefit Shopmore's CEO. It appears that the functions held at the entity's premises were financed through these cash payments. Accepting funding from suppliers would probably be a violation of the company's code of conduct. The company would need to investigate the purpose of the charity foundation, its relationship to the company, any conflicts of interest, and whether the funds of the charity foundation are utilised for community work as intended. Should these investigations point to any contravention of the company's policies or other regulations, the company should institute disciplinary hearings and action against Frans Antonio. However, owing to his dominance of the board, these disciplinary proceedings may come to nothing. The matter may have to be referred to law enforcement agencies for investigation and possible prosecution of Frans Antonio. If the auditors become aware that the CEO required suppliers to make donations to his charity foundation, they would be within their rights to report a material irregularity, which would require the board to take action against the CEO.

The response of the audit committee to the audit findings of the auditors

One of the functions of the audit committee in terms of the Companies Act is to receive and deal appropriately with concerns about the content and auditing of the company's financial statements. In this regard, the audit committee violated the Companies Act by pressuring the auditors to abandon audit findings supported by valid evidence. An independent Chairman of the board is required to take action against the deceitful audit committee members, which may include legal action. Stakeholders affected by the illegal conduct of the audit committee may seek legal recourse against the audit committee members. This may include the recovery of financial losses suffered, which could ultimately lead to the individual committee members' being declared delinquent directors. To the extent that some of the audit committee members are professional accountants and members of SAICA, complaints can be lodged with SAICA. SAICA would then carry out investigations and, if it were to find the member guilty, fine him or her and ultimately cancel his or her membership.

Failure by the CEO to declare a conflict of interest as required by the company's policies

According to the Companies Act, directors must avoid situations where their personal interests are in conflict with their duties to the company. By requiring suppliers to make financial donations to his charity foundation, Frans Antonio has put himself in a situation where his personal interests clash with those of the company. A consequence of this conflict of interest is that suppliers might be selected and approved according to whether they are willing to make financial donations to Thutong. It is quite possible that Absenture was awarded the procurement contract for the new online shopping platform on the same criterion. The excess R900 million expenditure should have been investigated prior to approval, as it might have highlighted Absenture's inability to meet the contractual requirements. This could have resulted in Absenture's being excluded as a service provider for this contract and in another service provider's being appointed to complete the development of the on-line shopping platform in time and within budget. Legal action could therefore be pursued by the company against Frans Antonio for his failure to avoid a conflict of interest.



Additional information

What additional information from the scenario may be relevant to the decision?

- The action taken/recommended by the audit committee against the auditors to persuade the latter to abandon their audit findings.
- Whether other board members continue to tolerate the unlawful and inappropriate conduct of Frans Antonio.
- The existence and effectiveness of a social and ethics committee and ethics officer.
- Whether shareholders are able to ask difficult questions and hold the board accountable at the company's AGMs.



Reflection and 'food for thought'

Have you considered or given thought to ...?

- How fixation on the share price movement may affect the company's financial reporting and corporate governance.
- The role the independence of registered auditors plays in the fair presentation of financial statements.
- How it has become difficult to hide the truth about a company's problems (e.g. the online shopping platform issues in this case study) in the world of social media.
- The impact of the 'tone at the top' on the ethical culture within an organisation.
- How the lack of an independent audit committee undermines reliable financial reporting.
- The role 'truly' independent non-executive directors can play in holding executive directors accountable for the company's affairs.
- Ethical dilemmas professionals with integrity have to contend with in organisations with poor ethical cultures and how they can best respond such experiences.



Ancillary material

The following article relates to real-life examples of wrongdoing by board members in the retail industry.

<https://www.news24.com/fin24/companies/steinhoff-fraud-scandal-was-it-all-to-boost-share-price-20210318>, by Jan Cronje (19 March 2021)

Chapter 16

Rexel Cash and Carry

Talya Segal (University of Witwatersrand)
Zakiyyah Varachia (University of Witwatersrand)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal, business and/or professional ethical dilemmas apparent in the scenario.
- Identify the ethical values contradicted by the ethical dilemmas and evaluate the impact of the ethical dilemmas on the ethical values.
- Identify the stakeholders affected by the ethical dilemmas.
- Apply an ethics-based reasoning process to solve the ethical dilemmas that have been raised.
- Analyse all courses of action and the consequences of each (such as disciplinary action) for unethical behaviour.
- Report ethics-related issues to higher levels of management, legal or regulatory authorities or others, when appropriate.

Level of knowledge

Intermediate to advanced



Case study

This case study focuses on the ethical conduct of a company's directors who attempt to increase returns using methods which are not always in accordance with laws and regulations. The subsequent implications for the business are also considered. The ethical dilemma arises in the fast-moving consumer goods (FMCG) sector.

A Background and structure of Rexel

Rexel Cash and Carry (Pty) Ltd is a family-owned wholesale business that operates in the fast-moving consumer goods (FMCG) sector.¹ The current financial year-end is 31 December 2020. The types of products offered by Rexel include food, beverages, toiletries, and home care products. The products are provided in bulk to a range of independent traders and commercial users throughout South Africa.

Rexel has established strong and reliable business relationships with a wide range of suppliers. This has enabled the business to provide cost-effective prices and excellent customer service, enabling Rexel's customers to take advantage of many lucrative promotions. There are ten Rexel stores throughout South Africa (see Figure 16.1). These stores are trusted suppliers to many hard-working South African consumers. A unique service offered by Rexel is stokvel partnerships, which is discussed below.



Figure 16.1 Rexel Cash and Carry stores.

Rexel prides itself on having a strong and robust corporate governance structure enhancing the efficiency of operations. (Table 16.1 illustrates Rexel's corporate governance structure.) In an interview held with well-known financial journalist from Business Online, Sindi King, in September 2020 the CEO of Rexel (Selebi Nkosi) was quoted as saying: 'Good corporate governance is about "ethical honesty" and not just ticking boxes. Rexel practises good corporate governance with pride and honesty.'

¹ FMCG companies operate in markets where the profit margins are low and therefore require a larger market share to be profitable. Products provided by FMCG companies are products that sell at a fast rate, are affordable and used regularly by consumers.

Table 16.1 Rexel Cash and Carry's corporate governance structure.

Director	Position	Audit Committee ²	Remuneration Committee	Nomination Committee	Risk Committee
Mr Selebi Nkosi	Chair-person and CEO	Chair	✓	✓	✓
Mr Franc Nkosi	Sales Director	✓	✓	✓	✓
Mr Peter Nkosi	CFO	✓	✓	Chair	✓
Mr Rail Nkosi	Non-executive	✓	✓	✓	Chair
Ms Cindy Nkosi	Non-executive	✓	✓	✓	✓

Selebi Nkosi owns 60% of the issued shares in Rexel and has been CEO and chairman since he founded the company in 1982. Selebi is a professional accountant, having completed his training contract at a smaller audit firm in Gqeberha (Port Elizabeth).

Franc Nkosi (Selebi and Peter's brother) is an unrehabilitated insolvent, having been sequestered in 2018, after the collapse of Nkosi Ltd (an unrelated company).

Peter Nkosi completed his accounting training contract in 2018 at one of the large auditing firms. Directly after obtaining his qualification and registering as a professional accountant, he was appointed CFO of Rexel. He succeeded Neil Singh, the previous CFO, who was dismissed.

Rail Nkosi (Selebi, Franc and Peter's dad) has a master's degree in marketing.

Cindy Nkosi is a director in five other companies and has more than five years of experience in the cash and carry business. She currently owns 5% of the issued share capital and has an option to purchase an additional 2% for R60 per share (the current market value is R90 per share). She and Franc recently got married at Sun City.

2 As Rexel is a family-owned business all the directors are members of all the committees. The Board considers this structure to be effective and efficient.

B Stokvel³

Rexel was one of the first wholesalers in the FMCG sector to form stokvel partnerships. Given the lead that Rexel managed to build with this initiative, this proved to be a major attraction for many stokvels and has set Rexel apart from other entities. In the same interview with Sindi King, Selebi Nkosi was quoted as saying:

'The stokvel market is a very important component of many South Africans' lives which goes unnoticed. There are around 11 million South Africans who form part of stokvels and save around R50 billion annually. At Rexel we have decided to start stokvel partnerships to ensure that stokvels can benefit from the FMCG sector which has neglected this vital economic institution.'

The purpose of stokvel partnerships is to provide economical collective hassle-free bulk purchasing for consumers. Rexel provides secure systems for money collections and special prices for stokvel events. It has close to 5 000 stokvel partnerships with over 70 000 individual members. Stokvel money is secure and there are no additional charges on accounts. Stokvel funds are kept in an account which is separate from Rexel's bank account. The interest that accrues is distributed to the different stokvels and forms part of their account balance. Stokvel groups can request a balance or statement of account at any time.

Peter Nkosi withdraws funds from the stokvel bank account on a Friday and deposits them into Rexel's account for the weekend. On Sunday evening Peter transfers the funds back into the stokvel accounts. As a result, no money is stolen from the stokvels, and if they request a statement on Monday morning the balance is correct. This action enables Rexel to earn interest on the funds over the weekend. Peter believes that he is helping the stokvels because had it not been for the initiative started by Rexel stokvels would not have been earning interest. Furthermore, Rexel does not charge the stokvels any additional fees for stokvel services.

C Cigarette smuggling

In the same interview, Sindi King (SK) discussed the impact which the Covid-19 lockdown had on the operations of Rexel. Selebi Nkosi (SN) indicated that because Rexel provided many essential products the business was not as severely affected as other businesses. However, he did indicate that Rexel was not fully spared from the impact of the lockdown and the pandemic.

3 Stokvels are invitation-only clubs of twelve or more people serving as rotating credit unions or saving schemes in South Africa. Members contribute fixed sums of money to a central fund on a weekly, fortnightly or monthly basis.

Sindi King went on to discuss cigarette smuggling with Selebi Nkosi (cigarette smuggling became common during the pandemic). Although Rexel is not directly involved in the production of cigarettes, allegations have been levelled against it that it is part of a consortium involved in the illicit distribution of cigarettes. Illegal cigarettes are cigarettes that are sold in informal markets and are considered illegal because the required excise taxes have not been paid. During the lockdown in South Africa, the most common form of illegal trade was locally produced cigarettes that were not declared (because of the prohibition on the sale of cigarettes) and in respect of which therefore no tax was paid to the South African Revenue Services (SARS). The following is an extract of this portion of the interview.

- SK:** During the hard lockdown it is well-known knowledge that the sale of illegal cigarettes boomed during this period. It has been reported that the individuals involved in illicit cigarette sales earned a significant amount of money, in cash if I may say, given the high increase in prices charged – the demand was high, and supply was low. No tax whatsoever was levied and the full proceeds went to whoever was involved in the chain. It has been alleged in social media news that Rexel was a major distributor of these cigarettes. Although no products were sold in their stores during the actual ban it has been uncovered by an independent, investigative news agency, Blanche Cate Investigative Reporting, that Rexel was acting as an intermediary between the manufacturers of cigarettes and the distributors of the cigarettes. Sources who have decided to remain anonymous due to safety concerns indicate that Rexel was a key pick-up point for the cigarettes manufactured by your well-known, politically connected cousin, James Nkomo.
- SN:** I have indicated on numerous occasions that Rexel has not been involved in any illegal trading or the distribution of any illegal cigarettes.
- SK:** You have been extremely vocal against the cigarette ban. In an online publication you have been quoted as saying the following in the public: 'This government better watch out! Dealing in illicit cigarettes is lucrative and easy. It only costs about R2 to produce a packet of twenty cigarettes. So, you can avoid tax and make a bigger fortune than if you were to smuggle cocaine. If you are caught with illicit tobacco, you get a fine; if you are caught with hard drugs you go to prison – this is a no-brainer.'
- SN:** Sindi, the fact that I have been open regarding the condemnation of the cigarette ban does not mean I have been involved in the illegal trade. All I did was make the government aware of why individuals would engage in illegal cigarette trading. Also, if you think of it, many individuals were not employed during this period and in some cases were either not earning any salary or experienced significant reductions in earnings and were even retrenched. Do you blame these so-called 'illegal manufacturers' for wanting to

produce cigarettes and earn some money? We keep on referring to these manufacturers as the villains, but all they did was sustain their families who were without any income. Why are they considered to be lawbreakers for wanting to earn an income? You and I both know about the unemployment rate in our country, which is a discussion for another day. Always remember, Sindi, there are two sides to a coin.

D Media coverage – tax compliance

The following articles relating to Rexel's previous tax assessments appeared in the *Business Express* newspaper in January and February 2021 respectively.

SARS's major R50 million win against Rexel for tax evasion

By Simon Bell – 2 January 2021

The SA Revenue Service (SARS) on Thursday welcomed the judgment of the Supreme Court of Appeal (SCA) that ended the protracted dispute with Rexel Cash & Carry, involving approximately R50 million in tax evasion. The fines and penalties for the tax evasion imposed by SARS are estimated to be close to R1 billion.

SARS said it was committed to combating intentional tax evasion and was concerned with the compliance levels within the FMCG industry. There are different schemes such as:

- 'Ooplang' schemes where the full amount including VAT is collected from customers but not declared to SARS, and therefore not all of the VAT is paid to SARS
- 'Ghost Exports', which is where goods are marked for export and are zero-rated, but they are actually not exported
- Manipulation of loan accounts
- Claiming fraudulent invoices for VAT and income tax purpose
- Utilisation of intermediary shell companies to create invoices.

The judgment comes after an investigation by SARS into the use of sale suppression systems and the manual manipulation of books of account by Rexel. It appears that Rexel had a set of books for SARS and a set of books for other stakeholders such as banks. The investigation revealed the understatement of sales and the manipulation of stock figures.

In one case there was a difference of more than R10 million between the amounts recorded and what was declared to SARS. Further information has emerged that implicates Rexel in the alleged bribing of the Financial Services Board chief executive, Mr Dailius Daily.

It was also found that the previous CFO and good family friend, Neil Singh, who was instrumental in the above schemes, also stole around R15 million from Rexel and transferred the money to personal accounts.

No comment had been received from Rexel at the time of publishing the article.

A series of unfortunate events – Rexel's woes seem to continue with the closing of certain branches

By Simon Bell – 15 February 2021

Rexel, the well-known wholesaler, has been hit by further bad news since SARS imposed extensive fines and penalties on this family-owned business.

In an effort to pay the amount to SARS, the wholesaler had to liquidate two of its branches. The losses incurred as a result of its tax evasion practices are impacting not only the Nkosi family: their effects are now extending to ordinary South Africans.

Approximately 300 workers have lost their jobs because of the closure of these branches. It is yet unknown whether additional branches would have to be closed in order to settle Rexel's debt with SARS.

Rexel has indicated that the steps taken by SARS are unwarranted and, instead of growing South Africa, SARS is destroying South African businesses, thereby escalating the already high unemployment rate in the country.

SARS has reiterated its stance on combating tax evasion and indicated that the fine is payable within 30 days.

It is not yet known what the impact of the alleged illegal cigarette dealings is on the dealings of Rexel; only time will tell. Rexel's management has indicated that they are losing customers because of the negative news, and they fear that this may have a significant impact on the business and its operations.

E Discussion between the CFO and the Financial Manager

On 18 February 2021, a discussion was held between Peter Nkosi and the financial manager, Lily Naidoo. Peter Nkosi told Lily to remember to submit the annual financial statements to the bank as soon as the audit was finalised. Peter indicated to Lily that he did not expect any changes to the unmodified 2020 audit report and the report would not be modified in anyway. The 2020 financial statements would be used to extend the existing loan, which was repayable at the end of December 2021. Peter reminded Lily that the classification should remain as non-current as the loan was likely to be extended for a further 2 years, resulting in the repayment's becoming due only after 12 months. Peter mentioned how important this classification was, given the impact that the incorrect classification would have on the key financial ratios of Rexel. Lily agreed with Peter and proceeded to discuss other matters including the latest stock count.

Lily mentioned to Peter that the allowance for obsolete inventory for the current year might need to increase when compared to the prior year, given the results from the latest stock count. She noted that certain items appeared to be extremely dusty, some packages were torn and damaged and other inventory, if not sold, was going to expire soon

after year-end. The stock count team noted this and identified that R1 000 000's worth of inventory items needed to be written down as they could not be sold. Peter said that the items could be sold; Rexel would reduce their selling price and mark them as 'reduced to clear'. In this way no write-off would be required. He also indicated that a new policy for the allowance for obsolete inventory would be applied for 2020. Lily indicated that she would review the policy, but a quick glance at the policy gave the view that the current year's allowance would be significantly less compared to the allowance in prior years.

F Ethical considerations

Part A – Background and structure of Rexel



Ethical principles

What ethical issues arise from the information provided in Part A?

Based on the information provided, there are a number of contraventions of the Companies Act and of King IV. (Rexel is a private company, therefore there is no requirement that it comply with the principles of King IV (a listed company, on the other hand, is required to comply with King IV given the requirements of listing). However, as indicated in King IV, the requirements of King IV are meant to be universal and not limited to a specific type of entity, industry, or sector. Good corporate governance is encouraged by its 'apply and explain approach' and benefits all organisations.) The contraventions are as follows.

- Rexel's CEO indicated that good corporate governance practices are applied; this does not appear to be the case, given the structure of the governing body, as Principles 7 and 8 are not followed.
- There are no independent directors in the governing body. This is a major concern. Given that the governing body consists of family members, having independent directors can assist with conflict resolution and provide impartial opinions and viewpoints. The Nkosi family have a vested interest in Rexel and therefore may make decisions for their own benefit and not always act in the best interests of the company.
- Having Selebi Nkosi as the chair of the board is not aligned with King IV. He will not add much value, given that he is not an independent non-executive director. He will not be able to fulfil the requirements

of a chairman, which includes leading the governing body in an objective manner to ensure the roles and responsibilities are discharged. Given that Nkosi is the CEO conflicts of interest will arise when he is leading the governing body, given his daily involvement in the affairs of Rexel.

- Given the ineffective composition of the governing body, the composition of the sub-committees is also not in accordance with King IV. The sub-committees are meant to execute roles and responsibilities on behalf of the governing body. If their composition is not correct it is questionable how effective they will be in discharging their responsibilities. For instance, the Remuneration Committee should consist of non-executive members the majority of whom should be independent. As there are executive members, it is not certain that the committee can ensure that remuneration awarded is fair, responsible and transparent.
- The structure of the Audit Committee is not aligned with the recommendations of King IV. It also breaches section 94(4)(b)(i) of the Companies Act in that members of the committee should not be involved in the day-to-day running of the company.
- Selebi Nkosi made public comments to the effect that Rexel practises good corporate governance. Given the above issues the comments cannot be true.
- Franc Nkosi is an unrehabilitated insolvent and consequently is therefore disqualified from acting as a director in terms of section 69(8)(b)(i) of the Companies Act.
- It is likely that Rexel Cash and Carry has a public interest score of more than 500. Therefore, it is compulsory that the company have a social and ethics committee in place. There is no such committee and the Companies Act regulation 43(1) is thus contravened.

Part B – Stokvel



Ethical principles

What are the different ethical issues that arise from Peter's actions? Consider applicable codes as well as classical ethical theories. (King IV is not a compliance requirement for private companies, but the ethical characteristics of a leader are applicable and universal.)

Codes of professional conduct

Peter Nkosi is considered a professional accountant and is required to comply with the IFAC Code of Professional Conduct (CPC). Peter must comply with the requirements of integrity, objectivity, professional competence and due care, and professional behaviour.

The money that is deposited by stokvels does not belong to Rexel: it belongs to the members of the different stokvels. Transferring the money to Rexel's account means that interest is not accruing to members; rather, Rexel is benefitting from the stokvel funds.

This behaviour is not aligned with the principle of integrity in that this practice cannot be considered straightforward and honest. Furthermore, the fact that interest is being diverted to Rexel cannot be considered fair dealing. There is no indication that the members of the stokvels have agreed to this behaviour. The governing body is not being transparent, honest and straightforward in its actions.

This action can cause a self-interest threat to professional behaviour and would bring the profession into disrepute if discovered.

With respect to Part B, the other principles are not affected

Can Peter's behaviour be considered aligned with the King IV ethical characteristics?

- Integrity

Peter's action is not performed in good faith. The movement of funds for interest is not in the best interests of the company. Should stokvel members or someone else with an interest in the company find out about it, the added negative publicity would only add to the company's already tarnished image. This in turn would adversely affect other role players such as investors and employees.

- Fairness

Peter's action is unfair to the stokvel members, who are stakeholders of Rexel, as it disadvantages them. Rexel's approach cannot be considered stakeholder-inclusive. Overall, it amounts to fraud, and this cannot benefit anyone with a vested interest in the company.

- Transparency

The funds are moved for only the weekend, so that if anyone queries the balance the statement balance will reflect correctly on business days. The company's act is intentionally misleading and not transparent. The company will be unable to justify its action despite the reasons for it.

- Responsibility
Responsibility is closely linked to integrity. As a director, Peter must act in a responsible manner, i.e. act in the company's interests. The movement of funds will benefit the company in the short term, but if investigated it can only cause negative outcomes.
- With respect to Part B, the other characteristics are not affected.

Can Peter's actions be justified in terms of the classical ethical theories?

Peter's explanation that his behaviour is in the interests of Rexel is not justified in terms of the ethical theories.

In terms of deontological ethics, Peter's action cannot be considered ethical as it does not comply with the principles of universalisability and reversibility. His action can be considered a form of theft and is not an action that should be a universal law and followed by all other people. We would not want to live in a world where people steal money and justify such action. Peter would also not appreciate it if the same action was reciprocated and would not approve of such action.

The virtue theory focuses on an individual's character. Peter's action – stealing from the stokvels – cannot be considered a habit that should be developed to meet a specific outcome or goal. This is because developing this habit would not lead to the right choice in the face of an ethical challenge.

Lastly, in terms of utilitarian ethics, an action is considered good when it causes happiness to the majority of those who are affected. Peter's action will not cause happiness for stokvel members and therefore would not be in accordance with utilitarian ethics.

Part C – Cigarette smuggling



Ethical dilemma

Considering Selebi Nkosi's comments relating to cigarette smuggling, what ethical (personal, business and professional) dilemmas are evident from the scenario presented?

Employees of illegal cigarette manufacturers

Given the high unemployment rate in South Africa, what are your views of employees who worked during this period and contributed to the illegal cigarette market? Some points to consider:

- Would the behaviour of these employees be considered unethical if the motive was to support their families?

- Can their actions be justified although they assisted in producing a product that is illegal?
- Should these employees have left their employment rather than assist in the production of the cigarettes when the government ban was implemented?
- Should the employees have reported these illegal consortiums to law enforcement agencies?

The money generated by these illegal cigarette sales is not taxed, and billions in tax are lost to the illegal cigarette market. These taxes could have been used to uplift the South African community.

Individuals who manufactured the cigarettes during the lockdown

- Some of these manufacturers produce illegal cigarettes that are not taxed. What are your views on this?
- During the ban on cigarettes instituted because of the lockdown, there were companies that shut down. This resulted in employees' losing their jobs and income. Are companies unethical for trying to keep their companies afloat?

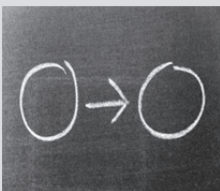


Stakeholders affected by the tax compliance matter (Part D)

Which stakeholders of the business are affected by the tax compliance issue?

- Investors
- South African Revenue Service (SARS)
- Customers
- Suppliers
- Employees.

Part D – Media coverage and tax compliance



Consequence management

What are the possible consequences of the tax compliance issue for the business and financial statement preparation?

Consequences for the entity of the tax evasion

It is clear from the media coverage that Rexel has evaded tax through various schemes and strategies. Tax evasion constitutes an illegal operation and has already resulted in significant fines for Rexel. The financial impact on the company is evidenced by the liquidation of two of its branches. There is also reputational damage to Rexel, as evidenced by the second article indicating the loss of key customers.

The above factors, combined with a general weak economic environment, would place pressure on the key liquidity and solvency ratios of Rexel.

Management should create an ethical environment encompassing ethical leadership as part of the governance of the entity.

King IV explains the governance of ethics as the role of the governing body in ensuring that the ethical culture within the organisation is aligned with the tone set by the governing body through the implementation of appropriate policies and practices.

Rexel's management needs to implement appropriate policies and practices to ensure that an ethical culture is created in the organisation in order to ensure that tax evasion schemes and other illegal and unethical practices do not become the norm for the decision-making policies of the business.

Consequences for the financial statement preparation of the tax compliance effects on the entity

Management needs to assess whether there are significant doubts about the going concern of Rexel (IAS 1). Management would then need to assess whether any mitigation plans/actions are in place to make the going-concern basis appropriate.

Should management conclude that the going-concern assumption is appropriate, specific financial statement disclosure requirements would be necessary in terms of IAS 1 (paras 25 and 122–133) considering

- disclosure of the material uncertainties relating to Rexel's ability to continue as a going concern
- disclosure of the feasibility and effectiveness of management's actions or plans in response to the events and conditions that cast significant doubts on Rexel's ability to continue as a going concern
- disclosure of the assumptions the entity makes about the future and other major sources of estimation uncertainty at the end of the reporting period.

If management concludes that the entity is no longer a going concern because Rexel intends to liquidate, cease trading or has no realistic

alternative but to liquidate or cease trading, Rexel can no longer prepare the financial statements on a going-concern basis. The financial statements would need to be prepared on an alternate basis.

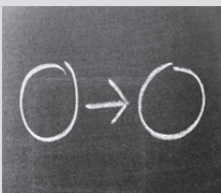
Corrective actions that can be implemented to avoid such tax compliance issues in future

In terms of the employment practices of the company, there needs to be a thorough background check on individuals, particularly on individuals who are appointed in management positions. This will ensure that individuals who are in a managerial position will promote a culture of ethics and honesty.

The company should also implement whistle-blowing channels to allow employees to report non-compliance.

Ethical codes and policies should be drafted and implemented in the company. The codes need to be emphasised to employees via different mediums such as training sessions, newsletters, websites and signage in and around the buildings. If violations are noted swift action must be taken against the parties who are involved in the unethical conduct.

Part E – Discussion between the CFO and the Financial Manager



Consequence management

What are the possible consequences if Lily decides

1. to follow instructions and leave matters as instructed?
2. not to follow Peter's instructions and to tell him why?

Consider the ethical implications of these consequences and the technical implications.

1. Decision to follow instructions

CPC considerations

- Peter's behaviour in requesting the loan to be incorrectly classified and requiring a lower inventory allowance cannot be considered ethical behaviour. Such changes to the annual financial statements would mean that the annual financial statements do not fairly present the company's financial state.
- A professional accountant is required to act with integrity and should not be associated with information that contains a

materially false or misleading statement. Manipulating the financial statements would mean that the annual report does not fairly present the company's financial state.

- Peter is not acting with professional competence and due care or acting diligently and in accordance with applicable technical standards in that the annual financial statements are not fairly presented.
- Lily, as a professional accountant in business, is required to comply with Part B of the IFAC CPC. Section 220.4 states that
 - 'When preparing or presenting information, a professional accountant shall:
 - (a) Prepare or present the information in accordance with a relevant reporting framework, where applicable; and
 - (b) Prepare or present the information in a manner that is intended neither to mislead nor to influence contractual or regulatory outcomes inappropriately'.
- Should Lily accede to Peter's request she would not be following section 220.4 in that the work presented would not be in line with the relevant IFRS and the amounts disclosed would be misleading.

King IV considerations

- If Lily follows Peter's instructions, the reports issued by Rexel will not be considered a fair presentation of the affairs of Rexel. As a result, they would not meet the requirements of Principle 5 of King IV, which requires reports to allow stakeholders to make informed assessments. Incorrectly classifying the loan means that the bank would extend the loan on the basis of false information, when in reality it would not have extended the loan had the correct classification been followed. If the inventory is not written down and the correct allowance accounted for, inventory will be overstated. Furthermore, it appears that these misstatements would affect key financial ratios which stakeholders such as banks appear to be concerned with. Put another way, the interest of the bank as a stakeholder would not have been considered. Other stakeholders would also use the annual report to make decisions. Given that distorted information is being provided, their decisions would not be informed decisions.
- The distorted financial statements would be a breach of section 29(2)(a) of the Companies Act, which states that the annual financial statements of a company must not be false and misleading.
- These misstatements would also be in contravention of Principle 13 of King IV, which states that the governing body should govern compliance with applicable laws, codes and standards.

2. Decision not to follow instructions

- If Lily does not follow Peter's instructions, accounting standards and laws and regulations would be complied with.
- Lily may need to consider her reporting responsibility in terms of NOCLAR.
- Lily would act ethically by not following Peter's instructions, but her employment and relationship with her superior would be affected.
- By not following instructions Lily would demonstrate sound ethical standing and not be in contravention of the CPC.



Reflection and 'food for thought'

Have you considered or given thought to ...?

1. The holistic impact of a company's actions when the company ignores corporate governance principles and practices. Consider all the different stakeholders that may be affected by a decision taken.
2. The importance of ethics in business and the consequences of actions that do not follow the principle that one treat others as one would like to be treated.
3. The fact that ethics cannot be separated from business acumen. Ethics is part of daily business life.
4. Why the character of the leadership of a company is fundamental in ensuring that a company focuses on profits while also considering the different stakeholders involved.

Chapter 17

‘Must I continue to pay taxes if they are stealing this much?’ A tax dilemma for a typical South African citizen

Sitembele James (WSU)
Chuma Njomeni (WSU)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected of the professional accountant in resolving the ethical dilemmas?

Learning outcomes

- Identify and analyse the relevant personal and professional ethical dilemmas apparent in the scenario.
- Identify the ethical concerns apparent in the scenario that lead to conflicts between personal and professional values and ethical theories.
- Identify the stakeholders affected by the ethical concerns identified above.
- Apply an ethics-based reasoning process that is informed by ethical frameworks, professional codes of conduct and ethical theories to solve the ethical dilemmas that have been identified.
- Analyse all courses of action and the applicable consequences of each (such as disciplinary action) for unethical behaviour.

Level of knowledge

Intermediate to advanced



Case study

This case study focuses on tax morality. It explores a question asked by many South African taxpayers: 'must I continue to pay taxes if they are stealing this much?'

The case study refers to the misuse of public funds, given that funds are collected through taxes for the provision of public services.

You are a qualified professional accountant and a registered SARS tax practitioner. You were recently appointed an audit manager at Siyakhula Professional Accountants and Auditors, a small firm based in Mthatha, Eastern Cape. Part of your job is sourcing clients to aid the firm's growth as it seeks to establish itself in the area. You decided to join a gym and fitness centre at Jabs City Mall in Mthatha, mainly to get fit but also to widen your network, with the intention of getting more clients for your employer in the area.

You initiated conversations with several members in the fitness centre, handing out your business card and after a while met a young couple who work as general practitioners at the local hospital. They expressed their intention to open their own surgery. You saw this as a potential business opportunity for your employer and decided to keep in contact with them. After commencing with the new business, they identified the need for an accountant to assist with the 'starting up' processes. You recommended your employer's services, but they convinced you to do this in your own capacity as a professional accountant and to invoice them the same fee that would have been charged by your employer. This was a new idea to you, but you agreed as the tasks to be performed were rather straightforward. Your invoice was also settled without a hassle.

Very satisfied with your service and efficiency, the couple referred Luvuko, a friend of theirs, to you. Luvuko is a sole shareholder of a small company in the construction industry. The company has a small accounting department that handles all SARS-related compliance queries internally. After filing the 2020 tax return and receiving its assessment, SARS selected the company for a tax audit. Luvuko, uncomfortable with letting his small accounting department deal with SARS queries on its own, requested that you perform a pre-audit and prepare his team for the audit. He also requested that you play a role in the background throughout the whole process, which you agreed to do. Luvuko was very happy with your contribution and the audit outcome. You invoiced him your fee and he paid it almost immediately into your personal bank account.

Luvuko was eager to maintain the business relationship with you as your contribution made the audit process less of a headache for everyone. He invited you to dinner at his home in Fort Gale (a suburb of Mthatha) and you accepted the invitation. During the conversations you noticed that Luvuko was involved in several charities to whom he made some donations during 2020. At the end of the dinner, he invited you to his network's social event.

At the social event he challenged you to make a monetary contribution to one of the NGOs located outside Mthatha, where the event was hosted. He asked to pledge a donation of R50 000. This was a great networking opportunity for you, but you did not feel comfortable with making such a large monetary contribution. You view the income tax (in the form of Pay as You Earn – PAYE) that you pay over to SARS monthly as large enough. All the tax that you and other working South Africans collectively pay as PAYE should be enough public funds to make all South Africans' lives better. You also believe that if it was not for the blatant corruption in South Africa, there would be no need for NGOs to perform social welfare services and you are strongly against supporting their existence.

On 1 July 2021, when the tax season for individuals opened in South Africa, you decided to complete your tax return. As a SARS tax practitioner, you always make it a point to follow news relating to SARS. While you were completing your return, the tax ombudsman of South Africa was interviewed on radio. The question-and-answer session was flooded by complaints from taxpayers about administrative issues that are not attended to by SARS, including complaints about incorrect tax assessments that were not resolved for desperate ordinary South Africans. You could not help but shake your head in disgust as you have had similar experiences. One of the listeners called in and posed a question that resonated with you: 'what is the incentive for South Africans to declare all their income and pay taxes if the money collected by SARS is looted with no consequences?'

You were stirred by this question and, having received a total of R45 000 from the services you rendered to the young 'starting up' couple and Luvuko's construction company, you asked yourself whether you had any incentive to declare this income in your 2021 tax return and thus have to pay tax on it.



Ethical dilemma

What personal and professional ethical dilemmas are evident from the scenario presented?

Personal ethical dilemmas?

Personal ethics are one's own values or normative standards that determine what one considers to be good, right and just behaviour towards others. Your ethical convictions will play a key role in how you approach ethical dilemmas.

Not disclosing your extra income in your tax return, and thus not paying tax on this income, may seem like the right thing to do, given your reasoning that public funds (which have been contributed mainly by taxpayers) are being misused by government officials.

While this is an ethical dilemma for you, there are also legal implications for non-compliance with the Income Tax Act, for not disclosing taxable income to the tax authority, SARS. Your moral stance on this ethical dilemma will determine your decision on a course of action.

In addition to the non-disclosure of income for tax purposes, there is another ethical element that should form part of your consideration of the ethical dilemma. You are receiving income in your personal capacity as a professional accountant while performing your employment duties. You should have provided the medical practitioners and the construction client with your services in your capacity as an employee of Siyakhula Professional Accountants and Auditors, not in your personal capacity. Is personally receiving the income the right thing to do?

Some theories on ethics may provide a structure for your thought process.

- *Virtue ethics*

Virtue ethics concerns the moral character of a person. It is concerned with how you are inclined to make ethical decisions by drawing from how you grew up and how the environment around you has influenced your ethical conviction. The key questions here are:

- Do your personal values allow you to falsify your income tax return by not disclosing your full income?
- Was it correct to have rendered the services in your personal capacity (personally pocket the income) and not as part of your employment duties?

- *Deontological ethics*

A universal 'rule' applies here. The concern is not on the consequences of one's actions or the harm caused to one's personal interests. Instead, the focus is on motives and the willingness of individuals to act for the good of others even though that action might result in personal loss. Non-disclosure in the tax return of the income generated will lead to loss of revenue for SARS, and therefore loss of public funds for the provision of services to fellow South Africans, while only you will benefit (from the lower income tax expense). Both your employer and SARS will lose income while you personally benefit. This ethics theory will guide you in your decision whether to disclose the income to SARS (if the service is rendered in your personal capacity) while this ethics theory will guide you further in your deciding whether to render the service in your capacity as an employee and not in your personal capacity. It is worth looking at the following concepts as well:

- *Universalisability*: The fact that you are not disclosing your personal income is not a universal law.
- *Reversibility*: Would you be willing to live in a world where no professional accountant discloses his or her income. What impact would such widespread non-disclosure have on society?

- *Utilitarianism*

Take into account the consequences of the decision in terms of what is best for society (e.g. the majority of those affected). The majority of the other parties (e.g. employer, public at large) affected by your actions will be negatively affected in that your decision to work in your personal capacity and to evade taxation will result in your employer's and SARS's losing out on revenues. Therefore, not continuing these actions seems like the right thing to do.

Professional moral dilemmas?

You are a registered member of a professional accountancy body and therefore bound by the rules and regulations of the code of conduct prescribed by that body. Consideration should be given to whether your actions and decisions are in conflict with the expected standards, principles and rules of conduct specified by the professional body. Your adherence to a code of conduct also gives credibility to the services that you render to society. If your actions are in violation of that code, the reputation of the profession and the professional body may be tarnished.



Ethical principles

1. As a professional accountant, which ethical values would you need to take into consideration?
2. What else should you be considering with regard to your actions?

1. Ethical values that you need to take into consideration

- *Integrity*

Having integrity entails being straightforward and honest in all professional and business relationships.

Your integrity becomes questionable when you in your personal capacity provide services for a fee that your employer provides.

Key questions here are:

- Does your employer know you are providing services in your personal capacity (have you disclosed these activities to your employer)?
- Are you being honest and straightforward in your relationship with your employer?
- How far can you go to make money? Is it money at all costs?

You are strongly against NGOs and making monetary contributions to them, but because it is a great networking opportunity you are considering attending the event. Will you make Luvuko aware of your discomfort or are you going to attend for the possible financial gain?

It appears that you are not being straightforward and honest in your business relationship with Luvuko. Should the way that you managed to be appointed to assist with the SARS audit process not be questioned? Did you act fairly and justly?

Luvuko seems so happy with the outcome of the SARS audit that you assisted with, it seems that he knew something was wrong and expected another outcome. Attending the dinner is fair, but in the light of everything else, should the dinner invitation not be questioned?

Integrity also implies fair dealing and truthfulness. Falsifying your tax return would mean that you are not being truthful in your personal dealings with SARS.

- *Objectivity*

Objectivity requires a professional accountant not to compromise professional or business judgements because of bias, conflict of interest or the undue influence of others. As a professional accountant, you would need to consider whether your decision to help the 'starting up' surgery business and assist Luvuko's construction company with the SARS audit is in conflict with your employers' policies and your employment contract. Most companies prohibit employees from rendering in their personal capacity the same services that those companies offer. The proposal that you provide professional services in your personal capacity gives rise to a conflict of interest. You may have been torn between accepting a 'healthy' fee in your personal capacity or honouring your employment contract and abiding by the company policies. It seems that you failed to uphold the ethical principles of professional conduct in selecting a course of action when you were approached by the young couple and received the referral to Luvuko.

- *Professional behaviour*

Professional behaviour requires a professional accountant to comply with the relevant laws and regulations and avoid any conduct that the professional accountant knows or should know might discredit the profession. Performing without your employer's knowledge the services that your employer provides may be against its internal policies and code of conduct. The conflict of interest your actions give rise to may put the profession into disrepute.

Considering not declaring your total receipts and accruals for the year is a serious matter. If you decide against declaring the receipts from the surgery 'starting up' processes and Luvuko's construction company, you are in contravention of the Income Tax Act and the Tax Administration Act and are therefore not behaving ethically and professionally

2. Tax Administration Act considerations

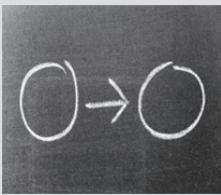
You need to consider the fact that you are a registered tax practitioner and should, in this capacity, conduct yourself in a professional manner. Acting in an unprofessional manner may result in your being reported in accordance with the provisions of Chapter 18 of the Tax Administration Act for unprofessional conduct.



Stakeholders involved

Who are the stakeholders affected by or able to influence your decision?

- Your employer
- Fellow employees
- The professional accounting body of which you're a member
- SARS
- The public (less public funding will be available because of reduced tax collections).



Consequence management

What are the possible consequences if

1. you decide to continue servicing clients in your personal capacity?
2. you decide not to declare to SARS your additional 'off payslip' receipts and accruals?

Should you decide to continue servicing clients in your personal capacity, the result may be that you do not bring any new clients to the company. You would be using your employer's time to service your personal clients. This would have a negative impact on your performance and career progression. This practice might lead to your dismissal.

Should you decide not to declare your additional 'off payslip' income, you are committing a crime, which could have severe consequences for you. SARS would charge you interest and penalties for under-declaring income if it were to discover your failure to declare. You would in all likelihood be reported for unprofessional behaviour as a tax practitioner and could have your tax practitioner status revoked. The professional body could subject you to disciplinary processes, which could result in revocation of your designation or in the imposition on you of a hefty fine.



Additional information

What additional information from the scenario may be relevant to the decision?

You are working in a senior role in a small firm that is seeking to grow. The small firm may not survive negative media reports of your questionable conduct. As an audit manager you are regarded as a senior employee.



Reflection and 'food for thought'

Have you considered or given thought to ...?

1. How would the media react to your opinions and actions as a professional accountant and tax practitioner and how would your opinions and actions affect the profession and your employer, the accounting firm?
2. How would media reports tarnishing the name of the accountancy profession affect aspiring professional accountants in the process of completing an accredited degree at university or their training contract? What about those aspiring professional accountants who look up to you as an inspirational and accomplished young accounting professional?
3. Disregarding the principles of the professional code of conduct that you must comply with as a professional accountant, what courses of action would you personally take, given the ethical dilemmas in the case study?
4. Think of the ways you have handled ethical dilemmas in your life thus far and your chosen courses of action. Which of the three ethical theories discussed in this chapter do you believe you subscribe to?
5. Have you identified any clashes between your personal ethics, guided by the ethical theory you subscribe to, and the professional code of conduct you must abide by as a professional accountant?

6. Are there any additional stakeholders you believe should be considered in deciding on a course of action? What about prospective employees of your employer? Would you not be standing in the way of their employment by servicing potential clients of Siyakhula Professional Accountants and Auditors in your personal capacity and thus hindering the growth of the firm?
7. What is your take on tax morality in South Africa?



Ancillary material

The following articles relate to tax morality in South Africa.

Copy the links below into your browser to access the articles.

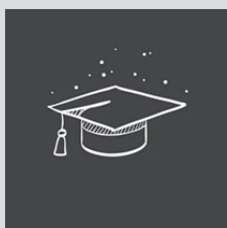
<https://www.accountancysa.org.za/is-south-africa-experiencing-a-decline-in-tax-morality/>

<https://www.moneyweb.co.za/financial-advisor-views/tax-morality-and-the-south-african-dilemma/>

Chapter 18

Walking the talk

Gerrit Penning (University of Pretoria)
Sihaam Shamsoodien (University of Cape Town)



Learning outcomes and level of knowledge tested

What are the learning outcomes covered by the scenario?

What level of knowledge is expected in resolving the ethical dilemma?

Learning outcomes

- Understand the importance for an organisation of establishing an ethical organisational culture as a governance outcome.
- Identify and understand the difference and relationship between the formal and informal ethics management systems that organisations can implement to establish an ethical organisational culture.
- Understand the importance of a balance of power amongst the governance structures for the purpose of establishing an ethical organisational culture.
- Identify and analyse the personal and business ethical dilemmas arising from the scenario.
- Apply different ethics theories when analysing the actions needed to resolve an ethical dilemma.
- Apply the values contained in the King IV Report on Corporate Governance relating to the ethical conduct of members of the governing body.
- Identify and evaluate the stakeholders affected by the ethical dilemmas.
- Apply an ethics-based reasoning process to determine the possible consequences of decisions that are made about the ethical dilemmas.
- Discuss possible alternative courses of action to resolve the ethical dilemmas.

Level of knowledge

Advanced



Case study

This case study focuses on the governance of ethics in the organisational context. Specifically, it relates to ethical organisational culture as a governance outcome. The ethical dilemma is set against the backdrop of the food manufacturing industry.

You are the recently appointed ethics officer of Super Foods Ltd, a large manufacturer of a wide range of processed food products including canned fruit and vegetables, canned fish, cold meats, and baked snacks. Thousands of the company's products are bought from retail stores by consumers every day. Super Foods Ltd was established approximately 30 years ago and is listed on the JSE Ltd.

Although you are a qualified ethics officer, you are not a professional accountant nor are you registered with any accounting body.

Prior to your appointment you were excited to learn that the position of ethics officer had become available at Super Foods Ltd. Having worked mostly for medium-sized unlisted companies in the past, you saw the opportunity to work at a large, national and listed manufacturer such as Super Foods Ltd as the ideal next step in your career. The position at Super Foods Ltd also pays very well and few other employers can match the benefits offered.

You were impressed by the value statement on Super Foods Ltd's website when you researched the company in preparation for your job interview. An extract from the value statement follows:

Value statement

At Super Foods Ltd we believe that the South African consumer of food products deserves only the safest and highest quality of foods. That is why we at Super Foods Ltd ensure that ethics are integrated into each step of the food manufacturing process. By focusing on the health and well-being of the consumers of our products, Super Foods Ltd ensures a trusting relationship between the company and its stakeholders. Trust in our products is therefore our number one priority.

Business ethics at Super Foods Ltd

During the job interview, you were assured that the company places a high value on ethics. The company does so by implementing an ethics

management system of which its code of ethics forms part. The code is available on the company's website for all to read. It makes it clear that employees are to ensure the company is and is seen to be a good corporate citizen and can be relied upon to engage in only ethical conduct towards its stakeholders. Other ethics controls include annual ethics training for employees, an ethics induction programme for new appointees and an ethics officer who is supported by a team of ethics practitioners who monitor adherence to the Super Foods Ltd's business code of ethics. The company also maintains a list of disciplinary measures for those who transgress the code.

You were also told during the interview that the company is experiencing some financial difficulties but that actions to prevent a further decline in profit have been put in place. You were assured that the company expects a turnaround in its financial situation soon.

Just prior to accepting the appointment, you perused the content of Super Foods Ltd's code of ethics and found that the company's approach to business ethics appears to align well with your personal ethical values.

Your appointment as the ethics officer of Super Foods Ltd resulted in an increase in salary from your previous earnings. You were able to obtain finance to upgrade your car to a brand-new luxury model and you signed a rental contract for a much bigger and more modern apartment than the one you were staying in.



For consideration

Super Foods Ltd has a formal ethics management system. Is such a 'formal' ethics management system, consisting of controls such as a code of ethics, ethics training and an ethics officer, sufficient to establish an ethical organisational culture? If it is not, what else is necessary?

Allegations of a contaminated food product

Soon after your appointment as ethics officer you received a phone call from an investigative journalist working for a reputable media company. Without implying wrongdoing by Super Foods Ltd, she asked whether you are aware that several members of the public had been hospitalised with a serious illness because they had consumed contaminated canned fish products. She was 'asking around' to find out whether Super Foods Ltd might have anything to say about the matter.

The journalist's query came as a surprise to you. Fearing that Super Foods Ltd's manufacturing process might be the cause of the illness,

you arranged for laboratory tests to be conducted on a random sample of the company's food products. The results indeed showed that some cans, containing tuna meat, were contaminated. The contamination was due to oxidation (rust) on the inside of the can after the tuna had been inserted. Eating meat contaminated in this way leads to exactly the symptoms experienced by the members of the public who had been hospitalised.

When you confronted the manager and assistant manager of the canned fish manufacturing division (the division's management team), both acknowledged that to save costs the division had purchased very cheap cans for some batches of tuna. They further acknowledged that they were aware of the oxidation process that happened in the cheap cans but hoped that people would eat the tuna meat before the rust started setting in. The management team justified their conduct by telling you that 'everybody else is doing the same' and asking 'how else are we to get ahead in this company?'

You know that the board of directors was adamant that all divisions attempt to save money on the manufacturing of products this year, while keeping selling prices steady. In fact, as an incentive to save costs, the board authorised a commission structure whereby the management team of each manufacturing division receives a percentage bonus based on the cost savings that their division could generate.

Further investigation by your office revealed that the chief quality officer (CQO) of the company, Mr Harris Fordyce, who was an executive member of the board, had several suppliers of canning and packaging materials added to the list of authorised suppliers, increasing the range of ordering options available to divisions. These suppliers have reputations in the industry for providing 'highly affordable' but sub-standard materials. Mr Fordyce overrode certain due diligence procedures that are normally required when suppliers are added to the company's list of authorised suppliers.

It is evident from the reply of the management team of the canned fish manufacturing division that there are discrepancies between the formal and informal aspects of the ethics management system at Super Foods Ltd. Formally (on paper), ethics is held in high regard, as stipulated by the value statement of the company: 'we believe that the South African consumer of food products deserves only the safest and highest quality of foods'. Informally (in actual fact), the organisational culture of ethics seems to leave little room for food product safety. Furthermore, the culture is such that employees feel compelled to engage in unethical behaviour if they are to follow the governing body's prescriptions for costs savings and if they want to receive performance bonuses based on those cost savings.

continued

Making matters worse is how some members of the governing body appear to make it easier for management to engage in unethical conduct. The CQO, for example, may have deliberately sidestepped important procedures aimed at ensuring the quality of potential suppliers. Management is now free to choose products from suppliers who deliver cheap but sub-standard canning and packaging materials.



For consideration

- Would you say there is congruence or incongruence between the formal (what they say) and informal (what they actually do) aspects of the ethics management system at Super Foods Ltd?
- Does the organisational culture encourage or discourage ethical behaviour?
- In what ways do members of the governing body support or discourage ethical behaviour?

You realised that it will only be a matter of time before the journalist discovers the true cause of the hospitalisations and makes her findings public. In fact, judging by the lab results, the problem was much worse than you expected. Consequently, you prepared a report on the matter in which you set out the full range of the products affected by the use of sub-standard canning and packaging materials. You also urged an immediate recall of the affected products from retail store shelves, despite the significant expense this would require.

You submitted your report to all the members of the company's social and ethics committee. The committee consists of two non-executive directors and one executive director, who is also the chairman of the committee. The chairman happens to be Mr Fordyce, the CQO. In reply to your report, Mr Fordyce sent you an email in which he 'CC'd' the other members of the committee. He told you that the board deems cost savings an important way to prevent the company from falling further into serious financial difficulties – difficulties it has been experiencing since the beginning of the financial year. He emphasised that a recall of products might crush the company financially. He added that the ethics office should rather 'keep its nose out of the financial affairs of the company' and instead 'focus on updating the annual ethics training course'. One of the non-executive directors on the social and ethics committee subsequently phoned you and told you that, although he agrees with your report's recommendations, he is too scared to disagree with the CQO when it comes to matters discussed at meetings of the committee.

You are concerned that, should information about the medical risks of consuming the affected products become public (for instance, via an employee acting as a whistle-blower), Super Foods Ltd would probably have an immense public relations crisis on its hands, not to mention possible legal claims by consumers who might sue Super Foods Ltd for medical expenses incurred. However, you are also aware that, should the company's financial situation deteriorate further, support functions such as the ethics office would probably be the first to see budget cuts and lay-offs of staff.



For consideration

Do you think it is a sound corporate governance practice to have an executive director be the chairman of the social and ethics committee?

Do you think your report could have been dealt with differently if a non-executive director were the chairperson of the committee?

Are there weaknesses in the governance structures at Super Foods Ltd, i.e. does the social and ethics committee appear to be effective? If it is not effective, what are the possible causes of its inefficiency, from a governance perspective?

It is important to refer to the law and governance practices. First, the Companies Regulations, 2011 indicate which types of companies are required by law to have a social and ethics committee. Barring certain exemptions, all listed companies must have such a committee (regulation 43). Regulation 43 does not, however, state the responsibilities of the committee concerning ethics specifically, focusing instead on social aspects. It requires that at least one of the committee's members should *not* be involved in the day-to-day activities of the company.

In Principle 8, practices 68–70 of the King IV Report on Corporate Governance, King IV goes further in recommending practices for the social and ethics committee. It suggests that the majority of the committee's members must be non-executive directors. There is no recommendation about who must chair the committee, but Principle 8 stipulates overall that, to enhance independent judgement and the effective discharge of the governing body's duties, there should be a balance of power amongst the company's various governance structures (such as on the board and its committees). In the present scenario, one of the executive members of the governing body dominates the social and ethics committee's decision-making, as shown by the one non-executive member's fear of the CQO.

continued

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Perhaps your report would have been taken more seriously by the social and ethics committee if it wielded more power in the organisation and was more independent of the executive directors. If the committee is not taken seriously by the governing body, its ability to influence the organisation's culture as it relates to ethics, regardless of the committee's composition, is limited.

Ultimately, the more power that is concentrated in the hands of only a few directors in the company, let alone just one director, the greater the risk that the formal and informal ethics management systems will not be able to serve as a check and balance on the power those directors wield, increasing the chances that the unethical behaviour of directors will go either undetected or unopposed.

You informed the chief executive officer (CEO) of the company, Mr Jeffrey Lamola, about your concern and gave him the same report you submitted to the CQO. However, after a week, the only action that was taken was that the two members of the management team of the canned fish division were put on a week's unpaid leave. They were not subject to a disciplinary hearing but were instead reprimanded in an email by Mr Lamola, saying that their 'unethical behaviour will not be tolerated by the governing body'. Shortly thereafter the CEO came back to you and told you that the matter was now closed and that the board would not take any further action. You have concluded that perhaps the only way to go about this matter is either to ignore it or to inform the investigative journalist about your laboratory findings.



Ethical dilemma

What personal and business ethics issues are identifiable in the scenario presented? Consider the following:

- What is the self-interest you have in this ethical dilemma?
- Who are the others who could be affected by your decision?
- What is the self-interest that Super Foods Ltd, as a for-profit company, has in the matter?

Personal ethical dilemmas?

The matter can be viewed through the lens of the definition of ethics: behaviour is classified as good or right when it is not only good for the self but also good for others.

You have a self-interest in this matter, which leads to a personal ethical dilemma. You might want to keep your job, especially given that it pays well. It enabled you to finance a luxury car and rent a bigger apartment. In addition, you were eager to work for a large, listed company such as Super Foods Ltd, given the career prospects it offers. You might not be able to find an opportunity like this again anytime soon. On the other hand, will you be able to live with your conscience knowing that people will continue to become seriously ill and be hospitalised if you take no action?

There are others who could be affected by your personal ethical dilemma:

- your staff in the ethics office, who have an interest in keeping their jobs
- managers of the governing body who engaged in wrongdoing and would not want the matter to come to light
- members of the public, who rely on the company to manufacture food products that are safe to consume
- suppliers who could provide the company with safe canning and packaging materials but who were rejected for suppliers of sub-standard materials.

Recall that self-concern is not necessarily bad – it is in fact important. For self-concern to lead to good behaviour though, the behaviour should take the interests of others into account. What is the good pertaining to the matter? The following questions can be asked in this regard:

- Would it be the right thing for you to keep quiet about the matter?
- Would it be the right thing for you to 'blow the whistle' by informing the investigative journalist about the true cause of the food contamination, being the manufacturing process of Super Foods Ltd?

Some theories on ethics may provide a structure for your thought process.

- *Virtue ethics*

Virtue ethics concerns the moral character of a person. Virtues become deeply ingrained in a person's character over time and predispose a person to certain behaviour. Would it be admirable of you to blow the whistle? Would you be expressing 'good character' if you were to do so? Virtue ethics is more concerned with your moral character as the reason why you would blow the whistle than it is with a duty to do so or the consequences of your decision.

- *Deontological ethics*

Is there a deontological component to the dilemma – in other words, is it considered your moral duty to blow the whistle, given any rules and regulations around whistle-blowing, regardless of your moral character or the consequences of your decision? You might refer to the maxim 'do unto others as you would like them to do to you', a universal 'rule' in terms of which you make moral decisions.

- *Consequentialist ethics*

Take into account the consequences of the decision, in terms of what is best for society (e.g. for the majority of those affected: utilitarianism). What is good for the thousands of consumers who buy the company's products every day compared to what is good for, say, your staff members in the ethics office, who stand to lose their jobs if the company must undertake cost-cutting?



Additional information

What are at least three alternative actions you can take to deal with this personal ethical dilemma other than ignoring it or informing the media?

- **Ask for advice.** Carefully consider the reporting lines in the company. To whom are you supposed to report? To whom does that person report? You may be able to obtain advice from other members of the governing body, such as members of the audit committee who will most probably be non-executive directors. You could

also consult the company's chief audit executive, head of human resources, the in-house health and safety officers or possibly the company's in-house legal counsel.

- **Report the matter to regulatory authorities.** Should none of those in higher positions of power in the company be able or willing to address the situation satisfactorily, you could consider approaching outside parties other than the media, such as the food safety inspectors at the Department of Health, food industry regulators at the Department of Trade Industry and Competition, etc. Much of the moral duty in this situation would then be shifted from you to parties who are for all intents and purposes better equipped to deal with the situation in accordance with societal expectations and the law.
- **Resign from the company.** Resigning would remove the self-interest you have in retaining your position, but moral implications would arise from your *inaction* in not dealing with the matter: the unethical behaviour would surely continue unabated, and members of the public would in all likelihood continue to fall ill from consuming contaminated food products.



Ethical principles

Do you have a professional obligation to keep the matter confidential? As you are not a professional accountant, the fundamental principle of confidentiality does not apply to you. Regardless, even if you were subject to confidentiality requirements, it could be argued that you would still have a moral duty to report the matter in order to prevent people from facing serious illness and hospitalisation.

Business ethical dilemmas?

The business is attempting to save costs by using cheaper canning and packaging materials. According to Mr Fordyce, the CQO, this is important for ensuring the financial sustainability of the company. However, the effect of the cost savings is the negative health and medical consequences for consumers of the company's food products. Members of the governing body, particularly executive members, may have their own self-interests in the matter, such as receiving large bonuses based on net profit. However, in this section we are dealing with the company's ethical dilemma and not with the dilemmas of any manager or member of the governing body.

It would appear that, if the company is not able to maintain or improve profit levels by cutting costs, it could face a dire financial situation. The

use of sub-standard canning and packaging materials is one way that the company is attempting to preserve itself financially.

What is Super Foods Ltd's self-interest in the matter? The company may want to maximise profits by keeping income levels steady while reducing costs. This would be in the best interests of the company's 'bottom-line' and, at least over the short-term, seem to benefit not only shareholders but also employees who continue to receive their salaries and wages.



Ethical principles

Which ethical values of the members of the governing body are challenged and how? (Base your answer on the ethical values for members of the governing body described in the King IV Report, Part 5.1, Principle 1 and the responsibilities of those members set out in Principle 2.)

As the ethics officer, you are not a member of the governing body. However, it is important to consider how the leadership of the company, i.e. the members of the governing body, have enabled the ethical dilemmas you and the business are facing.

- *Integrity*

Integrity entails that members of the governing body act in good faith and in the best interests of the company. They are responsible for setting the tone for an ethical organisational culture.

By not acting against the use of sub-standard canning and packaging materials by the management teams, the CEO and CQO are not exhibiting integrity. Integrity, according to King IV, is the quality of being honest and having strong moral principles. However, even though an important value of the company is food safety (as set out in its value statement), the directors are creating conditions in which dishonesty can flourish. It is not honest to say that one deems safety a priority but then allow cost savings that lead to contaminated food products.

Are the members of the governing body acting in good faith and in the best interests of the company?

The directors are for all practical purposes encouraging management to save costs by making use of sub-standard canning and packaging materials. Although it may appear that cost-saving is in the best financial interest of the company in the short term, the long-term repercussions for the company, both reputational and financial,

could be dire. The directors are therefore not acting in the long-term best interests of the company to ensure sustainable business value.

Are the members of the governing body setting the required tone for an ethical organisational culture to flourish?

King IV requires the governing body to 'exercise ethical and effective leadership towards the achievement of an ethical organisational culture' as a governance outcome. It would appear that at least some members of the governing body are creating an environment within which the management teams of the food manufacturing divisions are able to engage in unethical behaviour. Thus, even though those members of the governing body are not directly engaging in the unethical behaviour themselves, they are setting the tone for management to follow.



Additional information

Do you think the non-executive directors of the governing body knew of the food contamination and hospitalisations before the time of your report?

From a governance perspective, non-executive directors of a company play an important role in balancing the power that executive directors have. In the present scenario, more information is needed as to whether directors other than the CEO and CQO knew about the effects of the cost savings drive, especially the effects on food safety in the company. We know only that the 'board' approved the cost savings incentive for management.

Non-executive members of the governing body, including any such members of the social and ethics committee, might not have known that the cost savings drive instituted by the board (of which they are part) was in fact leading to food contamination. However, it is reasonable to assume that the CEO and CQO knew about the effects of the food contamination, given their insistence that the matter not be dealt with. If the fear that the one non-executive director has of the CQO is any indication, it could be argued that, even if the non-executive directors know about the unethical conduct, they might not have the courage or willingness to stand up against it.

- *Competence*

According to King IV, competence involves 'possessing the skills and attributes and exhibiting the conduct that are used to define and measure the suitability for a certain role or function'.

A distinction can be made between a lack of competence (e.g. knowledge, skills, acting with due diligence) and a lack of integrity (e.g. ethical norms). Consider that even highly competent directors with years of corporate experience, who are very well versed in the laws, rules, codes and standards affecting a company, can engage in unethical behaviour.



Further consideration

Are there any indicators in the scenario given that point to lack of competency (e.g. lack of knowledge, lack of skills, not applying due care and diligence, etc.) on the part of any member of the governing body?

- The CQO overrides due diligence procedures necessary to ensure that quality suppliers are added to the authorised list of suppliers to Super Foods Ltd (lack of due care and diligence).
- The one non-executive member who serves on the social and ethics committee is too afraid to stand up against the CQO. One would expect a non-executive director to be sufficiently skilled in fulfilling the role of holding executive directors to account.
- In general, the CEO and CQO fail to understand the importance of establishing an ethical organisational culture, or might not even care, as is evident from their actions (and inaction).

- *Responsibility*

According to King IV, members of the governing body should 'take responsibility for anticipating, preventing or otherwise ameliorating the negative outcomes of the organisation's activities and outputs on the triple context in which it operates, and the capitals that it uses and affects'.

One negative outcome of using sub-standard cans for tuna meat has been the serious illness suffered by and hospitalisation of some members of the public. Members of the governing body have not

tried to prevent this outcome, nor have they acted to improve the outcome by, for example, initiating a product recall of affected tuna cans or investigating the canning and packaging materials in other divisions that could also be affected. It would appear that the directors are not taking any responsibility for the matter; rather, they have shifted blame onto the management team of the canned fish manufacturing division by placing them on a week's unpaid leave and 'reprimanding' the team for their actions. (The disciplining of the management team may in fact have been only a formality and not earnest in nature.)

- *Accountability*

King IV explains that being accountable means being 'able to answer for the execution of one's responsibilities'. As it is the responsibility of the members of the governing body to lead ethically, it could be argued that they do not show a willingness to take ownership of the unethical misconduct taking place at Super Foods. In fact, the executive directors appear to be 'throwing management under the bus', making the affected management team the scapegoat.



Implications and actions

Who do you think should take responsibility for the contaminated food products? The management team(s) implicated, members of the governing body, or both?

It is not impossible that blame will get shifted between various parties if the wrongdoing comes to light. However, even though the managers are the persons engaging in the unethical conduct directly, the leadership of the organisation created incentives and conditions within which the unethical behaviour could occur.

In terms of the requirements of King IV, the governing body is supposed to govern ethics in such a way that a culture of ethics is established. Therefore, even though the leadership might not be held directly responsible for the food contamination, the governing body could be held responsible for a lack of proper governance that led to the contamination. The managers are unlikely to be let off the hook: they knew that their actions led to the oxidation process occurring inside the cans of tuna meat.

- *Fairness*

In terms of King IV, the characteristic of fairness compels the governing body to 'adopt a stakeholder-inclusive approach in the execution of their governance role' and avoid negative consequences for society, the environment and future generations. The stakeholders involved can be identified and the impact of the unethical behaviour can be assessed. It does not seem fair that the company is putting its financial concerns ahead of the health and well-being of the consumers (society) who use the company's products.

- *Transparency*

King IV states that members of the governing body should 'be transparent in the manner in which they exercise their governance roles and responsibilities'. Members of the governing body (in this case, at least two of the executive directors) do not seem to be transparent in dealing with the situation. The directors would rather encourage further cost savings (and possible negative health consequences for consumers) than 'come clean' by launching a full investigation into the extent of the contamination of food products and a possible recall of affected products. The CQO, for instance, has in no uncertain terms warned you to keep away from taking the matter further, which could imply that the directors are attempting to hide a wrongdoing.



Stakeholders

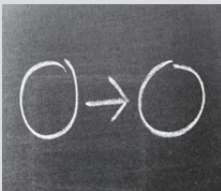
Who are the stakeholders affected by the business's ethical dilemma or able to influence the company's decision to continue with the cost savings drive or put measures in place to prevent further food product contamination?

The following stakeholders have an interest in the ethical dilemma faced by the company whether to continue saving costs (leading to food product contamination) or put measures in place to prevent further contamination.

- Staff, management, and members of the governing body: The management teams of the various divisions have vested self-interest in cost savings because of the bonuses they are paid, and executive board members are most likely compensated at least partly on the basis of profit and the share price. In general, employees stand to face possible job losses if the company's financial situation deteriorates further because of the company's inability to save on costs.

- **Shareholders:** Shareholders have an interest in seeing the share price of the company increase or in having cash dividends paid out to them. The cost savings drive implemented by the board is in the interests of the shareholders as it increases profits.
- **Suppliers:** The suppliers from whom the company orders sub-standard canning and packaging materials have an interest in the company's continuing to do so, while 'quality suppliers' would prefer the company to make use of their quality materials.
- **Consumers:** Members of the public who consume Super Foods Ltd's products face medical risks, including hospitalisation, if the cost savings drive continues.
- **Regulators:** The state has an interest in the well-being of the country's citizens. It has a duty to protect consumers against unsafe food products. The state is unlikely to tolerate the company's being advantaged financially at the cost of the public.

Note: The above discussion considers the short-term horizon regarding the ethical dilemma. When viewed over the longer term, the interests of some of the stakeholders may change. For instance, if it comes to light (e.g. through the investigative journalist) that the company is covering up unethical behaviour, the decrease in the share price could be significant as shareholders withdraw their investment in a company that is considered unethical. The weakening in share price could be less severe if the company were to come clean of its own accord and accept responsibility for its wrongdoing.



Consequence management

What are the possible consequences for Super Foods Ltd and its stakeholders in each of the following scenarios?

1. **'Sweep the matter under the rug':** The company ignores the business ethical dilemma and continues to use cheap canning and packaging materials in its food manufacturing process.

continued

	2. 'Clean up': The company stops using the cheap canning and packaging materials in its food manufacturing processes but doesn't take responsibility for the food contamination that occurred. In addition, the company hides the fact that its product was responsible for the hospitalisations. Eventually, though, the matter is made public by a party other than the company itself, to the surprise of stakeholders. 3. 'Come clean': The company admits to a failure in ethics publicly by being transparent as to the cause of the serious illness and hospitalisations and puts into effect the necessary corrective actions.
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1. 'Sweep the matter under the rug'

Ignoring the matter could have the following consequences for the company and its stakeholders, assuming the matter does not come to light.

- There could be additional suffering amongst members of the public, who could be hospitalised with serious illness from consuming the company's contaminated products.
- A culture of unethical behaviour would be further perpetuated in the organisation, possibly leading to even worse unethical or unlawful actions in the future if staff and managers see that they can get away with them.
- Ethical employees could leave the company in droves, taking their skills and experience elsewhere.
- The company may not be able to cope under the burden of all the unethical conduct that continues to occur. The result could be regulatory fines when unethical (or illegal) conduct is eventually exposed, possible operational difficulties, and even bankruptcy and closure.

2. 'Clean up'

The company may rectify the unethical behaviour but attempt to hide the wrongdoings that did occur. When the matter does come to light eventually (made public by another party in a surprise move), several consequences may result.

- Negative reputational consequences: Stakeholders could lose trust in the company when they see the company does not have

an ethical organisational culture and is not honest in its value statement.

- Negative financial consequences: If the matter is made public, in this case by a party other than the company itself, the share price could fall, especially since shareholders would lose trust in the company. If the value statement cannot be trusted, can shareholders trust anything the governing body says? The company could also see suppliers ending their business relationship, lenders of finance withdrawing their support, customers turning to competitors' products, fearing that Super Foods Ltd's products may be unsafe, etc.
- The company may have difficulty attracting talent. Potential employees would not want to be associated with an unethical company.
- It may take a considerable amount of time to establish a culture of ethics in the organisation, as a culture of ethics is not established overnight.

3. 'Come clean'

Super Foods Ltd could admit publicly to wrongdoing. It could initiate a process of recalling all affected products and giving its full co-operation to any regulatory authorities who may launch investigations into the company. The company could resolve to use only reputable suppliers and settle lawsuits launched by persons who suffered harm.

This option may still entail significant financial losses, but its impact on the company's finances may not be as great as that under option 2 above. In any event, 'coming clean' may be a more sustainable option for the business.



Final outcome

What are the final outcomes of the situation outlined in the scenario? What are the lessons that can be learned from a company's having an unethical organisational culture?

Assuming that Super Foods Ltd eventually does come clean, it is likely that the company will have to restructure its operations, even if it means laying off staff. Using reputable suppliers will lead to cost increases, a product recall is expensive, and paying fines and settling

lawsuits may lead to cash flow constraints. However, if the company is to survive, restructuring may be inevitable.

Shareholders may choose to elect new executive directors if the company is to regain the trust of its stakeholders. An appropriate balance of power should exist in so far as composition of the board and board committees is concerned (e.g. number of executive vs non-executive directors and independence of non-executives), in line with Principles 7 and 8 of the King IV Report. In other words, no individual on the board or on a board committee should be able to dominate decision-making through unfettered power and no undue reliance should be placed on an individual. Furthermore, as the leadership of an organisation is critical to organisational success and, in particular, an ethical organisational culture, directors should be appointed who are seen to be ethical and take a culture of ethics seriously.

Because ethics tends to become embedded in organisational culture over time, it is difficult to change the culture of ethics. Staff and management will slowly start to absorb the example set by the new directors into their daily conduct and decision-making. A 'new' informal ethics management system will be implemented, but achieving a culture of ethics will take time.

The governing body will instruct that the company's ethics management systems be reviewed to reflect the new culture of ethics it wishes to establish. In this regard, continual monitoring and evaluation of both the formal and informal ethics management systems should be conducted by internal assurance providers, including the ethics office, internal auditors, the human resources department and in-house health and safety officers. In addition, external assessment and auditing of these systems should be performed by external assurance providers, including auditors and consultants skilled in providing assurance about ethics management systems.

In conclusion, the governing body should follow the practices in Principle 2 of the King IV Report on Corporate Governance and govern the ethics of the organisation in a way that supports the establishment of an ethical culture.



Reflection and 'food for thought'

Have you considered or given thought to ...?

1. Why does organisational 'culture' affect the ethical behaviour of employees in an organisation?
2. Name a few everyday examples outside the business context of how culture ('the way things are done around here') affects people's behaviour, whether the behaviour relates to ethics or not?
3. Why would an employee be reluctant to challenge the culture of ethics in an organisation as it stands at any given point in time?
4. Who has the primary responsibility for establishing a culture of ethics in an organisation: the organisation's leadership or the employees who report to them?
5. Is it possible to change the culture of ethics in an organisation? Under what circumstances could such a change occur?
6. Is it possible for an individual employee who recently joined an organisation to change the culture of ethics in that organisation?
7. Does an organisation's culture of ethics change quickly or slowly?
8. Why would controls that form part of the *formal* ethics management system typically not be sufficient on their own to ensure a strong culture of ethics in an organisation?
9. Is it possible to *manage* informal ethics in an organisation, or does informal ethics happens 'by itself'?
10. Consider the 'checks and balances' in place in an organisation whereby the power that an individual person (like the CEO) wields is 'kept in check', to prevent that individual from making autocratic decisions. Would these checks and balances form part of the formal or informal ethics management system?



Ancillary material

This article relates to a real-life example of a company that appeared to have a strong code of ethics (a formal ethics control) in place but, because of inadequacies in its informal ethics management system (which weakened the organisational culture), suffered significant ethical failures, leading to many job losses in addition to financial losses for other stakeholders.

'Enron's ethics code reads like fiction' by Michael Miller (1 Apr 2002), <https://www.bizjournals.com/columbus/stories/2002/04/01/editorial3.html>

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